

NATIONALITY

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A. Introduction

The nationality requirement in investment law

- 5.01** The investment protection regime is based on the principle that its protections extend to investors who are nationals of a contracting State other than the host State in which the investment is made. This is consistent with the essential character of investment treaty law as a series of bilateral promises made between States in respect of each other’s nationals.¹ The nationality of the claimant thus determines, as a preliminary matter, whether it is entitled to take the benefit of treaty protections; this, in turn, determines the jurisdiction *ratione personae* of the investor–State arbitral tribunal.

¹ See A Bjorklund, ‘The Emerging Civilisation of Investment Arbitration’ (2009) 113 Penn St Int’l LR 1269, 1278–9.

Nationality requirements are typically defined in the relevant bilateral investment treaty (BIT), or multilateral investment treaty (MIT), or applicable international convention (such as the Convention on the Settlement of Investment Disputes Between States and Nationals of Other States (ICSID Convention)).² As detailed further below in Section E, BITs (and MITs) usually define the nationality of a natural person as a person having the nationality of either Contracting Party. Some treaties have more specific criteria for establishing nationality than others; for example, some treaties deal expressly with the eligibility of dual nationals to bring claims. As regards juridical persons, the nationality of corporations generally depends on three criteria; namely, the State of incorporation, the management (seat) of the company and the nationality of those in control of the company. **5.02**

The ICSID Convention's definition of nationality is particularly important, given the significant number of arbitrations that are submitted to it each year and the number of treaties that offer ICSID arbitration as a dispute-resolution mechanism. Article 25(2) of the Convention defines 'National of another Contracting State' as: **5.03**

- (a) any natural person who had the nationality of a Contracting State other than the State party to the dispute on the date on which the parties consented to submit such dispute to conciliation or arbitration as well as on the date on which the request was registered pursuant to paragraph (3) of Article 28 or paragraph (3) of Article 36, but does not include any person who on either date also had the nationality of the Contracting State party to the dispute; and
- (b) any juridical person which had the nationality of a Contracting State other than the State party to the dispute on the date on which the parties consented to submit such dispute to conciliation or arbitration and any juridical person which had the nationality of the Contracting State party to the dispute on that date and which, because of foreign control, the parties have agreed should be treated as a national of another Contracting State for the purposes of this Convention.

Accordingly, the constituent elements of nationality as required by art 25(2) may be broken down in this way: **5.04**

- (1) *Natural persons*: A natural person must hold the nationality of a Contracting State other than the State party to the dispute. As for timing, an eligible natural person must hold this nationality on:
 - (a) the date the parties consented to submit their disputes to arbitration; and
 - (b) the date the dispute was registered.
- (2) *Juridical persons*: There are two categories of eligible juridical persons.
 - (a) Under the 'first limb' of art 25(2)(b), a juridical person must hold the nationality of a Contracting State other than the State party to the dispute. This person must hold such nationality on the date on which the parties consented to submit their disputes to arbitration.
 - (b) Alternatively, under the 'second limb' of art 25(2)(b), a juridical person holding the nationality of the Contracting State that is party to the dispute may bring a claim if,

² Convention on the Settlement of Investment Disputes between States and Nationals of Other States (signed 18 March 1965, entered into force 14 October 1966) 575 UNTS 159 ('ICSID Convention') (Appendix 12 below).

because of foreign control, the parties have agreed that this person should be treated as a national of another Contracting State for the purposes of the arbitration.

- 5.05** Each of the above constituent elements of art 25(2) of the ICSID Convention is developed in this chapter.
- 5.06** In investor–State arbitration—particularly in ICSID arbitrations, where a BIT is to be interpreted together with the ICSID Convention—a *jurisprudence constante* of varying strengths may be discerned regarding the tests for determining the nationality of individuals (natural persons) and corporations (juridical persons). According to this jurisprudence, the tests, with certain notable exceptions, are formalistic.
- 5.07** In particular, there are two notable exceptions to this formalism, where more substantive tests for determining nationality have been developed:
- (1) the first exception concerns the position of individuals who hold dual nationalities in non-ICSID cases; and
 - (2) the second exception concerns the test for ‘foreign control’ of host State corporations in ICSID art 25(2)(b) ‘second limb’ cases.
- 5.08** For each of these exceptions, specific reasons have driven the need for a more substantive approach. Regarding the first exception, the dual nationality of individuals in non-ICSID cases raises the issue of which nationality should prevail: should an investor’s dual nationality matter at all, so long as he or she holds the nationality of at least one Contracting State but not the host State? Or should the investor’s effective nationality be deemed the relevant nationality? Regarding the second exception, a substantive test is required because art 25(2)(b) of the ICSID Convention expressly requires a substantive test for foreign control (namely, that the ‘parties have agreed that this person should be treated as a national of another Contracting State for the purposes of the arbitration’). This substantive test is in addition to, and different from, mere possession of a particular nationality. Nationality under investment law is governed by the terms of the relevant investment treaty, interpreted in accordance with the principles of treaty interpretation set out in the Vienna Convention on the Law of Treaties,³ and not by any other international instrument or—in the absence of extraordinary circumstances or unless the treaty so provides—a nationality requirement of customary law. Within the treaty framework, the Contracting States will typically permit each State to define, in accordance with its own law, who are its nationals, thus requiring a *renvoi* to national law in order to determine nationality.
- 5.09** Investment treaty arbitral tribunals have made it clear in recent years that although reference to diplomatic protection rules or ‘the general method’ for determining nationality in international law may, in certain limited circumstances, be applicable in deciding jurisdiction *ratione personae*, the ‘principles of international law ... do not allow an arbitral tribunal to write new, additional requirements—which the drafters did not include—into a treaty, no matter how auspicious or appropriate they may appear’.⁴ Thus, if the relevant investment

³ Vienna Convention on the Law of Treaties (signed 23 May 1969, entered into force 27 January 1980) 1155 UNTS 331.

⁴ *Hulley Enterprises Ltd v Russia* (Interim Award on Jurisdiction and Admissibility) PCA Case No AA 226, IIC 415 (UNCITRAL, 2009, Fortier P, Poncet & Schwebel) para 415.

treaty, such as the Energy Charter Treaty,⁵ refers to the State of incorporation as defining the nationality of a company (which is also the ‘most common method of defining the nationality of a company’), any other ‘method of assessing the company’s nationality is ruled out.’⁶

As the ICSID Tribunal in *KT Asia v Kazakhstan*⁷ explained, in refusing to apply a rule of diplomatic protection (‘real and effective nationality’) under the Netherlands-Kazakhstan BIT, investor-State cases pose a significantly different context from diplomatic protection. While in both contexts a bond of nationality exists and there is a triangular relationship between the home State, the host State, and the home State’s national, in investor-State cases, the bond of nationality is ‘defined by the investment treaty. But for that bond, the investor would have no right to bring a claim against the other State. In that sense, there is a triangular relationship in investment treaty arbitration that is different from the one which exists in matters of diplomatic protection under customary international law.’⁸ The treaty rule concerning nationality therefore must therefore prevail over an attempt to import a diplomatic protection rule.

5.10

However, the variety of circumstances in which investment treaty nationality rules must be applied has raised difficulties. In particular, the wide range of commercial arrangements to structure investments and the desire of investors to gain the benefits of certain protections in BITs and MITs have led to a number of cases in which the already flexible boundaries of investor status have been stretched. This has involved, for example, finding a claimant-individual with dual nationality (home and host State) as only having home State nationality at the relevant dates,⁹ and characterising a host State corporation as under ‘foreign control’ when it arguably has a very tenuous relationship with the home Contracting State.¹⁰

5.11

In considering the leading cases on nationality issues (and the commentary on them), the prevailing jurisprudential approaches have been formalistic in the sense that, absent additional requirements in the relevant investment treaty, a juridical person’s claim of nationality will be determined by reference to formal incorporation under the law of the home State. That is, unless qualified by the relevant treaty, a claimant corporation’s State of incorporation will serve as the claimant’s nationality, and an ‘effective control’ test will not be applied.¹¹ For natural persons who are not dual (home and host State) nationals, many if not most BITs simply provide for the contracting States’ citizenship laws to govern the issue of the nationality of natural persons. Moreover, art 25(2)(a) of the ICSID Convention¹² does not

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⁵ Energy Charter Treaty (signed 17 December 1994, entered into force 16 April 1998) 2080 UNTS 100.

⁶ *Hulley v Russia* para 416.

⁷ *KT Asia Investment Group BV v Kazakhstan* (Award) ICSID Case No ARB/09/8, IIC 615 (2013, Kaufmann-Kohler P, Glick & Thomas) paras 127–8.

⁸ *ibid* para 143.

⁹ See *Siag v Egypt* (Decision on Jurisdiction and Partial Dissent) ICSID Case No ARB/05/15, IIC 288 (2007, Pryles P, Williams & Orrego Vicuña (dissenting)).

¹⁰ See *Agua del Tunari SA v Bolivia* (Decision on Jurisdiction) ICSID Case No ARB/02/3, IIC 8 (2005, Caron P, Álvarez & Alberro-Semerena (dissenting)) (*AdT v Bolivia*).

¹¹ eg *Ceskoslovenska Obchodni Banka AS v Slovakia* (Decision on Jurisdiction) ICSID Case No ARB/97/4, 5 ICSID Rep 300, IIC 49 (2000, Buergenthal P, Bernardini & Bucher), in which more than 65 per cent of the claimant’s shares were owned by the Czech Republic, the Tribunal ruled that the claimant was a ‘national of another Contracting State’.

¹² Article 25(2)(a) provides that nationality for natural persons must exist on the date on which the parties consented to ICSID arbitration, as well as on the date that ICSID registers the request for arbitration. The ICSID Convention further clarifies—by denying—arbitral jurisdiction in the case of natural persons who also hold the nationality on either date of the Contracting State party to the arbitration.

define the concept of nationality; it is primarily concerned with the matter of timing and dual nationality.

- 5.13** Issues of some intricacy may nonetheless arise in establishing whether a natural person qualifies as a national of the home Contracting State or whether a natural person is a national of both the home and host States.¹³ Certain of these are considered below. The nationality of corporations is likely to remain a matter of considerable debate in international investment arbitration. The key principles and debates (including those involving individuals) are best approached through an examination of a number of cases, ICSID as well as non-ICSID arbitrations, analysed below. However, in order to place these decisions in context, this chapter first briefly identifies three key controversial issues. It then discusses (a) the role of ‘precedent’ and the role that nationality has played in the general international law of international claims; (b) the burden of proof and (c) the specific treatment of nationality in key investment treaties.

Key issues: jurisdiction *ratione personae*

Individuals—dual nationality

- 5.14** It is clear that the ICSID Convention precludes claims by dual nationals. However, as indicated above, dual nationality issues may arise even in ICSID arbitrations. For example, to what extent may a tribunal re-examine a Contracting State’s nationality determination? And when are the relevant dates for the assessment of dual nationality? In the non-ICSID context, dual nationality is not per se precluded (unless the relevant investment treaty does so), and it has generally been thought that in this context the diplomatic protection ‘real and effective’ nationality test is applicable. But if that is the case, why is it applicable and how should tribunals apply it? And is there a sound international investment law basis for not applying any such test?

Corporations—‘foreign control’

- 5.15** The settled issue regarding juridical persons is considered below in the analysis of the *Tokios Tokelés v Ukraine*¹⁴ award: may a company that is registered in the home State pursue a claim against the host State even if it is owned or controlled by shareholders in the host State? *Tokios* and many other subsequent tribunals have answered this ICSID art 25(2)(b) ‘first limb’ question resoundingly in the affirmative. However, the ‘second limb’ of art 25(2)(b) is not nearly as settled: where the claim is brought on the basis that a host State company is ‘controlled’ by a national of another State party, is it sufficient that the foreign national has legal control, or must it also exercise factual or actual control? That is, should the home State’s apparent control be investigated, including possible ‘lifting of the corporate veil’? Are there both ‘subjective’ and ‘objective’ tests that should be applied in assessing the validity of jurisdiction *ratione personae* in this context?

¹³ eg *Soufraki v United Arab Emirates* (Award) ICSID Case No ARB/02/7, IIC 131 (2004, Fortier P, El-Kohly & Schwebel); and *Champion Trading Co v Egypt* (Decision on Jurisdiction) ICSID Case No ARB/02/9 (2003, Briner P, Aynès & Fortier).

¹⁴ *Tokios Tokelés v Ukraine* (Decision on Jurisdiction) ICSID Case No ARB/02/18, IIC 258 (2004, Weil P (dissenting), Bernardini & Price).

'Restructuring' nationality

Investment law recognises, in principle, the possibility of a corporation altering its nationality to take advantage of another State's treaty protections. Most investment treaties do not include any prohibition on such restructuring. However, may a company restructure and thereby claim new treaty protections when, at the time that it restructures, it knows of—or could reasonably foresee—the existence of a dispute with the host State? If the company is precluded from pursuing a claim in these circumstances, what is the legal basis for such refusal? **5.16**

B. The Role of Precedent**Is diplomatic protection relevant?**

The nature of the nationality debate concerning claims against States has been transformed by the mechanism for claims by private parties that is a central feature of modern investment treaties. Before this development, the issue of nationality arose primarily in the context of whether a State wished to espouse the claim of an injured alien by way of diplomatic protection.¹⁵ In this context, the rules of nationality exist in order to define the circumstances when the State may espouse a claim. In *Barcelona Traction*¹⁶ the International Court of Justice (ICJ) emphasised the discretionary nature, as an initial matter, of the State's decision 'within the limits prescribed by international law, a State may exercise diplomatic protection by whatever means and to whatever extent it thinks fit, for it is its own right that the State is asserting. Should the natural or legal persons on whose behalf it is acting consider that their rights are not adequately protected, they have no remedy in international law'.¹⁷ **5.17**

A State's decision on whether to invoke diplomatic protection and espouse a claim on behalf of a national of the State was only the commencement of the international claims process. The jurisdictional question that remained was whether the State was entitled, as a matter of international law, to espouse the claim on behalf of the particular natural or juridical person. That is, as a matter of international law, was the natural or juridical person a national of the espousing State? The foundation for nationality determinations was expressed in art 1 of the 1930 Convention on Certain Questions Relating to the Conflict of Nationality Laws: 'It is for each State to determine under its own law who are its nationals. This law shall be recognised by other States in so far as it is consistent with international conventions, international custom, and the principles of law generally recognised with regard to nationality.'¹⁸ This principle, that a State is sovereign in setting the rules for the determination of its nationals, also remains the cornerstone for the identification of qualifying investors under BITs, despite the *lex specialis* of BITs. **5.18**

In the non-BIT, and largely pre-BIT, realm of diplomatic protection, there was no firm consensus in international law on some of the more complex issues concerning the nationality of **5.19**

¹⁵ ILC, 'Diplomatic Protection: Text of the Draft Articles with Commentaries thereto' (Dugard, Special Rapporteur) [2006] 2(2) YB ILC 23–55.

¹⁶ *Barcelona Traction, Light and Power Co Ltd (New Application: 1962) (Belgium v Spain)* Second Phase (Judgment) [1970] ICJ Rep 3.

¹⁷ *ibid* 44.

¹⁸ Convention on Certain Questions Relating to the Conflict of Nationality Laws (signed 12 April 1930, entered into force 1 July 1937) 179 LNTS 89.

claims. A tendency nonetheless can be discerned in the jurisdiction *ratione personae* decisions of international courts and tribunals toward requiring a relatively high threshold for the espousing State to establish nationality. Several of these decisions continue to be discussed in investment arbitration cases, particularly raised by respondent States, in circumstances where the *lex specialis* of the BIT is silent and there is arguably an opportunity for the State to refer to diplomatic protection principles.

- 5.20** Perhaps the diplomatic protection decision of greatest continuing influence in the investment treaty context is the *Nottebohm Case*.¹⁹ In *Nottebohm*, the ICJ stated international law regarding nationality of natural persons in the context of diplomatic protection as follows:

According to the practice of States, to arbitral and judicial decisions and to the opinions of writers, nationality is a legal bond having as its basis a social fact of attachment, a genuine connection of existence, interests and sentiments, together with the existence of reciprocal rights and duties. It may be said to constitute the juridical expression of the fact that the individual upon whom it is conferred ... is in fact more closely connected with the population of the State conferring nationality than with that of any other State. Conferred by a State, it only entitles that State to exercise protection vis-à-vis another State, if it constitutes a translation into juridical terms of the individual's connection with the State which has made him its national.²⁰

- 5.21** Soon after the *Nottebohm* judgment, the Italian–US Conciliation Commission Tribunal²¹ interpreted the ‘genuine connection’ test not as a general rule, but as a consideration that was limited to the facts of the particular case, such that only a State in the somewhat unusual position of Liechtenstein (where Mr Nottebohm had spent little time and had tenuous ties, compared to Guatemala, where he had lived for many years and carried out business) was required to show the existence of a ‘genuine connection’ between itself and the individual claimant. This is the position adopted by the International Law Commission (ILC) in its Articles on Diplomatic Protection with Commentaries, in which the ‘genuine connection’ rule has been rejected in art 4.²² Instead, ILC art 4 effectively incorporates art 1 of the Convention on Certain Questions Relating to the Conflict of Nationality Laws, quoted above.
- 5.22** However, some thirty years after *Nottebohm*, the Iran–US Claims Tribunal addressed the question of nationality of claims in the context of dual nationality, and relied heavily on *Nottebohm*.
- 5.23** The specific context of claims between foreign investors and a State, and the need to interpret the terms of the Claims Settlement Declaration, may have been thought to distance

¹⁹ *Nottebohm Case (Liechtenstein v Guatemala)* (Second Phase) [1955] ICJ Rep 4.

²⁰ *ibid* 23.

²¹ *Flegenheimer Claim* (1958) 25 ILR 91 (Italian–US Conciliation Commission, 1958, Sauser-Hall, Matturri & Sorrentino), 148.

²² ILC, ‘Diplomatic Protection: Draft Articles with Commentaries’, art 4 commentary states, *inter alia*, at para 5:

Moreover, it is necessary to be mindful of the fact that if the genuine link requirement proposed by *Nottebohm* was strictly applied it would exclude millions of persons from the benefit of diplomatic protection as in today's world of economic globalization and migration there are millions of persons who have moved away from their State of nationality and made their lives in States whose nationality they never acquire or have acquired nationality by birth or descent from States with which they have a tenuous connection.

the Iran–US Claims Tribunal’s decision-making both from customary international law and diplomatic protection.²³ Nonetheless, the Iran–US Claims Tribunal did rely on its understanding of customary international law. In *Iran–United States*, Case No A/18 (6 April 1984)²⁴ the Claims Tribunal considered the issue of dual nationality—ie whether claims filed by persons who were both nationals of the United States and Iran were admissible. In a hotly contested award, which did not adopt the formulation of either the US or Iranian party disputants and which featured a Dissenting Opinion by Iranian Tribunal members and a concurring opinion by certain US Tribunal members, it was held that the text of the Claims Settlement Declaration did not permit an unequivocal answer, and recourse was had to general rules of international law.²⁵ The Convention on Certain Questions Relating to the Conflict of Nationality Law and a number of judicial decisions and early twentieth century arbitral awards were referred to by the Tribunal majority. But particular significance was also accorded to *Nottebohm*,²⁶ from which the Tribunal extracted the importance of the search for ‘real and effective nationality’, as opposed to an approach relying on more formalistic criteria. Accordingly, the Tribunal concluded that the international law rule was ‘real and effective nationality’, entailing a search for ‘stronger factual ties between the person concerned and one of the States whose nationality is involved’.²⁷ When determining ‘dominant and effective’ nationality, the Tribunal stated that all relevant factors would be considered including ‘habitual residence, center of interests, family ties, participation in public life and other evidence of attachment’.²⁸

The rule on dual nationality of natural persons expounded in Case No A/18 remains a substantive principle of international law, one that is now expressly accepted in investment treaty drafting practice.²⁹ Of particular interest is the Tribunal’s determination, in the case of natural persons, that an investigation of the factual background to establish actual relationships is necessary. While the law of diplomatic protection and of the Iran–US Claims Tribunal does not often impinge directly on the decision-making of investment treaty arbitral tribunals, it certainly does so when the issue is the dual nationality of claimant-individuals, discussed in Section E of this chapter. Moreover, the nationality principles set out in the ILC’s Articles on Diplomatic Protection and some of the notable diplomatic protection cases—on corporate nationality (see below) as well as the nationality of natural persons—remain an important part of the discourse between parties and arbitrators in addressing

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²³ See *Elettronica Sicula SpA (ELSI) (United States of America v Italy)* [1989] ICJ Rep 15, 64 and 79 (paras 106 and 132) where the ICJ, in interpreting the bilateral Treaty of Friendship, Commerce and Navigation between the USA and Italy (and therefore not concerned with the evaluation of customary international law), accepted that the narrower approaches in diplomatic protection will not necessarily apply for a treaty-based claim. See also ILC, ‘Diplomatic Protection: Draft Articles with Commentaries’, art 11 commentary para 11.

²⁴ *Iran–United States*, Case No A/18 (1984) 5 Iran-USCTR 251. See GH Aldrich, *The Jurisprudence of the Iran–United States Claims Tribunal* (1996) 492 *et seq.* See also, to like effect, the Tribunal’s earlier decision in *Nasser Esphahanian v Bank Tejarat* (1983) 2 Iran-USCTR 157.

²⁵ *Iran–United States*, Case No A/18, 259–60.

²⁶ *Nottebohm*, 22–4.

²⁷ *Iran–United States*, Case No A/18, 265.

²⁸ *ibid* 265.

²⁹ See, for example, 2012 US model BIT art 1 (definition of ‘investor of a Party’—‘a natural person who is a dual national shall be deemed to be exclusively a national of the State of his or her dominant and effective nationality’) (Appendix 6 below) (discussed at para 5.61 below); ILC ‘Diplomatic Protection: Draft Articles with Commentaries’, art 7 provides: ‘A State of nationality may not exercise diplomatic protection in respect of a person against a State of which that person is also a national unless the nationality of the former State is predominant, both at the date of injury and at the date of the official presentation of the claim.’

jurisdiction *ratione personae* assertions and objections. To that extent, diplomatic protection principles have some relevance in the field of investment treaty arbitration, though such relevance must be characterised as limited.

5.25 Diplomatic protection principles and cases in relation to juridical persons claiming investment treaty protection arguably have even less direct relevance than is the case for natural persons. However, while the Iran–US Claims Tribunal exhibited substantial uncertainty about whether to prefer a formalistic test of incorporation or an investigation into actual control in order to assess the issue of corporate nationality, the formalistic test as considered in the diplomatic protection background reflects an approach that investment tribunals have largely adopted. But one of the key distinctions between diplomatic protection and international investment law in the treatment of juridical persons is the relative flexibility of investment law in according shareholders the opportunity to bring claims for alleged damages to their investments.

5.26 The ILC Articles on Diplomatic Protection address the question of a corporation's nationality in arts 9 to 12; the commentary discusses at some length the *Barcelona Traction* case and the controversies that have attended the judgment of the ICJ and the various opinions of the judges. Among the swirl of opinions, the ICJ's judgment appears to establish certain principles, a non-exhaustive summary of which may be extracted from FA Mann's famous critique of the case:

- (1) Diplomatic protection cannot in general 'be exercised by the state of the shareholders who possess mere interests in the property of the corporation'.³⁰
- (2) However, an 'exception may arise if the corporation has suffered a "legal demise"':
- (3) 'A second exception may arise where the company's national state lacks capacity to act on its behalf, i.e. fails to have some "genuine connection" with it'.³¹
- (4) 'No rule of customary international law has yet come into existence which would confer a right of diplomatic protection on a state merely by reason of the fact that the value of its nationals' shareholdings and thus its own economic resources suffer damage'.³²
- (5) 'It is likely that the shareholders' state has a right of diplomatic protection if the company is a national of the Respondent state'³³ (though such nationality does not arise from the fact that the respondent State has exercised bankruptcy jurisdiction).

5.27 The ILC has explained that *Barcelona Traction* required, for the purposes of diplomatic protection, 'incorporation and the presence of the registered office of the company in the State of incorporation', with incorporation being the most important criterion since most States require a registered office in the State if a company wishes to be incorporated in the State.³⁴ However, the ILC added that the ICJ also suggested that there was a further need for some 'permanent and close connection' between the State exercising diplomatic protection and the corporation. Thus, although *Barcelona Traction* did not confront the situation where a company had only a tenuous link with the State of incorporation but a close link with

³⁰ FA Mann, 'The Protection of Shareholders' Interests in the Light of the *Barcelona Traction* Case' (1973) 67 AJIL 259, 272–3.

³¹ *ibid* 273.

³² *ibid*.

³³ *ibid*.

³⁴ ILC, 'Diplomatic Protection: Draft Articles with Commentaries', art 9 commentary para 3.

another State, art 9 of the Articles on Diplomatic Protection provides for an exception to the 'formal' corporate nationality rule in these circumstances. This, the ILC notes, acknowledges the reality that a State will in practice be unwilling to exercise diplomatic protection for a corporation with only a tenuous connection to the State.³⁵ But it is an 'either/or' rule: either the State of incorporation or, if the required links are met, the State of control, will be entitled to exercise diplomatic protection (but not both).³⁶

As for the other aspects of corporate nationality addressed (to some degree) in *Barcelona Traction*, the ILC's Articles devote substantial attention (arts 11 and 12) to the principle that diplomatic protection is accorded to a company based on the company's nationality, and not the nationality of the shareholders. However, there were some exceptions to this principle. For the ILC, the exceptions can be logically extended to the points set out at arts 11(a) and (b), in which case the nationality of shareholders may be relevant. The ILC makes its case not only on logic,³⁷ but on State practice, arbitral awards and doctrine,³⁸ particularly in circumstances where the corporation has been injured by the State of incorporation itself. Similarly, art 12 extends another *Barcelona Traction* point not fully discussed in that case to the status of a rule: 'direct injury' to shareholders entitles the State of nationality of such shareholders to exercise diplomatic protection.³⁹ **5.28**

The ICJ confirmed the strict character of diplomatic protection requirements in *Case Concerning Ahmadou Sadio Diallo (Guinea v Democratic Republic of the Congo)*.⁴⁰ The Republic of Guinea brought proceedings seeking to exercise diplomatic protection in favour of Mr Diallo, a Guinean national who was the manager of two Congolese companies. Guinea argued that the Democratic Republic of the Congo (Congo) had violated Mr Diallo's international rights: the factual basis for this claim was the Congolese authorities' persistent failure to repay sums owed to the two companies. Guinea sought to exercise diplomatic protection in favor of the two companies by way of 'substitution', in reliance on the position of Mr Diallo as manager and shareholder of the two Congolese companies. Guinea argued that equitable considerations compelled the application of diplomatic protection rules in such a way as 'not to deprive foreign shareholders in a company having the nationality of the State responsible for the international wrongful act of all possibility of protection'.⁴¹ The ICJ rejected Guinea's arguments, stating that its review of State practice and decisions, at least at the time of the decision, did not reveal 'an exception in customary international law allowing for protection by substitution'.⁴² The Court considered that the fact that various international agreements, including investment agreements and the ICSID Convention, had established special regimes governing investment protection was not sufficient to show there had been a change in the customary rules of diplomatic protection. The existence of such agreements could equally show the contrary: that there was no change in the customary rules of diplomatic protection.⁴³ As such, the Court held that the traditional rule (ie that only **5.29**

³⁵ *ibid* art 9 commentary para 4.

³⁶ *ibid* art 9 commentary para 6.

³⁷ *ibid* art 11 commentary para 6.

³⁸ *ibid* art 11 commentary para 9.

³⁹ *ibid* art 12 commentary para 1.

⁴⁰ *Diallo (Guinea v Democratic Republic of the Congo)* (Preliminary Objections) [2007] ICJ Rep 582.

⁴¹ *ibid* 612, para 82.

⁴² *ibid* 615, para 89.

⁴³ *ibid* 615, para 90.

the State of a corporation's nationality may exercise diplomatic protection in favour of that corporation) applied.⁴⁴ The companies in question had Congolese nationality and did not have Guinean nationality. Accordingly, art 11 (b) of the ILC Draft Articles prevented Guinea from exercising diplomatic protection in favor of the Congolese companies.⁴⁵

5.30 Although the Court's Preliminary Objections Judgment was left intact in its merits decision three years later,⁴⁶ there was strong dissent from some judges criticising the majority's strict approach. Judges Al-Khasawneh and Yusuf said that the majority's approach set a 'dangerous precedent for foreign investors unprotected by bilateral investment treaties'.⁴⁷ The dissenting judges were concerned that if the expropriating State also happened to be the State of the nationality of the company and 'hence in theory the protector State', there would be no possibility of redress for the investor.⁴⁸ In contrast, modern BITs gave corporations far greater protections against indirect expropriation carried out by the State of the corporation's nationality. The dissenting judges lamented that the Court had 'missed a chance to do justice to Mr Diallo, and at the same time, to bring the standard of protection of customary international law up to the standard of modern investment law'.⁴⁹

5.31 The ILC was careful to note that the *ELSI* case, on which it relied for certain matters, did not expound rules of customary international law and was instead concerned with the interpretation of a treaty.⁵⁰ As noted above, the Iran–US Claims Tribunal was also required to interpret a treaty, and was not bound by the rules of diplomatic protection. Nonetheless, the Iran–US Claims Tribunal struggled with formalism. For example, in *The Management of Alcan Aluminium Ltd v Ircable Corp (Alcan)*,⁵¹ the Tribunal stated that it 'may be shown that, at the appropriate time, such [US nationals] shareholders controlled the corporation in fact, regardless of the total proportion of their shares'.⁵² Other decisions (eg *Sedco v National Iranian Oil Co*)⁵³ pointed towards the existence of 'ownership interests sufficient to control'.⁵⁴ However, as Brower and Brueschke observe, the *Sedco* comments were obiter dicta and under *Alcan* and *Sedco* there remained many unresolved questions, such as whether control can be exercised by more than one owner.⁵⁵

The new context of investment treaties

5.32 The landscape shifted substantially with the advent and proliferation of investment treaties. The ILC Draft Articles provide in art 17 that they 'do not apply to the extent that they are inconsistent with special rules of international law, such as treaty provisions for the protection of investments'. The commentary to art 17 notes that the field of foreign investment is today largely regulated by BITs, which may abandon or relax certain requirements

⁴⁴ *ibid* 616, para 94.

⁴⁵ *ibid* 616, para 93.

⁴⁶ (Merits) [2010] ICJ Rep 639.

⁴⁷ (Joint Dissenting Opinion, Al-Khasawneh and Yusuf) 76.

⁴⁸ *ibid* 66.

⁴⁹ *ibid* 76.

⁵⁰ ILC 'Diplomatic Protection: Draft Articles with Commentaries', art 12 commentary para 2, citing *ELSI*.

⁵¹ *Alcan Aluminium v Ircable Corp* (1983) 2 Iran-USCTR 294 (*Alcan*).

⁵² *ibid* 297.

⁵³ *Sedco Inc v National Iranian Oil Co* (Interlocutory Award) (1985) 9 Iran-USCTR 248; (Interlocutory Award) (1986) 10 Iran-USCTR 180; and (Award) (1987) 15 Iran-USCTR 23.

⁵⁴ *Sedco* (Interlocutory Award) (1985) 9 Iran-USCTR 248, 259.

⁵⁵ CN Brower and JD Brueschke, *The Iran-United States Claims Tribunal* (1998) 108–9.

of diplomatic protection. In the investment arbitration context, the claimants are private, and the dispute resolution provisions 'offer greater advantages to the foreign investor than the customary international law system of diplomatic protection'.⁵⁶ In specific relation to jurisdiction *ratione personae*, numerous investment tribunals have commented that rules that relate to the right of diplomatic protection do not apply where special agreements are in place between States and such agreements include, for example, an incorporation test for nationality without any reference to 'control' or 'genuine connection'.

Although nationality no longer serves the function of defining when a home State may espouse a claim, the threshold jurisdictional question of nationality—like the threshold question of 'investment'—looms large as the basis for potential objections to jurisdiction by respondent States. Respondent States have evinced a threefold concern when raising objections to jurisdiction *ratione personae*: (i) seeking to ensure that, pursuant to a specific request for arbitration, the tribunal is jurisdictionally competent to hear the claim (ie seeking to ensure that the putative claimant has the right to invoke the protections of a particular treaty); (ii) seeking to ensure that any compensation that may ultimately be paid is to a *foreign* investor; and (iii) seeking to ensure that, as a matter of international law and future interpretation of the nationality requirement, States will not have previously acceded to the blurring of remaining boundaries, despite the proliferation of investment vehicles and the increasingly complex cross-border structure of investments. **5.33**

Among the cluster of nationality questions that have driven the current jurisdictional challenges before international investment tribunals, the new context of investment treaties has raised the following: **5.34**

- (1) How many nationality tests must be satisfied, and in what order—BIT plus ICSID, or ICSID plus BIT? What if the ICSID Convention does not govern because the arbitration proceeds under, for example the United Nations Commission on International Trade Law (UNCITRAL) Rules? Does the BIT, then, provide the only test to be addressed?
- (2) Which substantive test for nationality governs—place of incorporation versus place of effective control; place of dominant nationality in the case of dual nationals—and when does the test apply?
- (3) When must nationality be determined? Is it the time at which the claim arises or the time of lodging the claim? Must nationality be maintained continuously from the date of injury through to the date of the tribunal's award?
- (4) Is there a basis under international investment law for restricting the restructuring of corporate nationality to take advantage of treaty protections? How do denial of benefits provisions act as a safeguard to prevent nationals of third States, who might technically satisfy the nationality obligations of a BIT or MIT, from obtaining the benefits of protection since these nationals were never intended by the Contracting States to be beneficiaries of these treaties?

Customary law in treaty interpretation

Underlying the consideration by tribunals of these and other *ratione personae* issues has been an ongoing controversy over the relevance and application of the rules of nationality **5.35**

⁵⁶ ILC 'Diplomatic Protection: Draft Articles with Commentaries', art 17 commentary para 2.

developed in the context of the customary international law of diplomatic protection. As discussed below, tribunals have variously applied principles developed in the diplomatic protection field to the specific problems of investment treaties, or rejected them. Thus, a determination of the guidance that can properly be taken from the law of diplomatic protection provides an important element of the doctrinal context for the broader policy debate as to whether nationality can be treated as a purely formal matter determined by reference to home State law, or whether it is to be controlled by substantive criteria imposed by tribunals. There is also a continuing controversy as to the extent that an investment treaty tribunal may make its own assessment as to the correctness of a State's application of its own nationality rules.

5.36 In considering the impact of general international law on the construction of the investment treaty criteria, the complex interplay between the definition of 'investment' and that of 'nationality' in such treaties should not be forgotten. As discussed above, the customary international law of diplomatic protection gives priority to the State of incorporation in determining the nationality of a corporation in most cases.⁵⁷ It also strictly limits the extent to which a shareholder may pursue a claim against the host State for injuries done to the company in which he has invested.⁵⁸ Taken together, these two rules strictly limit the potential claims to nationality that may be made. By contrast, as explained in Chapter 6 below, the much broader notion of 'investment' in investment treaties permits claims by shareholders against the host State for losses occasioned by the (indirect) reduction in the value of the shareholding caused by damage to the company. One consequence of the treaty-based approach to investment is to widen the range of potential claimants, and thus the number of potentially relevant claims to nationality. In turn, as the awards discussed in paragraphs 5.83 to 5.158 below demonstrate, nationality has been relied upon by respondent States to perform a limiting function: to exclude claims where it is said that the claim to nationality is formal and not substantive.

5.37 It is important to remember, as the Tribunal in *Société Générale in respect of DR Energy Holdings Ltd v Dominican Republic* explained, that the new context of investment treaties does not mean that investment arbitration has yet become a separate legal order:

It is necessary to keep in mind that investment law has meant in some respects a departure from the law governing diplomatic protection and the traditional law of international claims, this is correct largely to the extent that applicable treaties and conventions have so established by providing rules different from those of diplomatic protection. While many such treaties, like the one now before the Tribunal, provide for rules on the definition of who is a national entitled to its protection, seldom do they provide for a rule establishing the moment at which such nationality is required. The rules governing issues not addressed by the specific language of the treaty may sometimes be provided by the law of diplomatic protection, which apply as customary international law, and thus, provides for a residual role for at least some aspects of the law of diplomatic protection.⁵⁹

The Tribunal further commented that questions of nationality set a limit to the application of investment treaties: the basic principle that the claimant must have the nationality of the

⁵⁷ *Barcelona Traction* 42; ILC 'Diplomatic Protection: Draft Articles with Commentaries' art 9.

⁵⁸ *Barcelona Traction* 48–50; ILC 'Diplomatic Protection: Draft Articles with Commentaries' arts 11–12.

⁵⁹ *Société Générale v Dominican Republic* (Decision on Jurisdiction) LCIA Case No UN 7927, IIC 366 (UNCITRAL, 2008, Orrego Vicuña P, Bishop & Cremades) para 108.

relevant Contracting Party at the time of the treaty breach still exists unless a different rule is expressed, and it will apply whether the claim is ‘introduced directly by the individual or company concerned or by the State of nationality on its behalf’.⁶⁰ In short, investment treaties have introduced flexibility in respect of older rules of diplomatic protection, but the flexibility has limits—limits imposed by customary law.

In the first instance, it is crucial, both in examining an individual case and in attempting to extract substantive principles, to consider the provision controlling nationality in a particular BIT or MIT⁶¹ that may be applicable, as well as the language in art 25 of the ICSID Convention (in cases where that Convention applies). Section D below provides a detailed discussion of the treatment of nationality requirements in these texts, as well as other investment treaties. In considering these texts, it is worth bearing in mind that the terms of all such treaties must be interpreted pursuant to the Vienna Convention on the Law of Treaties.⁶² **5.38**

Investment awards as precedents

In the context of addressing threshold matters of jurisdiction, particularly nationality and jurisdiction *ratione personae*, investment treaty tribunals have set out, in recent cases, three clear and distinct positions on parties’ reliance on previous awards and decisions. All arbitrators and all tribunals accept that precedent, in the common law sense of the binding authority of previous case law, does not exist in investment law. However, arbitrators take different positions on whether a *jurisprudence constante* in relation to nationality has developed or should even be a goal of investment law. **5.39**

The position in favour of the development of *jurisprudence constante*, which also suggests that, in certain respects, a *jurisprudence constante* has developed regarding nationality, is expressed by the majority in *Quiborax v Bolivia*⁶³ and by all the arbitrators sitting in *KT Asia*.⁶⁴ The *Quiborax* Tribunal, in discussing the respondent’s objections to jurisdiction, noted that both parties had relied on previous arbitral decisions or awards in support of their positions (including, in certain instances by the State, submissions on why such awards should be departed from). Although the Tribunal noted that it was not bound by prior decisions, it stated that it ‘is of the opinion that it must pay due consideration to earlier decisions of international tribunals. Specifically, it deems that, subject to compelling contrary grounds, it has a duty to adopt solutions established in a series of consistent cases. It further deems that, subject to the specifics of the Treaty and of the circumstances of the actual case, it has a duty to contribute to the harmonious development of investment law, with a view to meeting the legitimate expectations of the community of States and investors towards the certainty of the rule of law.’⁶⁵ **5.40**

An almost identical passage on the Tribunal’s duty to contribute to the harmonious development of investment law appears a year later in the *KT Asia* award, in the Tribunal’s discussion **5.41**

⁶⁰ *ibid* para 109.

⁶¹ Such as North American Free Trade Agreement (adopted 17 December 1992, entered into force 1 January 1994) CTS 1994 No 2 (‘NAFTA’); or the Energy Charter Treaty.

⁶² Vienna Convention on the Law of Treaties (signed 23 May 1969, entered into force 27 January 1980) 1155 UNTS 331.

⁶³ *Quiborax SA v Bolivia* (Decision on Jurisdiction) ICSID Case No ARB/06/2, IIC 563 (2012, Kaufmann-Kohler P, Lalonde & Stern) paras 45–6.

⁶⁴ *KT Asia Investment Group BV v Kazakhstan* (Award) ICSID Case No ARB/09/8, IIC 615 (2013, Kaufmann-Kohler P, Glick & Thomas).

⁶⁵ *Quiborax* para 46.

of the respondent's objections to jurisdiction *ratione personae*.⁶⁶ There the Tribunal also indicated, in rejecting the application of a diplomatic protection rule regarding nationality in investment treaty arbitration, that its conclusion was confirmed by a review of relevant decisions: 'The Tribunal concurs with the wide consensus that emerges from case law according to which rules of customary international law applicable in the context of diplomatic protection do not apply where they have been varied by the *lex specialis* of an investment treaty.'⁶⁷

- 5.42** Thus, according to this first or 'case law' position, there should be an attempt—indeed, arbitrators have a *duty*—to develop consistent solutions regarding nationality issues in investment treaty arbitrations. Part of that duty entails attempting to discern a consistent direction in previous cases dealing with similar nationality issues, and then fashioning a determination in the case before the tribunal that is in line with that direction. Moreover, in certain respects, such as the inapplicability of diplomatic protection rules, the conclusion of the *KT Asia* Tribunal is that the case law has clearly spoken, and should be a driver, if not the main driver, in the tribunal's decision in the case before it. A corollary of this view is that previous dissenting opinions on nationality issues, if not part of a discernible and substantial counter-trend, should carry little or no weight with subsequent tribunals and may effectively be disregarded, in the same way that an award diverging from 'consistent cases' would not be influential.
- 5.43** This case law approach, however, is not how the entire Tribunal in *Quiborax* approached the question of the relevance of previous decisions. The passage quoted above, on the duty of the tribunal to contribute to the harmonious development of investment law, contains a final sentence: 'Arbitrator [Brigitte] Stern does not analyze the arbitrator's role in the same manner, as she considers it her duty to decide each case on its own merits, independently of any apparent jurisprudential trend.'⁶⁸ This is a significant difference in opinion: a prominent investment treaty arbitrator holds the view that case law trends are irrelevant to her decision-making. According to this position, previous decisions on nationality, while they may be taken into account, should not drive the determinations to be reached by a tribunal in the particular case before it. Additionally, the 'legitimate expectations' of the investment community, as considered by Stern, do not include the development of predictable investment law rules.
- 5.44** A third or 'comity' position is set out in the *Tulip v Turkey* award on jurisdiction, in March 2013.⁶⁹ The *Tulip* Tribunal commented that both sides in the case had made references to previous ICSID and treaty awards and statements in ICJ judgments: 'Although not bound by such citations, the Tribunal accepts that, as a matter of comity, it should have regard to earlier decisions of courts (particularly the ICJ) and of other international dispute tribunals engaged in the interpretation of the terms of a BIT.'⁷⁰

⁶⁶ *KT Asia* para 83.

⁶⁷ *ibid* para 129.

⁶⁸ *Quiborax* para 46.

⁶⁹ *Tulip Real Estate Investment and Development Netherlands BV v Turkey* (Decision on Bifurcated Jurisdictional Issue) ICSID Case No ARB/11/28, IIC 583 (2013, Griffith P, Jaffe & Knieper).

⁷⁰ *ibid* para 45, citing *AES Corp v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/02/17, 12 ICSID Rep 308, IIC 4 (2005, Dupuy P, Bello Janeiro & Böckstiegel) paras 30–2; and *Saipem SpA v Bangladesh* (Decision on Jurisdiction) ICSID Case No ARB/05/7, IIC 280 (2007, Kaufmann-Kohler P, Otton & Schreuer) para 67.

In *Tulip*, the Tribunal also had to address the parties' contesting submissions on the hierarchy of prior authority regarding jurisdictional issues. The State sought to place International Court of Justice judgments at the apex, while the claimant contended that the awards of previous ICSID tribunals should hold pride of place, on the grounds that such awards concern investment treaty law, not general principles of international law. The Tribunal declined to engage in the hierarchical analysis of 'precedent', but commented that it accorded deference to relevant statements by the International Court as to general principles on construction of the terms of a treaty, as those principles may apply to the construction of a BIT. On the other hand, since there was no precedential order in regard to previous decisions on the construction of BITs, 'the relevant enquiry remains for the Tribunal to interpret and apply the terms of the BIT itself. Prior decisions may inform that enquiry, but it is for this Tribunal to make its own interpretation of Article 8(2) [of the BIT], informed by the rigor and persuasiveness of relevant analysis and statements by decisions of earlier tribunals.'⁷¹ **5.45**

Pursuant to the 'comity' position, then, previous BIT awards on jurisdictional questions such as nationality should be considered, and they are potentially valuable sources of guidance, depending on the strength of their individual analyses. In outlining the 'comity' position, the *Tulip* Tribunal appears to be less interested than the *KT Asia* Tribunal in identifying case law trends, though an overwhelming number of cases in one direction would presumably be difficult to disregard as a tribunal seeks to assess prior decisions for guidance. **5.46**

Each of the three positions outlined above would place primary emphasis on the need for a tribunal, unconstrained by precedent and given the absence of an obligatory substantive test for the nationality of corporations and individuals in international law, to make nationality determinations on the basis of the relevant investment treaty (or treaties, in ICSID cases). However, it is apparent that two of the three positions—*KT Asia*'s 'case law' and *Tulip*'s 'comity' approaches—also place heavy reliance, at least for purposes of guidance, on previous *ratione personae* decisions. In most aspects of this particular area of investment law, the weight of 'consistent cases' has become so substantial that very well-reasoned dissenting opinions, such as those by Aldonas in *TSA Spectrum v Argentina*⁷² and Orrego Vicuña in *Siag v Egypt*⁷³, are now rarely mentioned, much less addressed and genuinely considered, in subsequent awards. That is unfortunate for the enterprise of legal analysis, but it is a practical consequence of the enterprise of investor–State arbitration. **5.47**

The same fate has enveloped Weil's elegant dissent in *Tokios* regarding 'real' or 'effective' nationality.⁷⁴ That dissent has had little influence on the development of investment law, and now plays no successful part—though some States still advance it⁷⁵—in arbitrations under the first limb of art 25(2)(b) of the ICSID Convention or in non-ICSID cases involving corporate claimants that have, as a matter of home State law, the nationality of the home State.⁷⁶ **5.48**

⁷¹ *Tulip v Turkey* para 47.

⁷² *TSA Spectrum de Argentina SA v Argentina* (Award) ICSID Case No ARB/05/5, IIC 358 (2008, Danelius P, Abi-Saab & Aldonas (dissenting)). Aldonas dissented regarding the proper interpretation of the second limb of art 25(2)(b) of the ICSID Convention.

⁷³ *Siag v Egypt* (Dissenting Opinion, Orrego Vicuña); regarding the proper interpretation of dual nationality under art 25(2)(a) of the ICSID Convention.

⁷⁴ *Tokios Tokelés v Ukraine*.

⁷⁵ *KT Asia*.

⁷⁶ *Hulley v Russia* (Interim Award on Jurisdiction and Admissibility).

C. Burden of Proof

- 5.49** There is no provision in the ICSID Convention or the ICSID Arbitration Rules regarding the burden of proof on nationality issues. Some tribunals state that ICSID follows general international law on this matter, and note, accordingly, that a party asserting a fact carries the burden of proving that fact.⁷⁷ However, assessing nationality at the jurisdictional phase of proceedings raises a particular set of burden of proof problems that a number of tribunals in recent cases have addressed, with varying degrees of explanatory detail in view of the circumstances of individual cases.
- 5.50** In *Tulip v Turkey*, the Tribunal restated the general international law rule: the burden lies with the party asserting a fact, and further remarked that the claimant must satisfy the burden of proof required at the jurisdictional phase.⁷⁸ This remained the case, the Tribunal added, even though the respondent had raised a jurisdictional objection: ‘the onus remains on the claimant to establish that the requirements of Article 8(2) [of the Netherlands-Turkey BIT] have been satisfied and that the Tribunal has jurisdiction.’⁷⁹ The Tribunal’s reliance on the general rule, in this instance, enveloped the burden-shifting realities of the particular case—the respondent had raised a plausible jurisdictional objection, which the claimant then had to overcome. In *Arif v Moldova*⁸⁰ and *Lao Holdings*,⁸¹ however, the nature of the jurisdictional objection meant that there was no burden-shifting back to the claimant. In *Arif v Moldova*, the Tribunal stated that it would not overturn the French authorities’ decision to grant French nationality to Mr Arif absent a convincing showing by the respondent that the acquisition of nationality was fraudulent or resulted from material error: ‘casting doubt’ on the claimant’s nationality was not sufficient.⁸² In *Lao Holdings*, the State accepted that it had to prove that the legal dispute arose before the date on which the claimant acquired Dutch nationality.⁸³
- 5.51** The discussions of burden of proof and the issue of ‘dual nationality’ of natural persons under ICISD Convention art 25(2)(a) are set out in useful detail in, among other cases, *Ambiente v Argentina* and *Siag v Egypt*. In *Ambiente*, the issue was whether the claimants held dual Italian-Argentinean nationality; if so, jurisdiction *ratione personae* would be unavailable under the ICSID Convention’s preclusion of claims by individuals holding the nationality of the home State as well as the host State.⁸⁴ The respondent State argued that the claimants carried the burden of proving all aspects of nationality, whereas the claimants contended that they only needed to prove their Italian nationality, and the respondent bore the burden of proving Argentinean nationality.⁸⁵ The Tribunal noted the well-settled international law

⁷⁷ *Ambiente Ufficio SpA v Argentina* (Decision on Jurisdiction and Admissibility) ICSID Case No ARB/08/9, IIC 576 (2013, Simma P, Böckstiegel & Torres Bernárdez (dissenting)) paras 309–11.

⁷⁸ *Tulip v Turkey*.

⁷⁹ *ibid* para 48.

⁸⁰ *Arif v Moldova* (Award) ICSID Case No ARB/11/23, IIC 585 (2013, Cremades P, Hanotiau & Knieper).

⁸¹ *Lao Holdings NV v Lao People’s Democratic Republic* (Decision on Jurisdiction) ICSID Case No ARB (AF)/12/6, IIC 633 (ICSID (AF), 2014, Binnie P, Hanotiau & Stern).

⁸² *Arif v Moldova* para 357, citing *Micula v Romania* (Decision on Jurisdiction and Admissibility) ICSID Case No ARB/05/20, IIC 339 (2008, Lévy P, Alexandrov & Ehlermann) paras 94–5.

⁸³ *Lao Holdings* paras 66–8 (*ratione temporis*).

⁸⁴ *Ambiente v Argentina*.

⁸⁵ *ibid* para 308.

principle, described by the ICJ, that a litigant seeking to establish the existence of a fact bears the burden of proving it.⁸⁶ On this basis, the Tribunal adopted the claimants' position regarding the jurisdictional phase: the burden of showing that the claimants were Italian fell on the claimants (for which photocopied certificates were sufficient), while the burden to 'disprove the negative elements'—ie prove that the claimants were Argentinean—fell on the respondent.⁸⁷

Prior to *Ambiente*, *Siag v Egypt* had adopted a different approach to the question of whether the claimant had to prove that it was not a national of the host State at the relevant times under ICSID Convention art 25(2)(a). Although the test was similarly helpful to the claimant, it arguably lacks the clarity of *Ambiente*'s identification of where particular burdens should lie. The *Siag* Tribunal stated that, in relation to a jurisdictional objection, the claimant did not have to disprove Egyptian nationality (and that Egyptian law did not provide the relevant jurisdictional test).⁸⁸ Rather, the applicable test was that stated by Judge Higgins in the *Oil Platforms Case* (1996). Under that test, the Tribunal should determine whether, on the facts alleged by the claimant, the respondent's actions might violate the treaty in question.⁸⁹ Since the determination of an actual treaty breach was for the merits phase and should not impinge on jurisdiction, the relevant jurisdictional question was whether the facts alleged by the claimant, if established, were capable of coming within provisions of BIT that had been invoked.⁹⁰

The Annulment Committee in *Duke v Peru* gives a clearer explanation of Judge Higgins' separate opinion in *Oil Platforms*.⁹¹ The Committee noted that the *Oil Platforms* decision is often misinterpreted as endorsing a 'prima facie standard' for jurisdictional challenges.⁹² Yet this expression should not be taken to mean as suggesting that the determination of jurisdiction *ratione personae* is entirely a prima facie inquiry. The correct approach is that where an issue relates *exclusively* to jurisdiction and not to the merits, as in the case of establishing a claimant's nationality, the tribunal has to determine the issue finally, and *not* on a prima facie basis. However, there is an important distinction between the *overall burden of proof* (which remains with the claimant to establish his or her identity) and *two subsidiary questions*, namely:

- (1) the burden of proof that would arise (on the part of the respondent) if the respondent alleges that the claimant also has the nationality of the host State; and
- (2) an evidentiary burden (carried by the claimant) to establish particular facts relating to nationality that the respondent may choose to put in issue.

Accordingly, there is no *general* shift of the burden of proof from the claimant to the respondent in establishing nationality, and no change to the requirement that the claimant demonstrate the tribunal's jurisdiction to hear the case in the first place.

⁸⁶ *ibid* paras 309–11.

⁸⁷ *ibid* paras 312, 314 and 319.

⁸⁸ *Siag v Egypt* para 138.

⁸⁹ *ibid* para 139, citing *Oil Platforms (Iran v United States of America)* [1996] ICJ Rep 803, 847 (separate opinion, Judge Higgins).

⁹⁰ *ibid* paras 139–41.

⁹¹ *Duke Energy International Peru Investments No 1 Ltd v Peru* (Decision on Annulment) ICSID Case No ARB/03/28, IIC 483 (2011, McLachlan P, Hascher & Tomka).

⁹² *ibid* para 117.

- 5.55** A helpful illustration of the second subsidiary question (namely, the claimant's evidentiary burden to establish facts relating to nationality that the respondent may choose to put in issue) is *Soufraki v United Arab Emirates*. In that case, the Tribunal held that Soufraki carried the burden of establishing he possessed Italian nationality on the pertinent dates.⁹³ If he failed to do so, then the Tribunal would not have jurisdiction to decide the case at all. Soufraki submitted to the Tribunal certificates of his Italian nationality, which the Tribunal accepted as *prima facie* evidence of the existence of Soufraki's Italian nationality. At this point, the burden of proving the contrary would have fallen on the respondent. However, Soufraki's evidence did not pass the *prima facie* evidentiary burden. Certain factual aspects caused the Tribunal to doubt the accuracy of the certificates Soufraki provided, including textual gaps and inconsistencies between the certificates which Soufraki could not give an explanation for. These inconsistencies, among other factors, undermined the probative value of the certificates. Accordingly, Soufraki failed to discharge his burden of proving Italian nationality on the pertinent dates.
- 5.56** In assessing a challenge under ICSID Convention art 25(2)(b), the 'first limb', to a corporation's assertion that it held the nationality of the home State, the *Quiborax* Tribunal began by promulgating a burden-of-proof approach that resembled that of the *Oil Platforms Case*, but concluded with a specific statement on shifting burdens that arguably provides more structure.⁹⁴ At the jurisdictional stage, the Tribunal stated, the claimants must establish '(i) that the jurisdictional requirements of Article 25 of the ICSID Convention and of the relevant BIT are met, which includes proving the facts necessary to meet these requirements, and (ii) that they have a *prima facie* cause of action under the Treaty, that is that the facts they allege are susceptible of constituting a breach of the Treaty *if* they are ultimately proven. The Tribunal finds that this test strikes a proper balance between a more exacting standard which would call for examination of the merits at the jurisdictional stage, and a less exacting standard which would confer excessive weight to the Claimants' own characterization of their claims.'⁹⁵ However, in relation to shifting burdens, the Tribunal added that assuming the claimants have discharged their burden of proving they are investors, the question then would become whether the Respondent has 'disproven or raised sufficient doubts on the Claimants' allegations that they are "investors". Finally, on the basis of this overall analysis, [the Tribunal] will conclude whether or not the Claimants are investors.'⁹⁶
- 5.57** The *Caratube* Tribunal has been particularly helpful in setting out a burden of proof regime regarding foreign control issues under the 'second limb' of ICSID Convention art 25(2)(b).⁹⁷ Here, the key question is whether the putative claimant, a host State corporation, bears the burden of showing that it is under the control of a person or entity holding home State nationality, and, if so, what showing the putative claimant must make. The Tribunal's starting point was that the claimant bears the burden to establish the Tribunal's jurisdiction *ratione personae*.⁹⁸ The Tribunal recognised Schreuer's view that, under the ICSID Convention, an

⁹³ *Soufraki v United Arab Emirates* para 109.

⁹⁴ *Quiborax SA v Bolivia* (Decision on Jurisdiction) ICSID Case No ARB/06/2, IIC 563 (2012, Kaufmann-Kohler P, Lalonde & Stern).

⁹⁵ *ibid* para 54.

⁹⁶ *ibid* para 114.

⁹⁷ *Caratube International Oil Company LLP v Kazakhstan* (Award) ICSID Case No ARB/08/12, IIC 562 (2012, Böckstiegel P, Griffith & Hossain).

⁹⁸ *ibid* para 364.

agreement on nationality and foreign control that is apparent from the relevant BIT and is asserted by the claimant ‘would create a strong presumption in favour of foreign control that should be discarded only if it amounts to an unreasonable selection of the facts’.⁹⁹ This would effectively mean that the burden would fall on the respondent State, in this case Kazakhstan, to show that the claimant had not met the condition of the relevant BIT regarding foreign control. However, the *Caratube* Tribunal declined to follow the approach advanced by Schreuer.¹⁰⁰ Instead, the Tribunal ruled that the burden was on the claimant to show that it fulfilled the BIT’s criteria for control by another Contracting State: no presumption existed in favour of the claimant on this issue, though the burden could shift to the respondent based on an initially persuasive showing of foreign control—both subjective and objective—by the claimant.¹⁰¹

D. Investment Treaties

Bilateral investment treaties

Individuals (‘natural persons’)

The definition of a ‘national’, or an individual ‘investor’, for the purpose of the BIT may be the same overarching definition for both contracting States, or may include a more specific definition for one or both States. **5.58**

The 2006 France model BIT offers an example of a single definition: ‘The term “nationals” means physical persons possessing the nationality of either Contracting Party.’¹⁰² **5.59**

The China model BIT defines investor as ‘natural persons who have nationality of either Contracting Party in accordance with the laws of that Contracting Party.’¹⁰³ The 2012 US, 2008 UK, and 2008 Germany model BITs also define ‘nationals’ specifically by reference to the law in force in their respective countries, so the counter Contracting Party would have the opportunity to do the same.¹⁰⁴ **5.60**

The 2012 US model BIT has been developed to include two separate definitions of ‘national’, specifically incorporating the Iran–United States Claims Tribunal’s test for dual nationality. Therefore, while a ‘national’ is defined by ‘Title III of the Immigration and Nationality Act’ (ie by reference to US domestic law), the definition in art 1 of an ‘investor of a party’ specifically determines that ‘a natural person who is a dual national shall be deemed to be exclusively a national of the State of his or her dominant and effective nationality’.¹⁰⁵ **5.61**

The Sri Lanka–Iran BIT sets forth only the single definition of ‘national’, but qualifies this definition to exclude those who share dual nationality with the other contracting party. The Sri Lanka–Iran BIT applies to ‘natural persons who, according to the laws of one **5.62**

⁹⁹ Ibid para 365, citing Schreuer 313, para 815.

¹⁰⁰ *Caratube v Kazakhstan* para 365.

¹⁰¹ Ibid paras 367–8.

¹⁰² 2006 France model BIT (Appendix 10 below) art 1(2)(a).

¹⁰³ China model BIT art 1(2), reprinted in N Gallagher and W Shan, *Chinese Investment Treaties: Policies and Practice* (2009) Appendix IV.

¹⁰⁴ 2012 US model BIT (Appendix 6 below) art 1; 2008 UK model BIT (Appendix 4 below) art 1(c)(i); 2008 Germany model BIT (Appendix 7 below) art 1(3)(a).

¹⁰⁵ 2012 US model BIT (Appendix 6 below) art 1.

Contracting Party, having its nationality and are not nationals of the other Contracting Party'.¹⁰⁶ Framed differently, but having the same effect, the China-Cameroon BIT provides that, 'This Agreement shall not apply to investments made by natural persons who have nationality of both Contracting Parties'.¹⁰⁷

5.63 Some BITs require the additional criterion of residence or domicile. For example, Israel requires that Israeli 'nationals' be 'permanent residents of the State of Israel' under the Germany-Israel BIT,¹⁰⁸ and similar requirements are set out in the Netherlands-Chile BIT¹⁰⁹ and the Italy-Argentina BIT.¹¹⁰

5.64 It was once common for socialist States to exclude natural persons, and limit the protection afforded in the treaty to, for instance, 'Romanian economic units having legal personality and which, under the law of Romania, are entitled to trade abroad or undertake international economic cooperation activities'.¹¹¹

5.65 However, with the transition to market economies, such treaties have been reconsidered and include 'natural persons who, according to the law in force in Romania, are considered to be its citizens'.¹¹²

Corporations ('juridical persons')

5.66 The nationality of companies in the model BITs may comprise three criteria, referring to the state of incorporation, management (seat) of the company, or control.

¹⁰⁶ Agreement on Reciprocal Promotion and Protection of Investments (Iran-Sri Lanka) (signed 25 July 2000) art 1(2)(a). The Agreement for the Reciprocal Promotion and Protection of Investments (Israel-Romania) (signed 3 August 1998, entered into force 27 July 2003) also contains a qualification in respect of dual nationals. In the section addressing Israel's definition of 'investor', art 1 provides: 'With respect to physical persons—an individual who possesses both Israeli and Romanian citizenship, who invests in Israel shall not be considered a Romanian investor, for the purposes of this Agreement.'

¹⁰⁷ Agreement for the Promotion and Protection of Investments (Colombia-China) (signed 22 November 2008, entered into force 2 July 2013) art 2.2.

¹⁰⁸ Treaty concerning the Encouragement and Reciprocal Protection of Investments (Israel-Germany) (signed 24 June 1976, entered into force 14 April 1980) art 1(3)(b).

¹⁰⁹ Agreement on Encouragement and Reciprocal Protection of Investments (Netherlands-Chile) (signed 30 November 1998). The Protocol provides:

1. ad Article 1

a) Natural persons defined in Article 1, b, (i) who, at the time their investment is made, for more than five years have had their residence in the territory of the Republic of Chile in which their investment is located, may only invoke the rights granted under Article 4 and 8 of this Agreement if their investment constituted a capital inflow from outside the respective territory.

b) Natural persons as defined in Article 1, b, (i) of Kingdom of the Netherlands who are holding their investment in the territory of the Republic of Chile through a legal person located in a third State (i.e. nationals within the meaning of Article 1, b, (iii) of this Agreement) shall not be entitled to submit a dispute to international arbitration in accordance with the provisions of Article 8 of this Agreement, unless such persons have at the time their investment was made and ever since been domiciled in the territory of the Kingdom of the Netherlands.

¹¹⁰ Agreement for the Promotion and Protection of Investment (Italy-Argentina) (signed 22 May 1990, entered into force 14 October 1993).

¹¹¹ Agreement on the Mutual Promotion and Protection of Investments (Romania-UK) (signed 19 March 1976, entered into force 22 November 1976, terminated 10 January 1996) art 2(3)(a).

¹¹² Agreement for the Promotion and Reciprocal Protection of Investments (Romania-UK) (signed 13 July 1995, entered into force 10 January 1996) art 1(c)(ii).

The incorporation approach is adopted by the 2008 UK model BIT, whereby UK companies are ‘corporations, firms and associations incorporated or constituted under the law in force in any part of the United Kingdom’.¹¹³ **5.67**

This conception is invoked by the 2012 US model BIT, with the additional criterion that ‘a branch [is] located in the territory of a Party and carrying out business activities there’.¹¹⁴ **5.68**

Prior to the 2008 Germany model BIT, certain BITs entered into by Germany defined juridical persons by reference to their seat. For example, in the China–Germany BIT, ‘investor’ (in respect of Germany) includes ‘any juridical person as well as any commercial or other company or association with or without legal personality having its seat in the territory of the Federal Republic of Germany, irrespective of whether or not its activities are directed at profit.’¹¹⁵ (‘Seat’ is not expressly defined in the text of the China–Germany BIT.) In contrast, the 2008 Germany model BIT determines the nationality of a company by reference to German and European Union requirements for incorporation/registration.¹¹⁶ **5.69**

The Sri Lanka–Iran BIT requires both that the legal entity be ‘formed and incorporated under the laws of one Contracting Party and have their seat together with their substantial economic activities in the territory of that same Contracting Party’.¹¹⁷ **5.70**

The 2004 Netherlands model BIT requires either incorporation or control, affording protection to both those ‘legal persons constituted under the law of that Contracting Party’ (ie incorporated) and those ‘legal persons not constituted under the law of that Contracting Party but controlled, directly or indirectly, by natural persons as defined in (i) or by legal persons as defined in (ii)’.¹¹⁸ **5.71**

By way of example, the Netherlands–Argentina BIT deals with the issue of foreign control by reference to factors including affiliation and percentage shares held.¹¹⁹ The term ‘investor’ is defined, in art 1(b)(iii), as including ‘legal persons, wherever located, controlled, directly or indirectly, by nationals of that Contracting Party.’ The Protocol to the BIT details that **5.72**

¹¹³ 2008 UK model BIT (Appendix 4 below) art 1(d)(i).

¹¹⁴ 2012 US model BIT (Appendix 6 below) art 1 (definition of ‘enterprise of a Party’).

¹¹⁵ Agreement on the Encouragement and Reciprocal Protection of Investments (Germany–China) (signed 1 December 2003, entered into force 11 November 2005) art 1(2)(a). Similarly, the China model BIT art 1(2)(b) defines ‘investor’ as including ‘legal entities, including companies, associations, partnerships and other organizations, incorporated or constituted under the laws and regulations of either Contracting Party and have their seats in that Contracting Party’.

¹¹⁶ 2008 Germany model BIT (Appendix 7 below) art 1(3)(a) defines a corporate investor as including: any juridical person and any commercial or other company or association with or without legal personality which is founded pursuant to the law of the Federal Republic of Germany or the law of a Member State of the European Union or the European Economic Area and is organized pursuant to the law of the Federal Republic of Germany, registered in a public register in the Federal Republic of Germany or enjoys freedom of establishment as an agency or permanent establishment in Germany pursuant to Articles 43 and 48 of the EC Treaty.

¹¹⁷ Sri Lanka–Iran BIT art 1(2)(b).

¹¹⁸ 2004 Netherlands model BIT (Appendix 8 below) art 1(b)(ii) and (iii).

¹¹⁹ Agreement on Encouragement and Reciprocal Protection of Investments (Netherlands–Argentina) (signed 20 October 1992, entered into force 1 October 1994).

the following factors (among others) would be accepted as evidence of the requisite control: (i) being an affiliate of a legal person of the other Contracting Party; and (ii) having a direct or indirect participation in the capital of a company higher than 49 per cent or the direct or indirect possession of the necessary votes to obtain a predominant position in assemblies or company organs.

5.73 In another BIT entered into by the Netherlands with Bosnia and Herzegovina, control is defined in a different way.¹²⁰ Under art 1(b)(iii), ‘nationals’ include legal persons that are controlled, directly or indirectly, by natural legal persons. The Protocol to the BIT elaborates that indirect control of an investment means ‘control in fact, determined after an examination of the actual circumstances in each situation’. Relevant factors determining control include: (i) financial interest, including equity interest, in the investment; (ii) ability to exercise substantial influence over the management and operation of the investment; and (iii) ability to exercise substantial influence over the selection of members of the board of directors or any other managing body. The Protocol also makes clear that the investor claiming such control has the burden of proving that such control exists.

5.74 In another example, art 1.6.1 of the 2015 India model BIT distinguishes between control and ownership of an enterprise in this way:

1.6.1 For the purposes of this Treaty, an Enterprise will be considered as:

- (i) ‘Controlled’ by the Investor, if such Investor has the right to appoint a majority of the directors or senior management officials or to control the management or policy decisions of such Enterprise, including by virtue of their shareholding, management, partnership or other legal rights or by virtue of shareholders agreements or voting agreements or partnership agreements or any other agreements of similar nature.
- (ii) ‘Owned’ by the Investor, if more than 50% of the capital or funds or contribution in the Enterprise is directly or beneficially owned by such Investor, or by other companies or entities which are ultimately owned and controlled by the Investor.¹²¹

Multilateral Investment Treaties

NAFTA

5.75 The nationality requirements under NAFTA are as follows for the individual: ‘a natural person who is a citizen or permanent resident of a Party and any other natural person referred to in Annex 201.1’.¹²²

5.76 Annex 201.1 offers specific definitions, for the purpose of the treaty, by reference to the domestic Mexican and US laws on citizenship, respectively arts 30 and 34 of the Mexican Constitution and the ‘existing provisions of the [United States] *Immigration and Nationality Act*’.¹²³

5.77 The nationality of a company is conferred upon an enterprise ‘constituted or organized under the law of a Party, and a branch located in the territory of a Party and carrying out business activities there’.¹²⁴

¹²⁰ Agreement on Encouragement and Reciprocal Protection of Investments (Netherlands–Bosnia and Herzegovina) (signed 13 May 1998, entered into force 1 January 2002).

¹²¹ 2015 India model BIT available at <<http://investmentpolicyhub.unctad.org/Download/TreatyFile/3560>>.

¹²² NAFTA art 201.

¹²³ *ibid* Annex 201.1.

¹²⁴ *ibid* arts 201 and 1139.

A denial of benefits provision in art 1113(2), however, permits a Contracting Party to deny the benefits of the investment chapter of NAFTA where the enterprise is owned or controlled by investors of a non-Party and the enterprise has no substantial business activities in the territory of the Party under whose law it is constituted or organised. **5.78**

Energy Charter Treaty

The Energy Charter Treaty defines an ‘investor’ both ‘a natural person’ by reference to the contracting party’s ‘applicable’ domestic law, and ‘a company or other organization organized in accordance with the law applicable in that Contracting Party’.¹²⁵ However, like NAFTA, this broad application of the treaty to companies and organisations is qualified: art 17(1), in the context of a denial of benefits inquiry, requires consideration of whether the company’s connection with the State in which it is incorporated or organised is substantial. Specifically, art 17(1) permits a Contracting Party to deny the benefits of the treaty to a legal entity ‘if citizens or nationals of a third state own or control such entity and if that entity has no substantial business activities in the Area of the Contracting Party in which it is organized’.

Association of Southeast Asian Nations

Under the Comprehensive Investment Agreement of the Association of Southeast Asian Nations Agreement (ACIA), ‘investor’ is defined as a ‘natural person of a Member State or a juridical person of a Member State that is making, or has made an investment in the territory of any other Member State’.¹²⁶ In turn, the ACIA defines ‘juridical person’ as ‘any legal entity duly constituted or otherwise organised under the applicable law of a Member State’.¹²⁷ **5.80**

As a comparison, it is worth noting that art 9.1 of the Trans-Pacific Partnership Agreement¹²⁸ **5.81** (TPPA) adopts a similar definition of enterprise to the 2012 US model BIT. The TPPA defines ‘enterprise of a Party’ as ‘an enterprise constituted or organised under the law of a Party, or a branch located in the territory of a Party and carrying out business activities there’.¹²⁹ Similarly, art 1 of the US model BIT defines ‘enterprise’ as ‘any entity constituted or organized under applicable law, whether or not for profit, and whether privately or governmentally owned or controlled, including a corporation, trust, partnership, sole proprietorship, joint venture, association, or similar organization; and a branch of an enterprise’. The European Union–Canada Comprehensive Economic and Trade Agreement takes a different approach. It defines ‘investor’ as including an ‘enterprise of a Party’.¹³⁰ An enterprise of a

¹²⁵ Energy Charter Treaty art 1(7). As noted, art 1(7) is qualified by art 17(1) for corporate investors: see A Sinclair, ‘The Substance of Nationality Requirements in Investment Treaty Arbitration’ (2005) 20 ICSID Rev-FILJ 357, 378–387.

¹²⁶ ASEAN Comprehensive Investment Agreement (signed 26 February 2009, entered into force 29 March 2012) (‘ACIA’) art 4(d) (Appendix 3 below).

¹²⁷ *ibid* art 4(e) continues ‘... whether for profit or otherwise, and whether privately-owned or governmentally-owned, including any enterprise, corporation, trust, partnership, joint venture, sole proprietorship, association, or organisation’.

¹²⁸ Trans-Pacific Partnership Agreement 2016 (signed 6 February 2016, not yet in force) (Appendix 11 below).

¹²⁹ A footnote to this definition explains: ‘For greater certainty, the inclusion of a “branch” in the definitions of “enterprise” and “enterprise of a Party” is without prejudice to a Party’s ability to treat a branch under its laws as an entity that has no independent existence and is not separately organised.’

¹³⁰ European Union–Canada Comprehensive Economic and Trade Agreement (signed 6 July 2016, not yet in force) art X.3.

Party includes ‘an enterprise that is constituted or organised under the laws of that Party and has substantial business activities in the territory of that Party’.

ICSID Convention Article 25

5.82 As already set out at the beginning of this chapter, art 25(2) of the ICSID Convention defines the nationality of natural persons or individuals, and juridical persons in this way:

- (2) ‘National of another Contracting State’ means:
 - (a) any natural person who had the nationality of a Contracting State other than the State party to the dispute on the date on which the parties consented to submit such dispute to conciliation or arbitration as well as on the date on which the request was registered pursuant to paragraph (3) of Article 28 or paragraph (3) of Article 36, but does not include any person who on either date also had the nationality of the Contracting State party to the dispute; and
 - (b) any juridical person which had the nationality of a Contracting State other than the State party to the dispute on the date on which the parties consented to submit such dispute to conciliation or arbitration and any juridical person which had the nationality of the Contracting State party to the dispute on that date and which, because of foreign control, the parties have agreed should be treated as a national of another Contracting State for the purposes of this Convention.¹³¹

With the Convention silent on the method to be employed, early ICSID awards, such as *Amco v Indonesia*, applied the requirements for nationality as being the ‘place of incorporation’ and the ‘place of its registered seat’.¹³² As Schreuer has explained: ‘The overwhelming weight of the authority ... points towards the traditional criteria of incorporation or seat for the determination of corporate nationality under Art. 25(2)(b). It follows that the reference to foreign control in Art. 25(2)(b) does not impose a further general requirement upon investors having the requisite foreign nationality in order for them to submit a dispute to ICSID ... The question of the corporate investor’s nationality may be clarified through an agreement between the host State and the investor.’¹³³

E. Awards on the Nationality of Individuals

General Principles

5.83 The established principle relevant to both ICSID (per art 25(2)(a)) and non-ICSID cases is that where dual nationality is not at issue,¹³⁴ the diplomatic protection ‘effective nationality’ test is not applicable.¹³⁵ Nationality simply has to be acquired in conformity with the law of

¹³¹ See C Schreuer, ‘Commentary on the ICSID Convention: Article 25’ (1997) ICSID Rev-FILJ 59, 68–78 for a detailed analysis.

¹³² *Amco Asia Corp v Indonesia* (Decision on Jurisdiction) ICSID Case No ARB/81/1, 1 ICSID Rep 376 (1983, Goldman P, Foighel & Rubin) 394.

¹³³ See *Tokios Tokelés v Ukraine*. See C Schreuer, ‘Commentary on the ICSID Convention: Article 25’ 84. For further analysis see Schreuer 283 paras 707–8.

¹³⁴ That is, the claimant-individual is not a national of both the home and host States.

¹³⁵ See eg *Arif v Moldova* (Award) ICSID Case No ARB/11/23, IIC 585 (2013, Cremades P, Hanotiau & Knieper).

the home State, which is sovereign in establishing the legal conditions that must be fulfilled by an individual in order to be vested with the State's nationality.¹³⁶ Moreover, a home State's determination of nationality of an individual will not be disturbed, unless the respondent State adduces clear and convincing evidence of fraudulent acquisition of nationality or that the acquisition resulted from a material error.¹³⁷

The jurisdictional decision in *Fakes v Turkey*,¹³⁸ an ICSID case brought under the Netherlands–Turkey BIT, is helpful in explicating the principle stated above. The claimant held both Dutch and Jordanian nationalities. The respondent State argued that the effective nationality test as set out by the ICJ in the *Nottebohm* case was applicable.¹³⁹ Under this test, according to the respondent, the claimant did not submit evidence of the effectiveness of his Dutch nationality and instead there was evidence that he held an effective Jordanian nationality, disqualifying him from claiming under the BIT. The claimant countered that effective nationality has no relevance in ICSID arbitration, and that his dual nationality did not concern the nationality of Turkey pursuant to the terms of the BIT.¹⁴⁰ Accordingly, under both the BIT and art 25(2)(a) of the ICSID Convention, he qualified as an investor. **5.84**

The Tribunal held that the claimant had established jurisdiction *ratione personae*. Under the ICSID Convention, there was no reference to the effectiveness of an investor's nationality.¹⁴¹ Moreover, the Convention did not exclude claims of dual nationals per se, where the dual national held the nationality of at least one Contracting State but not the host State.¹⁴² That was the factual context of the present case. The *Fakes* Tribunal's rejection of any effective nationality test was in accord with the drafting history of the Convention and the jurisdictional determinations in, eg *Micula v Romania*¹⁴³ and *Pey Casado v Chile*,¹⁴⁴ with the latter case also having provided a similar ruling on the issue of dual nationals who did not hold the nationality of the host State. **5.85**

The *Fakes* award is particularly useful in detailing the reasons for the inapplicability of the *Nottebohm* case in investment treaty arbitration, in the face of the respondent State's contention that previous ICSID tribunals had not excluded the application of this test. In summary, the Tribunal explained that in the context of diplomatic protection, the requirement of a 'genuine link' with the State of nationality made sense when the State was asserting a claim on behalf of an individual, but in treaty arbitration the State does not assert a claim.¹⁴⁵ Indeed, under the ICSID Convention, the Contracting Parties have waived their right to grant diplomatic protection to or bring an international claim on behalf of their nationals **5.86**

¹³⁶ See also *Oostergetel v Slovakia* (Decision on Jurisdiction) (UNCITRAL, 2010, Kaufmann-Kohler P, Trapl & Wladmiroff) para 119.

¹³⁷ See *Arif v Moldova* and *Micula v Romania*.

¹³⁸ *Fakes v Turkey* (Award) ICSID Case No ARB/07/20, IIC 439 (2010, Gaillard P, Lévy & van Houtte).

¹³⁹ *ibid* para 54, citing *Nottebohm*.

¹⁴⁰ *ibid* para 55.

¹⁴¹ *ibid* para 63.

¹⁴² *ibid* para 62.

¹⁴³ *ibid* para 64, citing *Micula v Romania* para 101.

¹⁴⁴ *ibid* paras 61 and 63, citing *Pey Casado v Chile* (Award) ICSID Case No ARB/98/2 (2008, Lalive P, Chemloul & Gaillard) para 241.

¹⁴⁵ *ibid* para 68.

who pursue arbitration at ICSID.¹⁴⁶ The rules of customary international law do not apply as such to investor–State arbitration. The Tribunal quoted Sinclair’s work on ICSID’s nationality requirements with approval, in which Sinclair commented that there was an increasingly clear distinction in ICSID jurisprudence between standing for the purposes of ICSID jurisdiction and the rules governing nationality in diplomatic protection cases: in ICSID arbitration, ‘the significance of the bond of nationality seems to have diminished to a mere formality’.¹⁴⁷ Furthermore, ‘this bond is relevant only to determine whether the facilities of [ICSID] could be used by the parties [who have] agreed to do so.’¹⁴⁸ The *Fakes* Tribunal further commented that decisions of the Iran–US Claims Tribunal were inapposite in this regard because the Algiers Declarations must be understood as consistent with the effective nationality test in *Nottebohm*.¹⁴⁹

- 5.87** The *Fakes* Tribunal rejected the respondent State’s assertion that ICSID cases embraced the effective nationality test. It noted that the *Siag v Egypt* majority concurred with *Champion Trading’s* conclusion that art 25 of the ICSID Convention excluded a test of dominant or effective nationality.¹⁵⁰ The Tribunal considered that the respondent State’s effort to distinguish these cases ‘finds no support in the text of the Convention’.¹⁵¹ The Tribunal acknowledged that this ‘is not to say that the effective nationality test never has any bearing in the context of ICSID arbitration’.¹⁵² Similarly, Broches recognised that a nationality of convenience or a nationality ‘*acquired involuntarily by an investor*’ might be disregarded in the particular circumstances of a given case.¹⁵³ But those would be exceptional circumstances, and did not exist in the case before the Tribunal.

Dual nationality

- 5.88** In the non-ICSID context, where the individual’s dual nationality is that of the home Contracting State and of a third State that is not a Contracting State, there is no basis under international investment law (again, unless the relevant treaty specifies otherwise) to apply the *Nottebohm* test and to seek to determine the ‘effective nationality’ of the claimant individual. Indeed, under customary international law, such a dual national is not precluded from pursuing a claim for diplomatic protection. Article 6(1) of the Draft Articles on Diplomatic Protection, titled ‘Multiple nationality and claim against a third State’, provides that any ‘State of which a dual or multiple national is a national may exercise diplomatic protection in respect of that national against a State of which that person is not a national’.¹⁵⁴ The commentary to art 6 explains that although some support exists for the requirement of a genuine or effective link between the State of nationality

¹⁴⁶ *ibid* para 69.

¹⁴⁷ *ibid* para 69, citing A Sinclair, ‘ICSID’s Nationality Requirement’ in T Weiler (ed) *Investment Treaty Arbitration and International Law* (2008) 86–7.

¹⁴⁸ *ibid*, citing Sinclair, ‘ICSID’s Nationality Requirement’ 86–7, citing A Broches, ‘The Convention on the Settlement of Investment Disputes between States and Nationals of Other States’ (1972) 136 *Recueil des Cours* 331, 349.

¹⁴⁹ *ibid* para 71.

¹⁵⁰ *ibid* para 73 citing *Siag v Egypt* para 198, citing *Champion Trading Co v Egypt* (Decision on Jurisdiction) ICSID Case No ARB/02/9 (2003, Briner P, Aynès & Fortier).

¹⁵¹ *ibid* para 76.

¹⁵² *ibid* para 77.

¹⁵³ *ibid*, citing A Broches, *Selected Essays: World Bank, ICSID, and Other Subjects of Public and Private International Law* (1995) 204–5 (emphasis in original).

¹⁵⁴ ILC ‘Diplomatic Protection: Draft Articles with Commentaries’.

and a dual or multiple national in the case of exercise of diplomatic protection against a State of which the individual is not a national, the weight of authority does not require such a link.¹⁵⁵

When the dual nationality of the individual is arguably that of the home and host States, the general rule is that the individual: (i) is precluded, in the ICSID context (Convention art 25(2)(a)), from pursuing a claim against the host State, and (ii) is not necessarily precluded, in the non-ICSID context, from pursuing a claim against the host State, but to do so must demonstrate that her home State nationality is predominant both at the date of the alleged injury and at the date of the submission of the claim.¹⁵⁶ However, two important cases, one ICSID and one UNCITRAL, show that the general rule can become riven with complications (ICSID) or not applied (UNCITRAL). **5.89**

The ICSID case is *Siag v Egypt*,¹⁵⁷ under the Italy–Egypt BIT. The individual claimants were citizens of Italy, and alleged that Egypt confiscated their investment (oceanfront land and a resort under development). The *ratione personae* jurisdictional issue was whether Mr Siag had Egyptian nationality in addition to Italian nationality on the date of the submission of the request for arbitration and the date of registration of the request for arbitration. The respondent State objected that the claimant individuals had never lost their Egyptian nationality, whereas the individuals argued that they had done so. **5.90**

The *Siag* Tribunal usefully set out two principles of jurisdiction *ratione personae* under international investment law in the ICSID context (following the approach set out in *Soufraki v United Arab Emirates*), in its Decision on Jurisdiction: **5.91**

- (1) The domestic laws of each Contracting State determine nationality.
- (2) However, an international tribunal is not bound by the national law in question in all circumstances. The Tribunal will accord great weight to the nationality law of the State in question and to the State's interpretation of that law, but will decide for itself whether the person was in fact a national of the State in question, and when.¹⁵⁸

After a detailed investigation of the facts before it, the *Siag* majority determined that neither of the individual claimants was an Egyptian national at the relevant times for jurisdictional purposes. Through the operation of Egypt's nationality law, the individuals had lost their Egyptian nationality. As the Tribunal put it, the case 'concerns a state, through operation of its domestic law, ceasing to regard individuals as its nationals'.¹⁵⁹ Accordingly, the claimant individuals successfully demonstrated jurisdiction *ratione personae* despite the respondent State's objections. There was no need to consider whether either individual had a genuine link to Italian nationality; under the BIT, the avenue of diplomatic protection was specifically excluded while the arbitration was in progress.

In dissent, Orrego Vicuña observed that Siag was Egyptian at the time the investment in Egypt was made. Since art 25(2)(a) of the ICSID Convention was unequivocal that host **5.92**

¹⁵⁵ *ibid* art 6 commentary para 3.

¹⁵⁶ *ibid* art 7.

¹⁵⁷ *Siag v Egypt* (Decision on Jurisdiction) ICSID Case No ARB/05/15, IIC 288 (2007, Pryles P, Williams & Orrego Vicuña (dissenting)).

¹⁵⁸ *ibid* para 150, citing *Soufraki v United Arab Emirates* (Award) ICSID Case No ARB/02/7, IIC 131 (2004, Fortier P, El-Kohly & Schwebel) para 55.

¹⁵⁹ *ibid* para 199.

States could not be taken to arbitration by investors who were their nationals, upholding *Siag's* standing and denying his Egyptian nationality was at odds with the meaning of the Convention. That is, in Orrego Vicuña's view, the negative test for an individual's nationality—ie the individual cannot be a national of the host State—applies not only when the investor consents to arbitration 'but also at that [date] in which the State consents, or at the date the investment was made'.¹⁶⁰ However, Orrego Vicuña recognised that his reading of the Convention on this point did not find support in a strict reading of art 25 or in the ICSID Arbitration Rules.¹⁶¹ While the dissent provides a compelling argument that does seem in harmony with the meaning of the Convention in the light of its drafting history, it is not likely to have much influence in future cases.

5.93 Thus, while *Siag* affirmed the art 25(2)(a) bar against home and host State nationality, the Decision on Jurisdiction also demonstrated that ICSID arbitrators have a legal basis for testing the host (or home) State's determination of an individual's nationality, such that if the individual did not hold such nationality at the arbitration commencement dates, jurisdiction *ratione personae* might well be accepted.

5.94 To be sure, the circumstances of the claimant individuals in *Siag* were exceptional in that they were able to persuade the Tribunal that they had lost host State nationality. It is often the situation that dual home and host State nationals do not have a plausible argument that they have lost their host State nationality. In those situations, such individuals are often advised not to choose ICSID arbitration if another arbitral method exists, because of the negative test posed by art 25(2)(a). For example, no such negative test exists under the UNCITRAL arbitration. However, it has generally been the holding in UNCITRAL or other non-ICSID arbitrations that such dual national claimants must nonetheless demonstrate that their effective or genuine nationality is their home State nationality, so that they can invoke the relevant treaty's protections on the grounds that the treaty itself, interpreted under international law, requires that a home State national be the qualifying investor. In this respect, the law of diplomatic protection has had a lasting effect on international investment arbitration. As mentioned above, art 7 of the Draft Articles on Diplomatic Protection¹⁶² states that the predominant nationality of an individual holding dual home and host State nationalities must be the home State nationality in order for the home State to exercise diplomatic protection. The application of the dominant and effective nationality test is discussed above at para 5.23, where it is noted that the test takes into account factors such as habitual residence, centre of interests, family ties, participation in public life, and other evidence of attachment to a particular nationality.

5.95 However, the recent jurisdictional decision by the UNCITRAL Tribunal in *Armas v Venezuela*,¹⁶³ under the Spain–Venezuela BIT, has now put in doubt whether the effective nationality test will survive in the case of dual home and host State nationality in non-ICSID cases. In *Armas*, the claimant individuals were nationals of both Spain and Venezuela. Venezuela objected to jurisdiction on the grounds that the claimants' effective nationality was Venezuelan, not Spanish, and argued that it was appropriate to apply the diplomatic

¹⁶⁰ *Siag v Egypt* (Dissenting Opinion, Orrego Vicuña) para 18.

¹⁶¹ *ibid.*

¹⁶² ILC 'Diplomatic Protection: Draft Articles with Commentaries'.

¹⁶³ *Armas v Venezuela* (Decision on Jurisdiction) PCA Case No 2013-3 (2014, Grebler P, Oreamuno Blanco & Santiago Tawil).

protection doctrine because both the BIT and the Vienna Convention on the Law of Treaties directed that the Tribunal should apply international law when interpreting the BIT. The Tribunal rejected the objection. It held that the BIT constituted a *lex specialis*, and as such the terms of the BIT shall prevail when clear. Here, the terms were clear, according to the Tribunal, and for the purposes of the BIT, Spanish nationality was sufficient and there was no constraint on dual home and host State nationals invoking treaty protections. In other BITs that Venezuela and Spain had entered into, such a constraint expressly existed, which had an impact on the decision reached by the Tribunal.

Armas is a path-breaking decision in its unwillingness to apply a diplomatic protection test that previous tribunals have conventionally applied in non-ICSID cases of claimant individuals who were dual home and host State nationals. While path-breaking, *Armas* is also an outlier that disrupts an otherwise coherent *jurisprudence constante* in favour of the dominant and effective nationality test. The better view (advocated by Dugan, Wallace, Rubins and Sabahi) is that where a BIT or investment agreement contains a broad definition of investor (without specifically addressing the eligibility of dual nationals to bring arbitral proceedings), a tribunal may 'apply international law to fill any perceived lacuna, also permitting the application of the *effective nationality test*'.¹⁶⁴ Douglas also supports this position, stating that, where an individual claimant with the nationality of one Contracting State also has the nationality of the host State, the tribunal's jurisdiction *ratione personae* 'extends to such individuals only if the former nationality is the dominant of the two' (subject, of course, to a contrary provision of an investment treaty or application of art 25(2) of the ICSID Convention).¹⁶⁵ In breaking away from this *jurisprudence constante*, the *Armas* decision demonstrates how international investment arbitration is continuing to develop its own set of rules and principles that distinguish the process from the rules applied in general international law.

5.96

Mass claimants

The requirement that an investor establish that he satisfies the applicable nationality and domicile stipulations applies equally in arbitrations involving one investor or multiple investors. Investment treaty tribunals have commonly accepted jurisdiction over claims involving multiple parties.¹⁶⁶ The number of claimants has not, by itself, necessarily operated as a bar against a finding of jurisdiction (even if jurisdiction may have been denied on other grounds).¹⁶⁷

5.97

¹⁶⁴ C Dugan, D Wallace, N Rubins and B Sabahi, *Investor-State Arbitration* (2008) 304 (emphasis in original).

¹⁶⁵ Douglas 321.

¹⁶⁶ *Goetz v Burundi* (Award) ICSID Case No ARB/95/3, 6 ICSID Rep 3, IIC 16 (1999, Weil P, Bedjaoui & Bredin)—involving six individual Belgian shareholders in a Burundian company; *Suez Sociedad General de Aguas de Barcelona SA v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/03/17, IIC 236 (2006, Salacuse P, Kaufmann-Kohler & Nikken)—involving one French and two Spanish shareholders in an Argentine water company; *Urbaser SA v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/07/26, IIC 447 (2012, Bucher P, Martinez-Fraga & McLachlan)—involving two Spanish shareholders in an Argentine water company; *OKO Pankki Oyj v Estonia* (Award) ICSID Case No ARB/04/6 (2007, de Witt Wijnen P, Fortier & Veeder)—involving one German and two Finnish banks; and *Funnekotter v Zimbabwe* (Award) ICSID Case No ARB/05/6, IIC 370 (2009, Guillaume P, Cass & Wasi Zafar)—involving 14 unaffiliated Dutch investors in different farms in Zimbabwe.

¹⁶⁷ See discussion in Chapter 4, especially paras 4.206–4.214. *Anderson v Costa Rica* (Award) ICSID Case No ARB(AF)/07/3, IIC 437 (2010, Morelli Rico P, Salacuse & Vinuesa)—involving 137 investors, but jurisdiction was denied because of lack of investments 'owned in accordance with the laws' of Costa Rica; *Bayview Irrigation District v Mexico* (Award) ICSID Case No ARB(AF)/05/1, IIC 290 (2007, Lowe P, Gómez-Palacio

5.98 What has arisen as an issue in investment arbitrations involving multiple parties is the logistics involved in verifying that each claimant satisfies the applicable nationality requirements. The best-known example of this logistical challenge is *Abaclat*.¹⁶⁸ A central issue is how to manage the case proceedings, and the large volume of documentary evidence involved, in a way that best balances the parties' competing rights and interests.¹⁶⁹

5.99 In *Abaclat*, the Tribunal permitted an arbitration to proceed where it involved some 60,000 claimants. As the Tribunal recognised, notwithstanding the large number of claimants involved, it would be necessary for the Tribunal to be persuaded of the elements of jurisdiction in respect to each claimant, namely the nationality of the claimant, its status as an investor and the existence of its investment.¹⁷⁰ Given the significant number of claimants, it would be necessary for the Tribunal to develop a mechanism for processing this large amount of information:

[I]t is undeniable that the Tribunal will not be in a position to examine all elements and related documents in the same way as if there were only a handful of Claimants. In this respect, the Tribunal would need to implement mechanisms allowing a simplified verification of evidentiary material, while this simplification can concern either the depth of examination of a document (e.g. accepting a scanned copy of an ID document instead of an original), or the number of evidentiary documents to be examined, and if so their selection process (i.e. a random selection of samples instead of a serial examination of each document) ... However, such a simplification of the examination process is to be distinguished from the failure to proceed with such examination.¹⁷¹

5.100 In *Abaclat*, each individual claimant had to supply information confirming its nationality/nationalities at the relevant points in time, and such information was then compiled into a database (the Claimants' Database). The Tribunal also appointed an expert to examine and verify the documents in the Claimants' Database, specifically that natural persons satisfied both the requisite nationality and domicile requirements, and that juridical persons met the applicable incorporation requirements, pursuant to the relevant BIT and to the ICSID Convention.¹⁷²

5.101 While the Tribunal had considered simply using a sampling procedure (for example, the expert proposed the sampling of 1,060 claims of natural persons), it ultimately decided to

& Meese)—involving 46 claimants, but jurisdiction was denied because of lack of 'investment' in Mexico; *Canadian Cattlemen for Fair Trade v United States of America* (Award on Jurisdiction) IIC 316 (UNCITRAL, 2008, Böckstiege P, Bacchus & Low)—involving 109 claimants, but jurisdiction was declined for lack of 'investment' in the United States; and *Alemanni v Argentina* (Jurisdiction and Admissibility) ICSID Case No ARB/07/8, IIC 666 (2014, Bermann P, Böckstiegel & Thomas)—involving, initially, 183 Italian individuals and legal entities.

¹⁶⁸ *Abaclat v Argentina* (Decision on Jurisdiction and Admissibility) ICSID Case No ARB/07/5, IIC 504 (2011, Tercier P & van den Berg, Abi-Saab (dissenting)).

¹⁶⁹ *ibid* para 519: 'The need for certain adaptations to the standard ICSID arbitration procedure merely derives from the impossibility to anticipate all kinds of possible investments and disputes, and is certainly not a sufficient motive to simply close the door of ICSID arbitration to investors who are not "standard investors" having made "standard investments." However, it is understood that adaptations made to the standard procedure must be done in consideration of the general principle of due process and must seek a balance between procedural rights and interests of each party.'

¹⁷⁰ *ibid* para 529.

¹⁷¹ *ibid* para 531.

¹⁷² *Abaclat v Argentina* (Procedural Order No 15) (2012) para 19.

proceed with a full review, in order to respect the respondent State's right to defend itself against each claimant individually.¹⁷³

In addition to the logistical issues, another mass claimant case, *Ambiente v Argentina*, addressed two issues: first, who should bear the burden of proof for establishing nationality requirements; and second, at what stage of the proceedings should nationality be established. **5.102**

As to the first issue, the majority held that the claimants bore the burden of establishing the positive nationality requirements (in *Ambiente*, natural-person claimants had to show they held Italian nationality at the relevant times, and juridical person claimants had to show that they were incorporated under Italian law). However, the respondent State bore the burden of proving (with evidence) the negative elements of nationality, namely that the claimants were not Argentine (for example, as dual nationality holders) and had not been domiciled in Argentina for more than two years.¹⁷⁴ **5.103**

The dissenting arbitrator considered that the claimants should bear the burden of proving all the elements of nationality. The dissenting arbitrator reasoned that since the claimants were the party seeking to establish that they were protected investors, they carried the burden of proving all positive and negative elements of the nationality and domicile requirements under the applicable treaty or law.¹⁷⁵ The dissent criticised the majority for 'mak[ing] easier the burden of proof for the Claimants at the expense of burdening the Respondent with the heavier lot',¹⁷⁶ and in doing so, 'depart[ing] from the well-settled principle in international law ... that the litigant seeking to establish the existence of a fact ... bears the burden of proving it.'¹⁷⁷ **5.104**

As to the second issue, the majority held that it was sufficient to show, at the jurisdiction stage, that 'at least some of the Claimants' qualified as covered investors under the applicable treaty, in order for the case to proceed to the merits.¹⁷⁸ However, the State could submit documents later on in the proceedings to raise any doubts about whether individual claimants satisfied the nationality requirements. The Tribunal also reserved the right to enter into a more detailed analysis of these individual cases 'at a later stage as necessary and appropriate'.¹⁷⁹ **5.105**

In contrast, the dissenting arbitrator said that it would be appropriate for the Tribunal to complete examining and verifying the claimants' nationality at the jurisdiction stage, before proceeding to the merits stage. Otherwise, if it turned out that none of the claimants satisfied the nationality requirements, the merits decision would be rendered an 'empty shell'.¹⁸⁰ The dissenting arbitrator noted that this was not a case involving a huge number of claimants—there were 90 claimants compared with 60,000 in *Abaclat*. As such the verification of the **5.106**

¹⁷³ *Abaclat* (Decision on Jurisdiction and Admissibility) paras 665–6; and Procedural Order No 17 (2013) paras 4, 8 and 25.

¹⁷⁴ *Ambiente Ufficio SpA v Argentina* (Decision on Jurisdiction and Admissibility) ICSID Case No ARB/08/9, IIC 576 (2013, Simma P, Böckstiegel & Torres Bernárdez (dissenting)) para 312.

¹⁷⁵ *ibid* (Dissenting Opinion, Torres Bernárdez) para 141.

¹⁷⁶ *ibid* para 136.

¹⁷⁷ *ibid* para 140, citing *Military and Paramilitary Activities in and against Nicaragua (Nicaragua v USA)* (Jurisdiction) [1984] ICJ Rep 392, 437, para 101.

¹⁷⁸ *Ambiente v Argentina* para 324.

¹⁷⁹ *ibid* para 325.

¹⁸⁰ *Ambiente* (Dissenting Opinion, Torres Bernárdez) para 121.

ratione personae requirements of each individual claimant was ‘doubtlessly manageable’ for the Tribunal.¹⁸¹

- 5.107** The approach to dealing with multiple investors undertaken in *Abaclat* and *Ambiente* was affirmed in a third multi-investor case, *Alemanni*.¹⁸² There the respondent argued that the multiplicity of claimants (ranging between 183 and 74 investors) and the variations between them required ‘procedural innovations that lie beyond the powers of an ICSID tribunal and will not be able to protect the due process rights of the Respondent’.¹⁸³ The Tribunal rejected this argument for two reasons. First, the ICSID Convention itself, given its ordinary meaning (as required by art 31(1) of the Vienna Convention on the Law of Treaties), did not prohibit arbitrations involving multiple investors. Specifically, art 25 of the ICSID Convention did not limit arbitration to proceedings involving only one investor.¹⁸⁴ Second, the Tribunal considered that it could readily devise appropriate procedural solutions to deal with the multiplicity of claimants, including verifying that each individual claimant met the requisite nationality requirements. In the Tribunal’s view, mere inefficiency (arising from having to verify a large amount of information) would not justify depriving the ‘claimants of a right to be heard that they would otherwise have’.¹⁸⁵ In fairness to the respondent, the Tribunal conceded each claimant would have to prove it met the nationality requirements for ‘each Claimant claims in his own name, advancing his own personal loss in respect of his own identified investment’.¹⁸⁶ However, given the relatively limited number of claimants in this case, the Tribunal was reluctant to describe the proceedings as a ‘mass arbitration’ at all, as a range of between 183 and 74 investors did not ‘in ordinary usage fit the descriptor “mass”’.¹⁸⁷ Thus, verifying the nationality of each claimant in these circumstances would be manageable.
- 5.108** Further, the *Alemanni* Tribunal took heed of the way the Tribunals in *Abaclat* and *Ambiente* had successfully dealt with the same types of logistical issues presented in *Alemanni*. By the time the *Alemanni* Tribunal issued its decision on jurisdiction, both the *Abaclat* and *Ambiente* cases had proceeded to the merits stage of each case respectively and the *Abaclat* Tribunal had made numerous procedural orders to deal with the large amount of information that needed to be verified.¹⁸⁸ Following the approaches in *Abaclat* and *Ambiente*, the *Alemanni* Tribunal affirmed that, citing *Ambiente*, the ‘mere number of Claimants ... would [not] make the proceedings “unmanageable” ... or violate fundamental principles of due process’ either in the jurisdictional or merits phases.¹⁸⁹
- 5.109** The decisions in the three principal mass claimant cases to date indicate that tribunals will continue to entertain such claims and will seek to accommodate them by developing pragmatic, cost-effective methods to verify, at least provisionally, the *ratione personae* status of each of the claimants. However, the case management methods in this regard are

¹⁸¹ *ibid* para 120.

¹⁸² *Alemanni v Argentina* (Decision on Jurisdiction and Admissibility) ICSID Case No ARB/07/8, IIC 666 (2014, Berman P, Böckstiegel & Thomas).

¹⁸³ *ibid* para 318.

¹⁸⁴ *ibid* paras 270–1.

¹⁸⁵ *ibid* para 324.

¹⁸⁶ *ibid* para 267.

¹⁸⁷ *ibid*.

¹⁸⁸ *ibid* para 324.

¹⁸⁹ *ibid*, citing *Ambiente v Argentina* para 166.

also likely to remain controversial. As the dissenting opinion in *Ambiente* suggests, there may be future resistance from some arbitrators to methods that appear to be too cursory at the jurisdictional stage, and thereby place respondent states at a disadvantage by lowering the *ratione personae* bar. There will also undoubtedly be continuing controversy over the number of claimants that should justify special case management treatment of a 'mass claimant' type for purposes of assessing the nationality of each purported member of the claimant group.

F. Awards on the Nationality of Corporations

ICSID Convention Article 25(2)(b)—first limb

In ICSID arbitrations where the claimant is a corporation or juridical person, the tribunal's *ratione personae* jurisdiction must be established pursuant to both art 25(1) of the ICSID Convention *and* either the first limb or the second limb of art 25(2)(b), as well as the BIT (or investment agreement/investment law) on which the claimant relies to invoke arbitration under ICSID. Thus, the claimant corporation must show either: 5.110

- (i) under the first limb, that it had the nationality of the home State (ie it had the nationality 'of a Contracting State other than the State Party to the dispute') on the date of submission of the dispute, pursuant to the definition of nationality in the relevant investment instrument, or
- (ii) under the second limb, the claimant had the nationality of the respondent State on the date of submission, 'and which, because of foreign control, the parties have agreed should be treated as a national of another Contracting State'.

Under the second limb there is an express issue regarding 'foreign control' of a claimant corporation with the respondent State's nationality. In contrast, the point of contention under the first limb has been whether foreign control has any role when the claimant corporation satisfies the nationality criterion of the home State and the BIT is silent on imposing any control requirement.¹⁹⁰

Tokios: the context, issues, decision, and dissent

The *Tokios*¹⁹¹ arbitration featured a contest between the competing tests of (a) substantive control versus (b) corporate form of the investment vehicle, to determine the nationality requirement under the first limb of ICSID Convention art 25(2)(b). This contest results in option (b), formal corporate form, prevailing in *Tokios* and in subsequent ICSID jurisprudence: in the absence of an express 'control' provision in the relevant BIT,¹⁹² and interpreting art 25(2)(b)'s first limb, corporate form, not substantive control, is the relevant criterion. It is nonetheless instructive to recall that *Tokios* was a majority decision in which the dissenting 5.111

¹⁹⁰ *Ratione personae* determinations pursuant to either limb of art 25(2)(b) are subject to the *ratione temporis* requirement and any potential 'abuse of process' proscription accompanying a claimant's change in nationality: see paras 5.159 *et seq* below.

¹⁹¹ *Tokios Tokelés v Ukraine* (Decision on Jurisdiction) ICSID Case No ARB/02/18, 11 ICSID Rep 313, IIC 258 (2004, Weil P (dissenting), Price & Bernardini).

¹⁹² The Ukraine–Lithuania BIT contained a control provision, but it only related to nationals of any third State, not to the two contracting States: Agreement for the Promotion and Reciprocal Protection of Investments (Ukraine–Lithuania) (signed 8 February 1994, entered into force 27 February 1995).

arbitrator (Weil) was the President of the Tribunal. Weil's dissent is still relied on by respondent States in ICSID cases,¹⁹³ but it has not enjoyed a successful afterlife, and there can no longer be any reasonable expectation that it will do so or should do so.¹⁹⁴

- 5.112** *Tokios* was based on the following background facts. The claimant, Tokios Tokelés (Tokios), was a Lithuanian corporation. It created a wholly-owned subsidiary under Ukrainian law. The claimant alleged that Ukraine took actions regarding the subsidiary that constituted a breach of the Ukraine–Lithuania BIT. Tokios filed a request for arbitration with ICSID in 2002, together with its Ukrainian subsidiary.¹⁹⁵
- 5.113** The Ukraine–Lithuania BIT defined ‘investors’ in respect of Ukraine as natural persons who are nationals of Ukraine under Ukrainian law, and entities established in Ukraine. In respect of Lithuania, the same definitions were included. There was also an additional category of nationals in respect of either Ukraine or Lithuania—any entity established in any third State controlled, directly or indirectly, by nationals of either Ukraine or Lithuania, or by entities with their seat in the contracting party. ‘Control’ was defined as requiring ‘a substantial part in the ownership’.¹⁹⁶ Tokios removed the subsidiary as a claimant on the grounds that the subsidiary could not be considered a national of Lithuania under the BIT and art 25(2)(b) (second limb) of the ICSID Convention.¹⁹⁷ This ‘control’ test had no impact on the question of nationality as between corporations and owners that were themselves nationals of the two contracting States.
- 5.114** Tokios, although a Lithuanian corporation, was 99 per cent owned by nationals of Ukraine. Ukrainian nationals also made up two-thirds of the management of Tokios.¹⁹⁸ Relying on the principle that the purpose of the ICSID Convention is to ‘facilitate the settlement of investment disputes between States and nationals of other States’, and ‘is not meant for disputes between States and their own nationals’,¹⁹⁹ Ukraine argued that the Tribunal should ‘pierce the corporate veil’ and find that despite the claimant having Lithuania as its State of incorporation, the claimant’s nationality should be determined on the basis of the nationality of its predominant ownership and management, and the site of its headquarters. This, Ukraine contended, would lead to a determination of Ukrainian nationality and would therefore disqualify Tokios from maintaining an ICSID arbitration against Ukraine.²⁰⁰
- 5.115** The Tribunal first considered whether the ICSID Convention prescribes any method for assessing nationality of juridical entities. As noted above, the Convention does not—which led the Tribunal to consider the definitions supplied in the BIT.²⁰¹ The BIT did not prescribe any test other than establishment under Lithuanian law. Tokios met that test. Moreover, if

¹⁹³ See, for example, *KT Asia Investment Group BV v Kazakhstan* (Award) ICSID Case No ARB/09/8, IIC 615 (2013, Kaufmann-Kohler P, Glick & Thomas) para 121.

¹⁹⁴ *KT Asia* fn 38. But see *Venkolim Holding BV v Venezuela* (Award) ICSID Case No ARB/12/22 (2015, Derains P, Gomez Pinzón & Oreamuno Blanco) discussed below at para 5.133.

¹⁹⁵ *Tokios Tokelés v Ukraine* para 7: the request for arbitration was withdrawn and resubmitted to satisfy the BIT’s six-month negotiation requirement.

¹⁹⁶ *ibid* para 18, citing art 1(2)(c) of the Ukraine–Lithuania BIT.

¹⁹⁷ *ibid* para 8: see ICSID Convention art 25(2)(b), second limb, discussed at paras 5.134 *et seq* below.

¹⁹⁸ *ibid* para 21: It was disputed whether Tokios had any substantial business activities in Lithuania and whether it maintained its administrative headquarters in Ukraine.

¹⁹⁹ *ibid* fn 6.

²⁰⁰ *ibid* para 22.

²⁰¹ *ibid* para 24.

the contracting States had wanted to impose a ‘control’ requirement, they could have done so and in fact did so in the case of juridical persons of third States.²⁰² Thus, the absence of a control requirement vis-à-vis nationals of the two contracting States gave additional reason not to impose such a test. Other provisions of the BIT supported the notion of a broad scope of investment protection.²⁰³

Other BITs and multilateral investment treaties (MITs) to which Ukraine is a party expressly denied protection benefits to corporations owned or controlled by nationals of a third State if such entities had no substantial business activities in the contracting State in which they were organised. Article 17(1) of the Energy Charter Treaty²⁰⁴ was considered in this regard by the Tribunal. Again, the control provisions in these treaties were further evidence that if a limitation on nationality based on ownership or control were to be applied, the Contracting States were free to include it. However, they did not do so. The Tribunal majority emphasised that it was simply interpreting the BIT according to the ordinary meaning of its words, consistent with its context, and consistent with the concept of corporate nationality in the ICSID Convention, which, according to *Amco*,²⁰⁵ was the ‘classical’ concept by which nationality is determined on the basis of the law and place of incorporation.²⁰⁶ **5.116**

It may be thought that a substantive control test would accord more closely with the object and purpose of investment treaties, and of the ICSID Convention, in the protection of *foreign* investment and investors. This may be seen as stemming in large part from the economic rationale underlying the dispute resolution provisions in such treaties, which is to enable capital importing countries to attract foreign investment. The question, then, is whether such a ‘control’ or ‘piercing’ test may properly be read into the treaty requirement of a foreign national. **5.117**

The *Tokios* majority answered that in no respect did international law permit it to impose a control test. The *Tokios* majority, despite the vigorous dissent of Weil, appears to be firmly within the majority of international tribunals and scholars that have addressed the corporate nationality issue. To be sure, the bulk of the *Tokios* decision concerns a discussion of what can or cannot be construed from art 25 of the ICSID Convention. Still, the *Tokios* majority also explained that the international law direction was to favour the expansion of arbitral jurisdiction when the issue was whether the claimant was incorporated in the home Contracting State but owned by nationals of the host contracting State.²⁰⁷ The decision on jurisdiction in *Wena Hotels Ltd v Egypt* was important in this regard, as the Tribunal in that case also found that expanding jurisdiction was the modern tendency.²⁰⁸ Beyond the confines of art 25 of the ICSID Convention, the *Tokios* majority also found support from the classic *Barcelona* **5.118**

²⁰² *ibid* para 34.

²⁰³ *ibid* paras 31, 32, 73, 77, 79 and 85.

²⁰⁴ ECT (Appendix 2 below) art 17(1). On the interpretation of ECT art 17 see *Plama Consortium Ltd v Bulgaria* (Decision on Jurisdiction) ICSID Case No ARB/03/24, IIC 189 (2005, Salans P, van den Berg & Veeder).

²⁰⁵ *Amco Asia Corp v Indonesia* (Decision on Jurisdiction) ICSID Case No ARB/81/1, 1 ICSID Rep 376 (1983, Goldman P, Foighel & Rubin) 396.

²⁰⁶ *Tokios Tokelés v Ukraine* para 40.

²⁰⁷ *ibid* paras 46–9. If *Tokios* had not opted for ICSID arbitration and instead had pursued UNCITRAL arbitration, the object of the ICSID Convention would clearly not have been such a substantial issue, and Weil’s analysis—assuming he still would have dissented—would have necessarily been different.

²⁰⁸ *ibid* para 49, citing *Wena Hotels Ltd v Egypt* (Decision on Jurisdiction) ICSID Case No ARB/98/4, 6 ICSID Rep 74, IIC 272 (1999, Leigh P, Fadlallah & Haddad) para 888.

Traction decision of the International Court.²⁰⁹ The International Court commented on the use of piercing under municipal law, but did not define the conduct that would support piercing by an international tribunal—although *Tokios*' conduct, according to the Tribunal majority, did not approach the municipal law standards that were discussed in *Barcelona Traction*.²¹⁰

- 5.119** The *Tokios* majority also referred to the 'predominant approach in international law', whereby, the Tribunal observed, it is usual to attribute corporate nationality to the State where the corporation has been incorporated, together with the need for the head or registered office or *siège social* to be in the same State.²¹¹ For this 'predominant approach' the Tribunal relied on *Barcelona Traction* and *Oppenheim's International Law*.²¹² This does not appear wholly satisfactory as an exegesis of the customary international law position, as it relies on two sources that refer to what is 'usual' or to the 'traditional rule', without exploring whether what is 'traditional' should carry weight in the investment protection context. Nonetheless, the *Tokios* majority's conclusion that the 'Ukraine–Lithuania BIT uses the same well established method for determining corporate nationality as does customary international law', cannot be considered unreliable.²¹³
- 5.120** Given the importance of certain international investment tribunal decisions and awards in themselves developing or at least clarifying commonly used treaty provisions, the *Tokios* decision is of crucial significance in clearly extending the applicability of this traditional rule to the investment protection field in general, and to the ICSID Convention in particular. The dissenting opinion of Weil (considered below), whereby under the ICSID Convention one must take into account the origins of capital in assessing whether ICSID's jurisdictional requirements have been met, has become emblematic of the expression of a permanent minority position, albeit one that is forcibly and in certain respects persuasively presented. The *Tokios* majority only briefly addressed Ukraine's argument that the origin of the capital used was Ukrainian.²¹⁴ The *Tokios* decision simply reports that the ICSID Convention contains no jurisdictional requirement that the origin of capital be non-domestic.
- 5.121** Weil's dissent identifies no express ICSID requirement in relation to the origin of capital. However, Weil's position was that the object and purpose of the ICSID Convention—as set out in the Preamble to the Convention and the Report of the Executive Directors²¹⁵—made the origin of capital a highly relevant issue:

The ICSID mechanism and remedy are not meant for investments made in a State by its own citizens with domestic capital through the channel of a foreign entity, whether pre-existent or created for that purpose. To maintain, as the Decision does, that 'the origin of capital is not relevant' and that 'the only relevant consideration is whether the Claimant is established under the laws of Lithuania' runs counter to the object and purpose of the whole ICSID system.²¹⁶

²⁰⁹ *Tokios Tokelés v Ukraine* paras 54–56, citing *Barcelona Traction* paras 44 and 46.

²¹⁰ *ibid* para 55.

²¹¹ *ibid* para 70.

²¹² *Oppenheim* 859–60.

²¹³ *Tokios Tokelés v Ukraine*.

²¹⁴ *ibid* para 80.

²¹⁵ World Bank, 'Report of the Executive Directors on the Convention on the Settlement of Investment Disputes between States and Nationals of Other States, 1965' 1 ICSID Rep 23 (footnotes omitted).

²¹⁶ *Tokios Tokelés v Ukraine* (Dissenting Opinion, Weil P) para 19.

The dissent further observed that the *Tokios* majority had been unsystematic in its analysis of jurisdiction as between the ICSID Convention and the BIT.²¹⁷ In particular, the majority should first have considered whether the Tribunal had jurisdiction under art 25 of the Convention, and only after that assessed jurisdiction under the BIT, in keeping with the ICSID principle that parties to a BIT can narrow but not expand the jurisdiction provided by the Convention. The majority, however, had worked from the opposite direction, emphasising its deference to the parties' treatment of corporate nationality in the BIT.²¹⁸ **5.122**

Weil also opined that 'piercing' is irrelevant to the jurisdictional assessment that needs to be made. The issue in his view was not whether *Tokios*, the claimant, had somehow acted improperly or unfairly taken advantage of the corporate form. Rather, the issue was whether, as a matter of substance, the original capital was domestic. If it were, then, in Weil's view, as a matter of public international law and the ICSID Convention properly understood, the claimant was not entitled to investment protection under the BIT.²¹⁹ **5.123**

The concluding section of the Dissenting Opinion raised a policy point: are tribunals meant to scrutinise the claimant's legal structure and determine whether there is a hidden 'reality' carrying jurisdictional consequences? Weil was not comfortable with an affirmative answer and endorsed a 'flexible approach' while observing that the task of determining the origin of capital may be clear cut, as in the present case, and even if not, is no more complex than other jurisdictional issues such as the identification of the relevant corporation within a group of corporations for ICSID jurisdiction.²²⁰ **5.124**

However, the Weil's support for a 'flexible approach' might have threatened the efficient working of the ICSID arbitration system. Bright-line tests such as that applied by the *Tokios* majority provide predictability and therefore stability. Investors are more likely to contribute capital to a venture if they are confident of a reasonable level of protection. Weil's origin of capital test is more likely to place protection at risk than would the bright-line place-of-incorporation test. Indeed, the flexible approach could well have led to the need for tribunals to make difficult assessments regarding the nationality status of the claimant corporation. For example, the shareholders could, by nationality, be widely dispersed, or the shares could be held by legal entities incorporated in turn in one or more third States with the majority of shares being held by nationals of the respondent State. Alternatively, the shareholders of the respondent State could exert certain aspects of control over the claimant corporation even though they are not majority owners. In short, there are multiple reasons why the Dissenting Opinion's perspective has very much remained a minority position. **5.125**

KT Asia and the reaffirmation of the Tokios majority decision

A recent arbitral award that manifests the ongoing application of the *Tokios* majority's approach to nationality of corporations under ICSID Convention Article 25(2)(b), first limb, is *KT Asia*.²²¹ The relevant BIT in that case (Netherlands–Kazakhstan) defined 'nationals' as '(i) natural persons having the nationality of that Contracting Party; (ii) legal persons **5.126**

²¹⁷ *ibid* paras 13–14.

²¹⁸ *ibid* para 14.

²¹⁹ *ibid* paras 11 and 19–20.

²²⁰ *Ibid* para 27.

²²¹ *KT Asia Investment Group BV v Kazakhstan* (Award) ICSID Case No ARB/09/8, IIC 615 (2013, Kaufmann-Kohler P, Glick & Thomas).

constituted under the law of that Contracting Party; (iii) legal persons not constituted under the law of that Contracting Party but controlled, directly or indirectly, by natural persons as defined in (i) or by legal persons as defined in (ii)'. The claimant was incorporated in the Netherlands.

- 5.127** Kazakhstan objected on, inter alia, *ratione personae* grounds: it argued that the claimant's nominal nationality was Dutch, but its 'real and effective' nationality was Kazakh. Additionally, the State contended that the claimant's corporate veil should be lifted to reveal the real party in interest, an individual who was not entitled to bring a claim under the BIT.
- 5.128** The basis of the State's *ratione personae* objection was its position that the principle of 'real and effective nationality' applies in investment arbitration in the same way as it does in the field of diplomatic protection, and no contrary *jurisprudence constante* existed. Since the claimant had no connection with the Netherlands besides its place of incorporation, and decision-making power rested with a Kazakh national, the claimant should not be treated as a Dutch national. Moreover, since the BIT and the ICSID Convention are concerned with the fundamental presumption of diversity of nationality, and the Dutch shell company offered no international flow of capital, the shell should not be recognised as a proper claimant in an ICSID case. The State thus advanced what was, in effect, the approach of Weil's dissenting opinion in *Tokios*.
- 5.129** KT Asia responded that there was in fact a *jurisprudence constante* opposing the State's position: 'this is the twentieth known instance in which a respondent State has sought to undermine the test of nationality [of corporations] in an investment treaty by reference to the rules of diplomatic protection, a strategy which has failed in all but one instance'.²²² Additionally, the claimant contended, the case law does not support the assertion that a special real and effective nationality rule comes into play when the claimant's beneficial owner has ties to the host State.
- 5.130** The *KT Asia* Tribunal's analysis included the following eleven points, all of which reaffirm the *Tokios* majority's decision:
- (1) The ICSID Convention does not impose any particular test for the nationality of juridical persons not having the nationality of the host State.
 - (2) Contracting States have broad discretion to define nationality, in particular corporate nationality, in their BITs.
 - (3) Under the Netherlands–Kazakhstan BIT, a legal entity incorporated in a Contracting State is deemed a national of that State.
 - (4) Under the Vienna Convention on the Law of Treaties, the ordinary meaning of the BIT's words is clear: KT Asia Investment Group BV is a Dutch national since it is incorporated in the Netherlands.
 - (5) No other provision of the BIT impinges on this definition of 'nationals'.
 - (6) Kazakhstan could have insisted on a more demanding definition of corporate nationality, but did not do so.
 - (7) The principle of 'real and effective' nationality is applied in the context of diplomatic protection of claimants who hold dual nationality. There is no issue of dual nationality

²²² *ibid* para 104.

in this case of corporate nationality, and there is a specific treaty regime whereby corporate nationality is a legal construct.

- (8) There is a 'wide consensus' in the case law by which diplomatic protection rules do not apply where varied by the *lex specialis* of an investment treaty.
- (9) The respondent State incorrectly relied on the *TSA Spectrum* award,²²³ an art 25(2)(b) 'second limb' case, in which the claimant was a national of the host State and the question was, objectively, whether the claimant was controlled by a national of another State.
- (10) The *Tokios* majority correctly declined to pierce the corporate veil on the basis of the principle of real and effective nationality, and subsequent cases have supported the majority.
- (11) There is no basis in the treaty context to investigate beneficial ownership for admissibility of claims. Otherwise, every tribunal assessing corporate nationality would have to engage in such a painstaking and wholly unauthorised investigation.²²⁴

Other recent 'limb one' jurisdictional decisions have emphatically followed the *Tokios* majority's approach and have rejected Weil's dissenting approach. Recently, for example, the Tribunal in *Gold Reserve v Venezuela*²²⁵ faced the State's argument that Gold Reserve, despite being a duly incorporated Canadian company, was not entitled to claim under the Canada–Venezuela BIT because it was a shell company, with management headquartered in the USA. The BIT's nationality requirement for juridical persons claiming against Venezuela was incorporation in Canada (and non–Venezuelan nationality). The Tribunal rejected the State's position: 'As many previous ICSID tribunals have found, where the test for nationality is "incorporation" as opposed to control of a "genuine connection", there is no need for the tribunal to enquire further unless some form of abuse has occurred ... The Parties could have chosen to include a "genuine link" test or a "management" test, but did not.'²²⁶ The Tribunal refused to read these criteria into the BIT.

5.131

The decision on *ratione personae* jurisdiction in *Burimi v Albania*²²⁷ (Italy–Albania BIT) is of similar effect as *KT Asia* and *Gold Reserve*. *Burimi* furthermore clarifies the proper understanding of art 25(2)(b), because the Tribunal had to address the State's apparent confusion of the two limbs of this ICSID Convention provision. The State contended that Burimi SRL, a company incorporated in Italy, lacked standing to be a claimant because it was owned by Mr Burimi, who was a dual national (Italy and Albania). Furthermore, argued the State, since the BIT included a provision whereby an entity's nationality is determined by who controls it, and not by the company's incorporation, it was appropriate to pierce the corporate veil of the company to identify the nationality of the entity or person holding the majority of the capital for purposes of the first limb of art 25(2)(b). The Tribunal pointed out the State's confusion, and clarified the correct approach: 'Respondent mistakenly argues that piercing the corporate veil—as is required by Article 8(2)(c) of the Italy–Albania BIT—is necessary to determine the nationality of a company that *already* has the nationality of a State other

5.132

²²³ *TSA Spectrum de Argentina SA v Argentina* (Award) ICSID Case No ARB/05/5, IIC 358 (2008, Danelius P, Abi-Saab & Aldonas (dissenting)).

²²⁴ However, note that in *KT Asia*, the Tribunal decided that it lacked jurisdiction to hear the case because the claimant did not hold a qualifying investment under the applicable BIT and art 25(1) of the ICSID Convention: *KT Asia* para 222.

²²⁵ *Gold Reserve Inc v Venezuela* (Award) ICSID Case No ARB(AF)/09/1 (2014, Bernardini P, Dupuy & Williams).

²²⁶ *ibid* paras 252 and 255.

²²⁷ *Burimi SRL v Albania* (Award) ICSID Case No ARB/11/18, IIC 593 (2013, Price P, Cremades & Fadlallah).

than a State party to the dispute. The purpose of Article 8(2)(c), however, is to determine whether companies *with* the nationality of the State party to the dispute (Albania), can be considered as being under foreign control and therefore should be treated as a “national of another Contracting State” for the purposes of the ICSID Convention.²²⁸ Accordingly, the Tribunal concluded that it did have jurisdiction *ratione personae* regarding Burimi SRL, simply on the basis of its Italian incorporation.

- 5.133** Despite the overwhelming consensus supporting the *Tokios* majority’s art 25(2)(b) first limb approach, a recent *ratione personae* jurisdictional decision appears, quite surprisingly, to have followed Weil’s dissenting approach. In *Venkolim v Venezuela*,²²⁹ an ICSID case brought pursuant to the Netherlands–Venezuela BIT and the Venezuela Investment Law, the Tribunal majority decided that even though the claimant was incorporated in the Netherlands, under the object and purpose of the ICSID Convention, the claimant’s nationality was nominal and should be disregarded because it was a mere shell controlled by Venezuelan nationals.²³⁰ Perhaps the majority’s decision can be explained by the extreme facts in *Venkolim*, where the claimant was 100 per cent controlled by a Venezuelan company, which was itself controlled and wholly-owned by two Venezuelan nationals. As such, these factual circumstances arguably constitute one of those exceptional circumstances justifying piercing the corporate veil.²³¹ There was a dissenting opinion in this case (Gomez Pinzón), which pointed out that the majority’s *ratione personae* decision ran contrary to, for example, the *Tokios* majority’s decision, the *Saluka v Czech Republic* decision, and Schreuer’s *Commentary*, pursuant to which it was not open to the *Venkolim* majority to add nationality requirements on which the BIT was silent. It is highly doubtful that the *Venkolim* majority’s *ratione personae* jurisdictional decision will have any influence on subsequent tribunals.

ICSID Convention Article 25(2)(b)—second limb

- 5.134** In ICSID cases, as indicated above, the possibility may exist for a corporation holding host State nationality to be a claimant in the arbitration against the State where it is incorporated. This is provided for in the second limb of ICSID Convention art 25(2)(b): claimant-corporations holding the nationality of the host State must show jurisdiction *ratione personae* on the basis of ‘foreign control’ as provided for by agreement between the parties. Although not completely clear of doubt, such ‘agreement’ may be set out in a BIT (an agreement between the Contracting States until its offer to arbitrate is accepted by the investor) or in an investment contract (unquestionably an agreement of the parties). It is increasingly likely, particularly in view of the recent decisions,²³² that a claimant-corporation holding host State nationality and therefore seeking jurisdiction *ratione personae* in an ICSID arbitration under

²²⁸ *ibid* para 132 (emphasis in original).

²²⁹ *Venkolim Holding BV v Venezuela* (Award) ICSID Case No ARB/12/22 (2015, Derains P, Oreamuno Blanco & Gomez Pinzón (dissenting)).

²³⁰ The majority noted that the Investment Law provided for something more than incorporation—though whether that provision had any relevance is questionable—but also offered its conclusion based separately on the ICSID Convention.

²³¹ Contrast, for example, the test for piercing the corporate veil in private international law, which is justified only where a corporation is ‘a mere façade concealing the true facts’: see *Adams v Cape Industries plc* [1990] Ch 433, 539 (EWCA).

²³² See *TSA Spectrum v Argentina*; *Caratube International Oil Co LLP v Kazakhstan* (Award) ICSID Case No ARB/08/12, IIC 562 (2012, Böckstiegel P, Griffith & Hossain); *National Gas SAE v Egypt* (Award) ICSID Case No ARB/11/7 (2014, Veeder P, Fortier & Stern).

the second limb of art 25(2)(b) must satisfy both a 'subjective test', pursuant to the nationality definition in the relevant BIT, and an 'objective test', pursuant to the 'foreign control' provision in art 25(2)(b).

However, it would be too ambitious to posit that the above-mentioned ICSID decisions form a *jurisprudence constante* regarding the two-fold test to be applied when a company incorporated in, or is otherwise a national of, the respondent State seeks claimant status. At least three awards, *Swisslion v Macedonia*,²³³ *Quiborax v Bolivia*,²³⁴ and *AdT v Bolivia*,²³⁵ and a powerful dissenting opinion in *TSA Spectrum v Argentina*,²³⁶ discussed below, none of which apply the objective test, constitute a highly significant gap in the *jurisprudence constante* string. 5.135

Subjective test—the BIT and 'foreign control'

The first test is characterised as subjective: it turns on whether the BIT (or other investment instrument) provides the host State company with the opportunity, for the purposes of the ICSID Convention, to be considered a home State national because of the Contracting Parties' agreement to include a 'foreign control' test, and the host State Company has, by the terms of that agreement, fulfilled its requirements. 5.136

The Tribunal in *National Gas v Egypt* explained the subjective test as follows, in the context of the United Arab Emirates–Egypt BIT, where an Egyptian-incorporated company is the putative claimant: 5.137

- (1) The test is raised by the phrase in art 25(b)(2), 'the parties have agreed should be treated as a national of another Contracting State for the purposes of this Convention'.
- (2) A provision of the BIT provides that if an investor from the home State owns the majority of the shares of a juridical person of the host State before the dispute arises, the juridical person, for the purposes of the ICSID Convention, may be treated as an investor of the home State.
- (3) The BIT requirement of majority ownership of shares is satisfied.²³⁷

In these circumstances the subjective test is satisfied. Following the decisions in *Vacuum Salt*²³⁸ and *Autopista*,²³⁹ this satisfaction would constitute a rebuttable presumption that the *ratione personae* requirements of both the BIT and the ICSID Convention have been fulfilled. However, this is only a rebuttable presumption, which is where the objective test is triggered. 5.138

²³³ *Swisslion DOO Skopje v Macedonia* (Award) ICSID Case No ARB/09/16, IIC 558 (2012, Guillaume P. Price & Thomas).

²³⁴ *Quiborax SA v Bolivia* (Decision on Jurisdiction) ICSID Case No ARB/06/2, IIC 563 (2012, Kaufmann-Kohler P. Lalonde & Stern).

²³⁵ *Aguas del Tunari SA v Bolivia* (Decision on Jurisdiction) ICSID Case No ARB/02/3, IIC 8 (2005, Caron P. Álvarez & Alberro-Semerena (dissenting)) (*AdT v Bolivia*).

²³⁶ *TSA Spectrum* (Dissenting Opinion, Aldonas).

²³⁷ *National Gas* para 132.

²³⁸ *Vacuum Salt Products Ltd v Ghana* (Award) ICSID Case No ARB/92/1 (1994, Jennings P. Brower & Hossain).

²³⁹ *Autopista Concesionada de Venezuela CA v Venezuela* (Decision on Jurisdiction) ICSID Case No ARB/00/5, IIC 19 (2001, Kaufmann-Kohler P. Böckstiegel & Cremades).

Objective test—ICSID Convention and ‘foreign control’

5.139 The *National Gas* award usefully summarises the second test:

- (1) The objective test is raised by the phrase ‘because of foreign control’ in art 25(2)(b).
- (2) Once it is determined that the juridical person of the host State has met the terms of the parties’ agreement, it must next be determined if, objectively, the host State juridical person is controlled by a national of the home State.
- (3) That is, the mere agreement of the Contracting Parties is insufficient to satisfy the objective test. It must be investigated whether the host State company is actually controlled directly or indirectly by nationals of a third, non-Contracting State or nationals of the host State.²⁴⁰

5.140 Piercing the corporate veil, then, is a permitted exercise—indeed, a mandatory exercise—under the second limb’s objective test as understood by the *National Gas* Tribunal.

Recent ICSID cases applying the two tests

5.141 In *TSA Spectrum v Argentina*, a case brought pursuant to the Netherlands–Argentina BIT, the Tribunal majority worked from the principle that art 25 of the ICSID Convention defines the extent, and hence the objective limits, of ICSID jurisdiction, ‘which cannot be extended or derogated from even by agreement of the Parties.’²⁴¹ The majority cited Broches’ much-quoted explanation that the purpose of art 25 is to indicate the ‘outer limits’ within which disputes may be submitted to ICSID arbitration.²⁴² In emphasising the objective character of the ‘outer limits’ jurisdictional responsibility of ICSID tribunals, *TSA Spectrum* relied in part (as did *National Gas*) on the award in *Vacuum Salt*. The central legal point that *TSA Spectrum* developed was that the second limb of art 25(2)(b) ‘introduces a significant exception to one of the major premises of the Convention (which also reflects a general principle of international law), *i.e.* that it deals exclusively with disputes between parties of diverse nationalities, to the exclusion of those between a State and its own national investors.’²⁴³ The basis of this exception was the wording ‘because of foreign control’: ‘Foreign control is thus the objective factor on which turns the applicability of this provision. It justifies the extension of the ambit of ICSID, but sets the objective limits of the exception at the same time.’²⁴⁴ ICSID jurisdiction cannot exist outside this objective ‘because of foreign control’ limit.

5.142 The *TSA Spectrum* Tribunal further explained that a significant difference existed between the two limbs of art 25(2)(b): the first uses a ‘formal legal criterion, that of nationality, whilst the second uses a material or objective criterion, that of “foreign control,” in order to pierce the corporate veil and reach for the reality behind the cover of nationality’.²⁴⁵ Thus, limb one looks to the formal legal concept of nationality, which is determined by place or incorporation or siege social (seat) of the corporation. There is no reference to control or looking beyond this nationality or to exercising a lifting of the corporate veil. Strangely, however, the Tribunal majority considered that the *Tokios* majority’s ‘strict constructionist’ interpretation of limb one ‘has not been generally accepted and that it was also criticised by the dissenting

²⁴⁰ *National Gas* para 133.

²⁴¹ *TSA Spectrum* para 134.

²⁴² *ibid* para 135.

²⁴³ *ibid* para 139.

²⁴⁴ *ibid*.

²⁴⁵ *ibid* para 140.

President of the *Tokios Tribunal*.²⁴⁶ As to the second limb, though, *TSA Spectrum* states that no controversy should exist, since the text itself allowed parties to lift the corporate veil: 'the existence and materiality of this foreign control have to be objectively proven in order for them to establish ICSID jurisdiction by their agreement. It would not be consistent with the text, if the tribunal, when establishing whether there is foreign control, would be directed to pierce the veil of the corporate entity national of the host State and to stop short at the second corporate layer it meets, rather than pursuing its objective identification of foreign control up to its real source, using the same criterion with which it started.'²⁴⁷

The *TSA Spectrum* majority acknowledged that previous tribunals had not been consistent in whether to pierce the second corporate layer in identifying foreign control, with some refusing (eg *AMCO*²⁴⁸ and *Autopista*²⁴⁹) and others willing (eg *SOABI*²⁵⁰ and *African Holding Co*²⁵¹) to pierce to the second layer. In all of these cases, the question was the nationality of the foreign control. The majority of commentators appeared to favour piercing to expose the real controllers. Moreover, piercing up to the real source was even more compelling when ultimate control was alleged to be in hands of nationals of the host State, whose formal nationality was also that of the claimant corporation. In the case before it, *TSA Spectrum* was an Argentinean juridical person, whose shares were held by a Dutch juridical person. But the Dutch national was controlled by an Argentinean natural person. Thus, under the objective test of the second limb, *TSA Spectrum* was not to be treated as a national of the Netherlands, and jurisdiction *ratione personae* did not exist. In a concurring opinion, Abi-Saab posed the question that 'if the text allows piercing the corporate veil to establish "indirect" foreign control at a third or fourth remove, could it prohibit doing the same' by establishing that real control is in the hands of nationals of the host State?²⁵² His answer was that a tribunal needed to focus on the more probative evidence that would result from piercing the second corporate layer.²⁵³

As indicated above, the *TSA Spectrum* award also featured a strongly argued dissent from Aldonas.²⁵⁴ His view was that an objective test did not exist under the second limb of art 25(2)(b). Such a test, Aldonas wrote, effectively disregards the BIT that was intended to determine the precise issue at hand.²⁵⁵ A good faith interpretation of art 25 was that it makes the determination of which juridical persons may gain access to ICSID jurisdiction by virtue of their foreign control expressly dependent on an agreement of the parties, not some putative objective test.²⁵⁶ His reconstruction of the negotiating history of the ICSID Convention reinforced this conclusion. Parties had the widest possible latitude to determine

²⁴⁶ *ibid* para 146.

²⁴⁷ *ibid* para 147.

²⁴⁸ *Amco Asia Corp v Indonesia*.

²⁴⁹ *Autopista* (Decision on Jurisdiction).

²⁵⁰ *Société Ouest Africaine des Bétons Industriels v Senegal* (Decision on Jurisdiction) ICSID Case No ARB/82/1, 2 ICSID Rep 264 (1984, Broches P, Mbaye & van Houtte) (*SOABI*).

²⁵¹ *African Holding Co of America Inc v Democratic Republic of Congo* (Award) ICSID Case No ARB/05/21 (2008, Orrego Vicuña P, Grisay & de Witt Winjen).

²⁵² *TSA Spectrum* (Concurring Opinion, Abi-Saab) para 15.

²⁵³ *ibid* para 17.

²⁵⁴ *TSA Spectrum* (Dissenting Opinion, Aldonas).

²⁵⁵ *ibid* para 3(2).

²⁵⁶ *ibid* para 8.

5.143

5.144

the limits of nationality.²⁵⁷ Piercing was not even applied in the diplomatic protection case, *Barcelona Traction*, that the majority relied on; the ICJ respected the legal personality of the Canadian company, and the language on piercing was *obiter*. In the case before the Tribunal, the Contracting Parties wanted a ‘foreign control’ provision to apply, and there had been no misuse of the corporate form by TSA Spectrum or its shareholders. Properly understood, Broches’ ‘outer limits’ comment did not indicate a restriction on the parties’ agreement as long as that agreement was ‘reasonable’. Aldonas distinguished *Vacuum Salt* on the grounds that there had been no agreement between the parties in that case, and therefore second limb consideration should never have been triggered in the first place.

- 5.145** The Aldonas dissent has received little attention in subsequent cases. As noted above, in *National Gas*,²⁵⁸ the Tribunal applied both a subjective and objective test in assessing a second limb claim of *ratione personae* jurisdiction by an Egyptian juridical person under the UAE–Egypt BIT. The BIT contained a ‘foreign control’ provision, therefore establishing UAE investor status where the Egyptian company was majority-owned by a UAE national. However, the Tribunal also found, in applying the objective test, that an Egyptian national (an individual who held dual nationality, Egyptian and Canadian) owned 90 per cent of the claimant via several UAE intermediaries. Thus, the BIT’s presumption of ‘foreign control’ was rebutted, according to the Tribunal, by the objective investigation of real control. The approaches taken and the results reached by the Tribunal in the earlier *Caratube*²⁵⁹ arbitration were similar: no jurisdiction under the objective test of the second limb. A similar approach was also taken in *Guardian v Macedonia*.²⁶⁰
- 5.146** In *Swisslion v Macedonia*,²⁶¹ however, the Tribunal declined to apply an objective test under the second limb. Article 2 of the relevant BIT defined investor and control as being either more than 50 per cent of a company’s equity beneficially owned or as the power to name a majority of a company’s directors or otherwise legally direct its actions. The Tribunal found that Swisslion was a Macedonian company and that more than 50 per cent of its equity interest was beneficially owned by a Swiss company, DRD Swisslion, which also had the power to legally direct Swisslion’s action. On that basis, the Tribunal determined that the claimant met the conditions fixed by the BIT for foreign control, ‘and it is a Swiss investor in Macedonia, whatever the nationality of the ultimate owner of DRD Swisslion may be. The Tribunal has jurisdiction *ratione personae*.’²⁶² Similarly, in *Quiborax*, the Tribunal only applied the subjective test under the second limb of art 25(2)(b) in finding that a claimant (Non-Metallic Minerals SA) had established jurisdiction *ratione personae*.
- 5.147** Finally, the *AdT v Bolivia*²⁶³ jurisdictional decision (Netherlands–Bolivia BIT) warrants further consideration. The Tribunal majority adopted an approach highly favourable to the

²⁵⁷ *ibid* para 9, citing A Broches, ‘The Convention on the Settlement of Investment Disputes between States and Nationals of Other States’ (1972) 136 *Recueil des Cours* 331, 360–1.

²⁵⁸ *National Gas SAE v Egypt* (Award) ICSID Case No ARB/11/7 (2014, Veeder P, Fortier & Stern).

²⁵⁹ *Caratube International Oil Co LLP v Kazakhstan* (Award) ICSID Case No ARB/08/12, IIC 562 (2012, Böckstiegel P, Griffith & Hossain).

²⁶⁰ *Guardian Fiduciary Trust Ltd v Former Yugoslav Republic of Macedonia* (Award) ICSID Case No ARB/12/31 (2015, Heiskanen P, Bucher & Stern).

²⁶¹ *Swisslion DOO Skopje v Macedonia* (Award) ICSID Case No ARB/09/16, IIC 558 (2012, Guillaume P, Price & Thomas).

²⁶² *ibid* para 132.

²⁶³ *AdT v Bolivia*.

claimant that was later broached in the Aldonas dissent in *TSA Spectrum* (no objective test), and which also posited a relatively broad approach to the concept of legal control (a flexible subjective test). In that case, a Dutch entity was found to have control over the Bolivian claimant company for the purpose of the BIT.

The Tribunal specifically noted that the applicable BIT was not to be construed narrowly. Rather, the Tribunal's task was to find the intent of the parties in the specific instrument, taking into account the fact that the parties had used the BIT to address 'issues of mutual concern in innovative ways'. It should not to seek to tie the specific aims of the BIT to 'general assumptions about the intent of States, assumptions which necessarily are based on assessments of past practice'.²⁶⁴ The Tribunal thus proceeded to engage in an extensive and intensive examination of 'controlled directly or indirectly'. First, the Tribunal considered the meaning of the words of the text, as directed by art 31 of the VCLT.²⁶⁵ Secondly, the Tribunal confirmed the resulting interpretation in accordance with art 32 of the VCLT by looking to background circumstances when the meaning of the words themselves are ambiguous or would lead to an absurd or unreasonable result. Finally, the Tribunal applied that interpretation to the specific case at hand. **5.148**

The *TSA Spectrum* Tribunal majority concluded that the phrase 'controlled directly or indirectly' referred to legal capacity rather than fact.²⁶⁶ However, the *ADT* Tribunal determined that the record disclosed no special meaning for control as used by the contracting parties: 'Nor should such intent be assumed since the Tribunal finds the contexts of foreign investment protection and the regulation of corporate activity to be sufficiently distinct.'²⁶⁷ **5.149**

The majority's textual analysis led it to agree with the claimant that the phrase 'creates the possibility of there simultaneously being a direct controller and one or more indirect controllers. The BIT does not limit the scope of eligible claimants to only the "ultimate controller"'.²⁶⁸ However, that still left the question of whether any controller, indirect or direct, had to exercise actual control. To assess this point, the Tribunal focused on the object and purpose of the BIT, as stated in the preamble to be to 'stimulate the flow of capital and technology', based on 'agreement upon the treatment' to be accorded to investments by nationals of one contracting party in the territory of the other contracting party. The Tribunal majority further observed that the nationality definition in the BIT was intended in part to define 'the scope of eligible claimants' and not just the persons and entities to be accorded substantive rights under the BIT.²⁶⁹ Given this background, 'controlled' indicated a quality of ownership interest. The Tribunal noted that control in the absence of an ownership interest might not qualify jurisdictionally. The question then became how 'controlled' was meant to qualify 'ownership'. Again, the majority accepted the claimant's view, in this instance that control 'is a quality that accompanies ownership'.²⁷⁰ The majority was not troubled by the elevation of corporate formality in this respect. **5.150**

²⁶⁴ *ibid* para 91.

²⁶⁵ *ibid* para 225 *et seq.*

²⁶⁶ *AdT v Bolivia* para 264.

²⁶⁷ *ibid* para 235.

²⁶⁸ *ibid* para 237.

²⁶⁹ *ibid* para 242.

²⁷⁰ *ibid* para 245.

- 5.151** Above all, the majority found that the jurisprudence regarding art 25(2) of the ICSID Convention did not alter its conclusions. The majority recognised that it ‘must therefore evaluate whether the dispute presented to it under the BIT passes through the jurisdictional keyhole defined by Article 25 of the ICSID Convention. The State parties to the BIT can seek to encompass all manner of disputes. But in attempting to place disputes under their BIT before ICSID, an institution regulated by a separate instrument, the scope of the disputes which may be submitted is necessarily limited to those disputes that pass through the jurisdictional keyhole defined by Article 25’.²⁷¹ It further recognised that pursuant to *Vacuum Salt*, ‘[t]he reference in Article 25(2)(b) to “foreign control” necessarily sets an objective Convention limit beyond which ICSID jurisdiction cannot exist and parties therefore lack power to invoke same no matter how devoutly they may have desired to do so.’²⁷² However, significantly, the Tribunal concluded that ‘although there is an objective limit, a Tribunal must also remain flexible so as to accommodate the agreement of the parties as to the definition of “foreign control” ... The question is whether this definition of control in the BIT is such that disputes under the BIT pass through the jurisdictional keyhole of Article 25. In this light, it is not at all surprising that the drafting history, commentary and arbitral awards concerning that phrase “foreign control” in Article 25 all point to “foreign control” being “flexible” so that reasonable definitions in referring instruments may pass through the jurisdictional keyhole.’²⁷³
- 5.152** The *AdT* majority concluded, therefore, that ‘any *reasonable determination* of the nationality of juridical persons contained in national legislation or in a treaty should be accepted by an ICSID commission or tribunal’.²⁷⁴ The majority thought this was consistent with the drafting history of art 25. This indicates that the drafters intended a flexible definition of control in art 25, not because they regarded ‘control’ as requiring a wide ranging inquiry, but rather—recognising the keyhole function that would be played by art 25—to accommodate a wide range of agreements between parties as to the meaning of ‘foreign control’.²⁷⁵ The majority quoted Broches, who stated that during the drafting process, the attempt to provide an exacting definition of foreign control was ‘abandoned’ and that instead it was decided that ‘an attempt should be made ... to give the greatest possible latitude to the parties to decide under what circumstances a company could be treated as a “national of another Contracting State”’.²⁷⁶
- 5.153** Applying its understanding of the second limb of art 25(2)(b) to the case before it, the *AdT* Tribunal held that there was ‘no issue in the Tribunal’s view that Article 1 of the BIT under either the Claimant’s or Respondent’s interpretation would be an agreement as to “foreign control” that satisfies the flexible and deferential requirement of Article 25(2)’.²⁷⁷ In short, if the BIT’s provisions were reasonable—with reasonable being very flexibly understood—the subjective test was the only second limb test.

²⁷¹ *ibid* para 278.

²⁷² *ibid* fn 237, citing *Vacuum Salt* para 36.

²⁷³ *AdT v Bolivia* para 280.

²⁷⁴ *ibid* para 281, citing C Schreuer, *The ICSID Convention: A Commentary* (2001) 286 para 481 (emphasis in original).

²⁷⁵ *ibid* para 283.

²⁷⁶ *ibid* para 284, citing A Broches, ‘The Convention on the Settlement of Investment Disputes between States and Nationals of Other States’ (1972) 360.

²⁷⁷ *AdT v Bolivia* para 285.

Non-ICSID Cases—‘Juridical Persons’

In cases where the ICSID Convention has not been at issue, arbitral tribunals, in interpreting the *lex specialis* of the relevant investment treaty pursuant to the Vienna Convention on the Law of Treaties, largely follow the same approach as the *Tokios* majority²⁷⁸ in assessing the jurisdiction *ratione personae* of a claimant corporation that meets the nationality requirements of the home State as set out in the treaty (the counterpart to an ICSID Convention Article 25(2)(b) first limb case). If, as is the case with the Energy Charter Treaty, the treaty simply provides that a company is required to be organised under the laws of the home State, no other test has been applied.²⁷⁹ In *Hulley*, the Tribunal quoted Crawford’s expert opinion as follows: ‘The Treaty [ECT] imposes no further requirements with respect to shareholding, management, *siège social* or location of its business activities ... Companies incorporated in Contracting parties are embraced by the definition, regardless of the nationality of shareholders, the origin of investment capital or the nationality of directors or management.’²⁸⁰ **5.154**

The *Hulley* Tribunal observed that questions about ownership and control of the claimant would be relevant to an examination of the ECT’s ‘denial of benefits’ provision (art 17), whereby ownership or control of a claiming party by nationals of a third State may, under certain conditions, entitle the respondent State to deny certain benefits of the Treaty to the claimant. However, ownership or control would not be relevant where the nationality requirements had been met: the Tribunal was not entitled ‘by the terms of the [Energy Charter Treaty] to find otherwise’.²⁸¹ In this regard, the *Hulley* Tribunal quoted *Saluka*: ‘The Tribunal cannot in effect impose upon the parties a definition of ‘investor’ other than that which they themselves agreed. That agreed definition required only that the claimant-investor should be constituted under the law of (in the present case) the Netherlands, and it is not open to the Tribunal to add other requirements which the parties could themselves have added but which they omitted to add.’²⁸² **5.155**

The principle invoked in *Hulley* was that ‘no general principles of international law’ require a tribunal to investigate the operation or ownership or control of a company when the investment treaty requires nothing more than incorporation.²⁸³ Rather, when the sole requirement is incorporation in the host State, any other methods of assessing a company’s nationality are excluded. The *Hulley* Tribunal cited two ICSID cases—*Plama Consortium Ltd v Bulgaria* and *Tokios Tokelés v Ukraine*—as support for this proposition, thereby drawing the link with ICSID ‘first limb’ cases discussed above.²⁸⁴ **5.156**

A requirement of organisation under the law of the host State is not necessarily simple to assess. In this respect, ‘juridical person’ jurisdictional challenges can be similar to challenges **5.157**

²⁷⁸ *Tokios Tokelés v Ukraine* (Decision on Jurisdiction) ICSID Case No ARB/02/18, IIC 258 (2004, Weil P (dissenting), Bernardini & Price).

²⁷⁹ See *Hulley Enterprises Ltd v Russia* (Interim Award on Jurisdiction and Admissibility) PCA Case No AA 226, IIC 415 (UNCITRAL, 2009, Fortier P, Poncet & Schwebel); *Petrobart Ltd v Kyrgyz Republic* (Award) SCC Case No 126/2003, IIC 184 (SCC, 2005, Danelius C, Bring & Smets); and *Saluka Investments BV v Czech Republic* (Partial Award) PCA Case No 2001–04, 15 ICSID Rep 274, IIC 210 (UNCITRAL, 2006, Watts P, Behrens & Fortier).

²⁸⁰ *Hulley v Russia* para 411.

²⁸¹ *ibid* para 413.

²⁸² *ibid* para 414, citing *Saluka* para 241.

²⁸³ *ibid* para 415.

²⁸⁴ *ibid* para 416, citing *Plama Consortium Ltd v Bulgaria* para 128 and *Tokios Tokelés v Ukraine* para 101.

to a natural person's nationality. The corporation might have difficulty establishing that it is a national under the law of the host State, despite incorporation there, if under the host State's law nationality based on incorporation is a rebuttable presumption in the event that evidence is adduced that the company's real seat of business is located elsewhere. In a recent ICSID 'first limb' jurisdictional decision in which the result undoubtedly would have been the same if the same tribunal were not applying the ICSID Convention, *Société Civile Immobilière de Gaëta v Guinea*,²⁸⁵ that is precisely what the Tribunal found. Despite French incorporation, the claimant corporation was operated from Guinea. Consequently, the Tribunal held that French nationality could not be sustained for purposes of the claim according to French law. Although this case concerned the application of a foreign investment law rather than an investment treaty, the exercise that the Tribunal sought to conduct—assessing the company's nationality status pursuant to French law—was in keeping with the principles of international investment law.

- 5.158** In non-ICSID cases, a claimant company that is a national of the host State may seek to take advantage of an investment treaty provision that establishes investor status by showing that the company is 'controlled' or 'owned' by a national of the home State (the non-ICSID counterpart to ICSID Convention art 25(2)(b) 'second limb' cases). In these cases, the 'objective test' of control would not necessarily apply. This is so even if the arbitrators were persuaded by *National Gas v Egypt* rather than the *AdT v Bolivia* majority because, by definition, the ICSID Convention art 25(2)(b) would not apply to the arbitration. The Tribunal would have to make its determination of whether second-level piercing was appropriate based on the terms of the relevant investment treaty, interpreted, of course, pursuant to the Vienna Convention on the Law of Treaties, without reference to the ICSID *travaux* guidance of Broches—whether or not in favour of an 'objective test' of 'foreign control'.

G. Restructuring and 'Nationality of Convenience'

- 5.159** Investment law recognises, in principle, the validity of altering nationality through corporate restructuring in order to take advantage of another country's treaty protections. However, restructuring is not acceptable in all circumstances, despite the absence of any prohibition in an investment treaty, and where satisfying the *ratione personae* requirement would, on the face of the treaty, be accomplished by incorporation in the home State by the date on which an arbitration is commenced. Investor-State tribunals have, in the recent cases identified below, promulgated a framework for assessing the instances where an investor's fulfilment of the formal requirements of nationality through restructuring nonetheless fails to meet the *ratione personae* standard. The framework is based on the timing of the restructuring, and the duty of tribunals to ensure that the international law principle of good faith is adhered to in the dispute resolution process.
- 5.160** Stated in general terms, tribunals apply the following test: restructuring is acceptable if the alteration of nationality comes before the treaty dispute has arisen; however, if the restructuring occurs after the dispute has arisen, so that the investor may take advantage of access to an arbitration provision in a treaty, a tribunal may deem this restructuring to be a misuse of the

²⁸⁵ *Société Civile Immobilière de Gaëta v Guinea* (Award) ICSID Case No ARB/12/36, IIC 755 (2015), Tercier P, Grigera Naón & Lévy).

treaty system and an abuse of process or of right, leading to a denial of jurisdiction. The 2009 arbitral award in *Phoenix Action v Czech Republic*²⁸⁶ and the 2010 decision on jurisdiction in *Mobil v Venezuela*²⁸⁷ are the pre-eminent cases in explicating the test.

In *Phoenix Action v Czech Republic*, the issue was not that a company had changed its nationality but instead, as the Czech Republic alleged, that the claimant Phoenix was an *ex post facto* creation of an Israeli entity by a Czech fugitive, seeking to create non-Czech nationality and acquire interests in Czech companies already involved in disputes with the Czech authorities, thereby seeking to bring a pre-existing, domestic dispute before an ICSID tribunal. The Tribunal commented that the BIT's and the ICSID Convention's jurisdictional requirements could not be read 'in isolation from public international law, and its general principles', including the principle of good faith. A corporation could not, according to ICSID case law, modify the structure of its investment for the sole purpose of gaining access to ICSID jurisdiction, *after damage had occurred*.²⁸⁸ The Tribunal concluded that 'change [in] the structure of a company complaining of measures adopted by a State for the sole purpose of acquiring an ICSID claim that did not exist before such change cannot give birth to a protected investment'.²⁸⁹

5.161

In *Mobil v Venezuela*, the State argued that Exxon Mobil's corporate restructuring through the creation of the Dutch holding in 2005–2006 constituted an abuse of right, and that the Tribunal therefore had no jurisdiction under the BIT. The Tribunal accepted that the main, if not the sole, purposed of the restructuring was to gain access to ICSID arbitration through the Dutch–Venezuela BIT, but observed that such restructuring could be 'legitimate corporate planning' rather than an 'abuse of right', depending upon the circumstances in which it happened. Those circumstances, the Tribunal concluded, were quite different from the situation before the Tribunal in *Phoenix Action v Czech Republic*. The *Mobil v Venezuela* Tribunal found that restructuring through a Dutch holding 'was a perfectly legitimate goal as far as it concerned future disputes'.²⁹⁰ With respect to pre-existing disputes, the Tribunal considered that restructuring would constitute, to take the words of the *Phoenix Action* Tribunal, 'an abusive manipulation of the system of international investment protection under the ICSID Convention and the BITs'.²⁹¹ The result was that jurisdiction was upheld 'with respect to any dispute born after 21 February 2006 for the Cerro Negro project and after 23 November 2006 for the La Ceiba project', and jurisdiction was rejected for any dispute arising before those dates.²⁹²

5.162

As Douglas has felicitously phrased the general test for restructuring, there cannot be 'a restructuring of the investment in order to resort to the dispute resolution provisions of an investment treaty once a dispute has arisen. Treaty shopping is acceptable; forum shopping is not'.²⁹³

5.163

²⁸⁶ *Phoenix Action Ltd v Czech Republic* (Award) ICSID Case No ARB/06/5, IIC 367 (2009, Stern P, Bucher & Fernández-Armesto).

²⁸⁷ *Mobil Corp Venezuela Holdings BV v Venezuela* (Decision on Jurisdiction) ICSID Case No ARB/07/27, IIC 435 (2010, Guillaume P, Kaufmann-Kohler & El-Kosheri).

²⁸⁸ *Phoenix Action v Czech Republic* para 78.

²⁸⁹ *ibid* para 92.

²⁹⁰ *Mobil v Venezuela* para 204.

²⁹¹ *ibid* para 205, citing *Phoenix Action v Czech Republic* para 144.

²⁹² *ibid* para 206.

²⁹³ Douglas, 290.

- 5.164** Recent restructuring rulings consistently cite *Phoenix Action v Czech Republic* and *Mobil v Venezuela* for the proposition that all tribunals have the obligation to prevent abuse of the system of international investment protection, which includes the obligation to prevent manipulation of nationality to bring a claim that might otherwise be precluded. In *ConocoPhillips v Venezuela*,²⁹⁴ the Tribunal explained that nothing precludes a corporation from altering its nationality to benefit from protection of another country's laws. However, tribunals must still consider, where formal nationality requirements are met as a consequence of the restructuring, a possible broader objection: whether the restructuring to take advantage of treaty protections was a misuse of a power conferred by law. Quoting *Mobil v Venezuela*, the *ConocoPhillips* Tribunal reaffirmed that 'in all systems of law whether domestic or international, there are concepts framed in order to avoid misuse of the law,' such as good faith and abuse of right.²⁹⁵ A corporation, the Tribunal observed, was seeking to make use of a procedure of an international character to settle a dispute with a State, and the circumstances of the restructuring had to be closely examined to ensure that good faith was preserved. A finding of breach of good faith is rare and the standard to demonstrate a breach is high.²⁹⁶
- 5.165** The Tribunals in *Lao Holdings v Lao* and *Pac Rim v El Salvador*,²⁹⁷ by way of further example, have reiterated the *Phoenix Action v Czech Republic* and *Mobil v Venezuela* guidance that when nationality has been altered or created to obtain treaty protection, it must be determined whether there was an abusive manipulation of the system in accomplishing the alteration. That determination turns chiefly on timing—when was the dispute reasonably foreseeable, and when did the restructuring take place? *Lao Holdings* states that 'it is clearly an abuse for an investor to manipulate the nationality of a company subsidiary to gain jurisdiction under an international treaty at a time when the investor is aware that events have occurred that negatively affect its investment and may lead to arbitration. In particular, abuse of process must preclude unacceptable manipulations by a claimant acting in bad faith who is fully aware prior to the change in nationality of the "legal dispute"'.²⁹⁸ *Pac Rim* quoted *Phoenix Action* on timing: 'International investors can of course structure *upstream* their investments, which meet the requirement of participating in the economy of the host State, in a manner that best fits their need for international protection, in choosing freely the vehicle through which they perform their investment ... But on the other side, an institutional investor cannot modify *downstream* the protection granted to its investment by the host State, once the acts which the investor considers are causing damages to its investment have already been committed.'²⁹⁹

²⁹⁴ *ConocoPhillips Petrozuata BV v Venezuela* (Decision on Jurisdiction) ICSID Case No ARB/07/30, IIC 605 (2013, Keith P, Abi-Saab & Fortier).

²⁹⁵ *ibid* para 273, citing *Mobil v Venezuela* para 169.

²⁹⁶ *ibid* para 275.

²⁹⁷ *Lao Holdings NV v Lao* (Decision on Jurisdiction) ICSID Case No ARB(AF)/12/6, IIC 633 (2014, Binnie P, Hanotiau & Stern) and *Pac Rim Cayman LLC v El Salvador* (Decision on Jurisdiction) ICSID Case No ARB/09/12, IIC 543 (2012, Veeder P, Santiago Tawil & Stern).

²⁹⁸ *Lao Holdings* para 70.

²⁹⁹ *Pac Rim* para 2.46, citing *Phoenix Action v Czech Republic* paras 94–5 (emphasis as cited in the *Pac Rim* decision).

In *Pac Rim*, an arbitration under the Central America Free Trade Agreement (CAFTA), the Tribunal found that a principal purpose of the claimant's change in nationality was to gain access to CAFTA's protection of investment rights and international arbitration. There were other purposes, but they were less important in prompting the claimant's change from Cayman Islands to USA nationality. Adhering to the general approach set out in *Mobil v Venezuela* and in *Phoenix Action v Czech Republic*, the *Pac Rim* Tribunal focused on timing as well as the circumstances in which the restructuring of nationality had taken place in order to determine whether the restructuring would be considered legitimate corporate planning or an abuse of right—agreeing with the decision in *Mobil v Venezuela* that all systems of law include concepts, such as good faith, to prevent the misuse of law. However, as the *Pac Rim* Tribunal explained, although the test is clear, its application may well be complicated by factual uncertainties: 'the dividing-line [between a valid nationality change and abuse] occurs when the relevant party can see an actual dispute or can foresee a specific future dispute as a very high probability and not merely as a possible controversy. In the Tribunal's view, before that dividing-line is reached, there will ordinarily be no abuse of process; but after that dividing-line is passed, there ordinarily will be ... [T]he Tribunal is here more concerned with substance than semantics; and it recognizes that, as a matter of practical reality, this dividing-line will rarely be a thin red line, but will include a significant grey area.'³⁰⁰ **5.166**

In the circumstances and timing of the case before it, the *Pac Rim* Tribunal found that (i) under CAFTA, there was no requirement that a claimant had to have a CAFTA party's nationality before making its investment, and (ii) at the time the relevant dispute arose, the claimant was already, in fact, a national of the USA and therefore a CAFTA party. Consequently, the restructuring was not an abuse of process. However, it should be noted that the claimant's CAFTA claims nonetheless failed on the grounds of CAFTA's 'denial of benefits' clause: the claimant, as a Nevada corporation, was a passive actor and did not have 'substantial' activities in the USA.³⁰¹ In a 2015 case, *Levy v Peru*, the Tribunal noted the high bar for a respondent to demonstrate abuse of process, and expressly adopted the guidance from *Pac Rim* that a specific future abuse must be foreseeable 'as a very high probability and not merely as a possible controversy'.³⁰² Given this high bar, the *Levy v Peru* Tribunal nonetheless found that there had been an abuse on the grounds that Levy, a French national, only became an investor in a Peruvian company (Gremcital SA) in order to provide that company with jurisdiction under the second limb of ICSID Convention art 25(2)(b) when the relevant dispute with Peru was readily apparent. Accordingly, the Tribunal determined that the abuse of process precluded it from exercising jurisdiction over the dispute. **5.167**

Thus, although tribunals look behind the formal requirements of nationality in cases of apparent restructuring or 'treaty shopping' and rely on the principle of good faith to do so, the investigation is itself directed to an overriding chronological issue: whether the change in nationality, initiated by the investor to obtain treaty protection, came before or after a dispute was foreseeable by the investor or the events allegedly causing damage to the investor. In that sense at least, as the *Pac Rim* Tribunal pointed out, international investment law contains a formalistic timing test in relation to restructuring of corporate nationality. **5.168**

³⁰⁰ *Pac Rim* para 2.99.

³⁰¹ *ibid* para 4.68.

³⁰² *Levy and Gremcital SA v Peru* (Award) ICSID Case No ARB/11/17, IIC 671 (2015, Kaufmann-Kohler P, Vinuesa & Zuleta) para 178.

- 5.169** The foreseeability element in this test raises one distinction that some tribunals have recently drawn regarding restructuring: the difference between an ‘abuse of process’ objection and a *ratione temporis* objection. As explained in *Mobil v Venezuela*, *Lao Holdings*, and *Pac Rim*, at issue in the doctrine of *ratione temporis* is the principle of non-retroactivity in the interpretation and application of treaties. That is, jurisdiction *ratione temporis* is not concerned with the purpose of the restructuring or the obtaining of nationality; rather, the question is simply whether the dispute has actually arisen before the date that the relevant nationality has been obtained. The *Lao Holdings* Tribunal provided the following explanation, from which it is apparent that a respondent State is probably well-advised to lodge both types of objection: ‘in the present case, the question could have been discussed whether a dispute was foreseeable before the change of nationality, if an objection had been raised on the basis of an abuse of process. However, as the only objection to jurisdiction was based on *ratione temporis* issues, the only task of the Tribunal is to determine the moment when the dispute arose. If that moment—“the critical date”—is before the change of nationality, then the Tribunal enjoys no jurisdiction; if, to the contrary, the critical date is after the change of nationality, then the Tribunal can assert jurisdiction.’³⁰³
- 5.170** The problem of changing nationality for the purpose of treaty protection has less relevance in the case of an individual investor. Nevertheless in certain instances a tribunal might have to consider whether an individual’s nationality still holds. This is particularly so in cases of dual nationality. In the context of ICSID, such an assessment would require the tribunal to determine whether an individual’s *apparent* home State nationality is still applicable. In a non-ICSID context, the tribunal would have to determine whether the individual’s ‘dominant’ nationality has changed. In the latter context, a tribunal would have to undertake an ‘effective nationality’ analysis that would at least resemble, if not equate to, a diplomatic protection ‘effective nationality’ exercise. Even in the ICSID context, a tribunal has acknowledged the possible need to apply an effective nationality test in the case of an individual, in extraordinary circumstances. In *Fakes v Turkey*,³⁰⁴ the Tribunal stated that one might envisage several instances where this test could be justified: ‘Broches observed that “there was a general recognition that in the course of ruling on their competence Commissions and Tribunals might have to decide whether a nationality of convenience or a nationality acquired involuntarily by an investor could or should be disregarded.”’³⁰⁵ The Tribunal added that it might be the case, for example, that a nationality of convenience acquired by an individual ‘in exceptional circumstances of speed and accommodation’ for the purpose of bringing an ICSID arbitration would not satisfy the nationality requirements of a BIT read together with ICSID Convention art 25(2)(a).³⁰⁶ But this possible need, as a matter of the principle of good faith, to look behind an individual’s acquisition of nationality has not engendered (and is unlikely to do so in the future) the frequently recurring issue that tribunals have faced in relation to corporate restructuring.

³⁰³ *Lao Holdings* para 83.

³⁰⁴ *Fakes v Turkey* (Award) ICSID Case No ARB/07/20, IIC 439 (2010, Gaillard P, Lévy & van Houtte).

³⁰⁵ *ibid* para 77, citing A Broches, *Selected Essays: World Bank, ICSID, and Other Subjects of Public and Private International Law* (1995) 204–5.

³⁰⁶ *ibid* para 78.

Continuous Nationality

The ‘restructuring’ cases have not put entirely to rest an issue that was central in the *Loewen v United States*³⁰⁷ arbitration under NAFTA: is it a principle of international investment law—either as a matter of customary international law or pursuant to interpretation of a particular treaty—that a claimant’s nationality must remain unchanged ‘from the date of the events giving rise to the claim, which date is known as the *dies a quo*, through the date of the resolution of the claim, which date is known as the *dies ad quem*’?³⁰⁸ The *Loewen* Tribunal answered this question in the affirmative, holding that the requisite continuity extends from the date of injury to the date of the award, and therefore accepted the jurisdictional objection of the State. Leaving aside the factual issue of whether the *Loewen* Tribunal was correct in determining that the claimant’s nationality was not continuous, the question remains whether the Tribunal’s version of the ‘continuous nationality’ principle was and is correct, and in what ways, if any, it has any continuing applicability in investment arbitration. **5.171**

The *Loewen* Tribunal stated that continuous nationality was a requirement both as a matter of ‘historical and current international precedent’.³⁰⁹ It noted that NAFTA provided for nationality requirements at the beginning date of the claim, but was silent on ‘the question of whether nationality must continue to the time of resolution of the claim’.³¹⁰ That silence, the Tribunal stated, required the application of customary international law to resolve the matter, and as a historical matter, there was only limited dispute as to the requirement of continuous nationality. When governments dealt directly with each other on investment claims, nationality had to be continuous; if there were a break in the chain, then the home government no longer had a citizen to protect. However, as private claimants began to pursue their own claims under investment treaties, ‘provision has been made for amelioration of the strict requirement of continuous nationality’.³¹¹ The Tribunal emphasised that because such provisions were ‘specifically spelled out’ in various treaties (including, for example, the Iran–US claims settlement agreement pursuant to the Algiers Accords and many BITs), NAFTA’s silence on the point spoke volumes. Thus, the contracting States were content to rely on the customary international law rule.³¹² **5.172**

The *Loewen* Tribunal further sought to explain that ‘NAFTA claims have a quite different character [from domestic claims], stemming from a corner of public international law in which, by treaty, the power of States under that law to take international measures for the correction of wrongs done to its nationals has been replaced by an ad hoc definition of certain kinds of wrong, coupled with specialist means of compensation’.³¹³ **5.173**

In considering NAFTA’s purpose and language as a whole, the *Loewen* Tribunal commented that both the ICSID Convention’s nationality provisions on timing issues and the International Law Commission’s report³¹⁴ proposing to eliminate the continuous nationality **5.174**

³⁰⁷ *Loewen Group Inc v United States of America* (Award) ICSID Case No ARB(AF)/98/3, 7 ICSID Rep 421, IIC 254 (NAFTA, 2003, Mason P, Mikva & Mustill).

³⁰⁸ *ibid* para 225 (emphasis in original).

³⁰⁹ *ibid* para 225.

³¹⁰ *ibid* para 226.

³¹¹ *ibid* para 229.

³¹² *ibid*.

³¹³ *ibid* para 233.

³¹⁴ *ibid* paras 235–6: the report was ‘met with criticism in many quarters and from many points of view.’

rule were not relevant. However, the purpose of NAFTA, to protect a foreign investor, was relevant. On the facts, the claim, following the bankruptcy of the Canadian claimant, would only inure to the benefit of a US corporation. Accordingly, the continuous nationality rule applied and the claim therefore failed.³¹⁵

- 5.175** Many aspects of the *Loewen* award were quickly subject to intense scrutiny and criticism by the community of international law scholars and investment arbitration practitioners, and it is probably safe to say that the award has not withstood the test of time.³¹⁶ For example, there was the *Loewen* Tribunal's troubling application of a customary international law rule that the Tribunal appeared to acknowledge had little relevance to circumstances where private claimants, under investment protection treaties, directly pursue private claims. The *Loewen* Tribunal refused to import language into a treaty yet sought to rely on a customary international law rule that had not been adopted in many other treaties, and considered that NAFTA's silence permitted the arbitrators—or required them—to find that the customary law rule should be applied. The Tribunal did not consider whether the customary international law rule that it applied had been rendered ineffective because many investment protection treaties expressly pointed to a different approach to the nationality question.
- 5.176** Under the ICSID Convention and the US and Canada model BITs, continuous nationality through to the date of resolution of the claim is not a requirement.³¹⁷ In *Micula v Romania*,³¹⁸ the State contended that art 25(2) of the ICSID Convention, which requires that the investor hold the relevant nationality at the date of the request for arbitration as well as on the date on which the request is registered at ICSID, does not exclude application of customary international law on continuous nationality. The Tribunal rejected that contention, and no other recent ICSID case has ruled otherwise. Indeed, 'continuous nationality' under the ICSID Convention is not strictly required; rather the time to assess nationality simply refers to the distinct dates noted in *Micula*—the date of the request and the date of registration (usually within a very short period of time).³¹⁹ One finds in the relevant BIT to be interpreted with the ICSID Convention that nationality is also relevant at the date of the injury or foreseeable injury, as explained in the restructuring cases discussed above.
- 5.177** Moreover, NAFTA itself should not be regarded as silent on the matter of the dates relevant to nationality, since nationality at the date of submission of the claim is expressly provided

³¹⁵ *ibid* para 237.

³¹⁶ See, notably, M Mendelson, 'The Runaway Train: the "Continuous Nationality Rule" from the *Panevezys-Saldutiskis Railway case to Loewen*' in T Weiler (ed), *International Investment Law and Arbitration: Leading Cases from the ICSID, NAFTA, Bilateral Treaties and Customary International Law* (2005). See also Paulsson 183–4, and his 'Continuous Nationality in *Loewen*' (2004) 20 *Arb Int'l* 213, and E Gaillard, 'Centre International pour le Reglement des Differends relatifs aux Investissements: Chronique des Sentences Arbitrales' (2004) *Journal du Droit International* 213, 230–3.

³¹⁷ A point made in Mendelson 'The Runaway Train' 292.

³¹⁸ *Micula v Romania* (Decision on Jurisdiction and Admissibility) ICSID Case No ARB/05/20, IIC 339 (2008, Lévy P, Alexandrov & Ehlermann).

³¹⁹ See Schreuer (1st edn, 2001) 274 as quoted in *Siag v Egypt* para 205:

In the traditional law of diplomatic protection, a requirement of continuous nationality is often asserted from the time the claim arises up to the date it is taken up by the State of the injured person's nationality or even up to the date of a decision. The Convention does not require continuity of nationality. Its wording is directed at distinct points in time and not at a continuous period of time, which could have been expressed quite easily by 'from to' or 'continuously until' rather than by 'as well as' and 'on either date.'

for.³²⁰ Mendelson further criticises the Tribunal's treatment of customary international law as follows:

The Tribunal's attempt to use these and other treaties as the basis for an a contrario argument to the effect that, because the NAFTA does not contain specific provisions modifying the continuous nationality rule, the (supposed) customary rule must apply, might have been more convincing if it had satisfactorily established that the extended version of the rule was an established principle of customary law—which, for the reasons provided above, it could not and in any event did not convincingly do. Nor did it explain why a rule developed in one context (diplomatic protection) necessarily carried over into another area (investor claims). It did not even cite a single authority in support of any of its propositions.”³²¹

The tribunal in *EnCana v Ecuador*³²² observed that there is in NAFTA at least an ‘apparent co-mingling of diplomatic protection concepts with investor–State claims (see, for example, Article 1136(5)).’³²³ In the event that a disputing Party fails to abide by, or comply with, a final award, art 1136(5) of NAFTA allows a successful claimant to request that the NAFTA Free Trade Commission: (1) determine that the disputing Party's failure to comply is inconsistent with its NAFTA obligations; and (2) recommend that the Party comply with the award. An analogy can thus be drawn between the art 1136(5) procedure and diplomatic espousal or protection, because both are a peaceful means of putting pressure on recalcitrant States to comply with awards. However, that co-mingling does not salvage the approach of the *Loewen* Tribunal, as can be discerned from the International Law Commission's Draft Articles on Diplomatic Protection, particularly arts 5 (continuous nationality of a natural person) and 10 (continuous nationality of a corporation). The International Law Commission (ILC) stated that it was not prepared to follow the *Loewen* Tribunal ‘in adopting a blanket rule that nationality must be maintained to the date of resolution of the claim’³²⁴ (regarding art 5). Instead, the ILC preferred ‘the date of the official presentation of the claim as the *dies ad quem*’.³²⁵ The same principle is applied to corporations by the ILC.³²⁶ This would seem to provide a compelling answer to—and rejection of—the *Loewen* Tribunal's position on continuous nationality.

In international investment arbitration, then, ‘continuous nationality’, if not specifically defined by the relevant treaty, should not be considered a requirement. As a practical matter, the requirement of continuous nationality runs from the date on which the matter giving rise to the dispute arose until the institution of the claim, but not thereafter. If there is a break in nationality of ownership of the claim during that period, the resumption of nationality

³²⁰ NAFTA (Appendix 1 below) arts 1116 and 1117.

³²¹ Mendelson 141.

³²² *EnCana Corp v Ecuador* (Award) LCIA Case UN3481, IIC 91 (UNCITRAL, 2006, Crawford P, Grigera Naón & Thomas).

³²³ *ibid* para 128. NAFTA art 1136(5): ‘If a disputing Party fails to abide by or comply with a final award, the Commission, on delivery of a request by a Party whose investor was a party to the arbitration, shall establish a panel under Article 2008 (Request for an Arbitral Panel). The requesting Party may seek in such proceedings:

- (a) a determination that the failure to abide by or comply with the final award is inconsistent with the obligations of this Agreement; and
- (b) a recommendation that the Party abide by or comply with the final award.’

Further, in fn 84, the *EnCana* Tribunal refers to the ILC Draft Articles on Diplomatic Protection, art 5.

³²⁴ ILC ‘Diplomatic Protection: Draft Articles with Commentaries’ art 5 commentary para 5.

³²⁵ *ibid*.

³²⁶ *ibid* art 10 commentary para 2.

would trigger investigation pursuant to the principles constraining restructuring, discussed above, and would unlikely survive such investigation. However, even under this practical requirement of continuous nationality, the end date would be submission of the claim—and not, as the *Loewen* Tribunal determined, the date of resolution of the claim.

H. Denial of Benefits

- 5.180** Some investment treaties contain ‘denial of benefits’ clauses to address concerns about nationals, legal entities in particular, of the home State that seek to lodge treaty claims but have no connection to the home State other than the simple fact of their incorporation.³²⁷ These clauses typically require a link between the company and its State of incorporation represented by ‘substantial business activities’ or, as in the US model BIT, may also exclude treaty protections from companies that are owned or controlled by investors from a country with which a contracting State has no diplomatic relations or otherwise prohibits transactions. ‘Denial of benefits’ clauses originally arose in the diplomatic protection context, in order to exclude ‘enemy companies’ from the possibility of obtaining espousal.
- 5.181** In addition to art 17 of the 2012 US model BIT, art 17(1) of the Energy Charter Treaty (ECT) provides an important example of a ‘denial of benefits’ clause. ECT art 17 states that each party to the Treaty reserves the right to deny the advantages of Part III on investment promotion and protection to companies that have no ‘substantial business activities’ in the State in which the company is organised or if the investment belongs to an investor from a third State with which the State does not maintain diplomatic relations. A differently worded clause appears in art VI of the ASEAN Framework Agreement on Services (December 1995), which provides that ‘[t]he benefits of this Framework Agreement shall be denied to a service supplier who is a natural person of a non-Member State or a juridical person owned or controlled by persons of a non-Member State constituted under the laws of a Member State, but not engaged in substantive business operations in the territory of Member States(s)’.³²⁸
- 5.182** CAFTA (art 10.12) also includes a variant of a denial of benefits clause, though unlike the above ASEAN clause, it is permissive:

A Party may deny the benefits of this Chapter to an investor of another Party that is an enterprise of such other Party and to investments of that investor if persons of a non-Party own or control the enterprise and the denying Party:

- (a) does not maintain diplomatic relations with the non-Party; or
- (b) adopts or maintains measures with respect to the non-Party or a person of the non-Party that prohibit transactions with the enterprise or that would be violated or circumvented if the benefits of this Chapter were accorded to the enterprise or to its investments.

Subject to Articles 18.3 (Notification and Provision of Information) and 20.4 (Consultations), a Party may deny the benefits of this Chapter to an investor of another Party that is an enterprise

³²⁷ See eg L Gastrell and PJ Le Cannu, ‘Procedural Requirements of “Denial-of-Benefits” Clauses in Investment Treaties: A Review of Arbitral Decisions’ (2015) 30 ICSID Review-FILJ 78–97; LA Mistelis and C Baltag, ‘Denial of Benefits and Article 17 of the Energy Charter Treaty’ (2009) 113 Penn State LR 1301–21; R Hoffmann, ‘Denial of Benefits’ in M Bungenberg et al (eds) *International Investment Law* (2015) 598–613; and Douglas 468–72.

³²⁸ signed 15 December 1995 (1996) 35 ILM 1072.

of such other Party and to investments of that investor if the enterprise has no substantial business activities in the territory of any Party, other than the denying Party, and persons of a non-Party, or of the denying Party, own or control the enterprise.

The *Pac Rim* Tribunal interpreted this CAFTA clause to require that the respondent State seeking to exercise it must establish that the claimant had no substantial business activities in the territory of the home State, and that the claimant was owned or controlled by persons of a non-CAFTA Party.

Denial of benefits clauses have been considered in a number of investment cases.³²⁹ The only clear principle emerging from these awards to date is the overriding importance of parsing the particular wording of the clause at issue. Tribunals have taken, accordingly, different views on whether a denial of benefits clause has retrospective or only prospective effect. In *Plama v Bulgaria*, the Tribunal analysed the ECT clause and found that it only applied with prospective effect, after notice of exercise of the clause by the respondent State. The *Liman v Kazakhstan* Tribunal agreed with this approach, explaining that ECT art 17(1) had to be interpreted as conferring to a Contracting State the right of denial, but that this right that had to be exercised in an explicit manner, and thus the notification had a prospective and not retroactive effect.³³⁰ **5.183**

However, in *Ulysseas v Ecuador*, in which the denial of benefits clause in the US–Ecuador BIT was at issue, the Tribunal held that the clause did not apply only prospectively. Rather, retrospective effect was acceptable, in that it would not cause uncertainties as to the legal relations under the BIT, since the possibility for the host State to exercise the right in question is known by the investor from the time when it made its the investment.³³¹ **5.184**

The *Amto v Ukraine* Tribunal reviewed the ECT clause. Since the ECT clause does not contain a definition of ‘substantial’, the Tribunal analysed the meaning of ‘substantial’ in the phrase ‘substantial business activities’. The Tribunal reached a nuanced conclusion: since the purpose of art 17(1) is to exclude from ECT protection investors that have adopted a **5.185**

³²⁹ See eg *Generation Ukraine Inc v Ukraine* (Award) ICSID Case No ARB/00/9, IIC 116 (2003, Paulsson P, Salpius & Voss); *Petrobart Ltd v Kyrgyz Republic* (Award) SCC Case No 126/2003, IIC 184 (SCC, 2005, Danelius C, Bring & Smets); *Pan American Energy Int Co v Argentina* (Decision on Preliminary Objections) ICSID Case No ARB/03/13, IIC 183 (2006, Caffisch P, Stern & van den Berg); *Plama Consortium Ltd v Bulgaria* (Decision on Jurisdiction) ICSID Case No ARB/03/24, IIC 189 (2005, Salans P, van den Berg & Veeder) and (Award) IIC 338; *Amto LLC v Ukraine* (Final Award) SCC Case No 080/2005, IIC 346 (SCC, 2008, Cremades C, Runeland & Söderlund); *Empresa Eléctrica del Ecuador v Ecuador* (Award) ICSID Case No ARB/05/9, IIC 376 (2009, Sepúlveda Amor P, Reisman & Rooney); *Hulley Enterprises Ltd v Russia* (Interim Award on Jurisdiction and Admissibility) PCA Case No AA 226, IIC 415 (UNCITRAL, 2009, Fortier P, Poncet & Schwebel); *Veteran Petroleum Ltd v Russia* (Interim Award on Jurisdiction and Admissibility) PCA Case No AA 228, IIC 417 (UNCITRAL, 2009, Fortier P, Poncet & Schwebel); *Yukos Universal Ltd v Russia* (Interim Award on Jurisdiction and Admissibility) PCA Case No AA 227, IIC 416 (UNCITRAL, 2009, Fortier C, Poncet & Schwebel); *Liman Caspian Oil BV v Kazakhstan* (Award) ICSID Case No ARB/07/14, IIC 590 (2010, Böckstiegel P, Crawford & Hobér); *Ulysseas Inc v Ecuador* (Interim Award) PCA Case No 2009-19 (UNCITRAL, 2010, Bernardini P, Pyles & Stern); *Pac Rim Cayman LLC v El Salvador* (Decision on Jurisdiction) ICSID Case No ARB/09/12, IIC 543 (2012, Veeder P, Santiago Tawil & Stern); *Stati v Kazakhstan* (Award) SCC Arb V 116/2010 (SCC, 2013, Böckstiegel C, Lebedev & Haigh); *Guaracachi America Inc v Bolivia* (Award) PCA Case No 2011-17, IIC 628 (2014, Miguel Júdece P, Conthe & Vinuesa).

³³⁰ *Liman Caspian Oil BV v Kazakhstan* (Award) ICSID Case No ARB/07/14, IIC 590 (2010, Böckstiegel P, Crawford & Hobér) paras 224–5.

³³¹ *Ulysseas Inc v Ecuador* para 172.

nationality of convenience, ‘substantial’ in this context means ‘of substance, and not merely of form’. But it does not mean ‘large’—the materiality and not the magnitude of the business activity is the decisive question.³³²

- 5.186** In *Generation Ukraine v Ukraine*, the wording of the 1994 US–Ukraine BIT had to be assessed to determine precisely what the State had to prove about the status of the investor in order to exercise the clause. Although the State ultimately prevailed in the arbitration, the Tribunal rejected its position on denial of benefits: the Tribunal found that third party control, as well as the absence of substantial business activities in the home State, was a condition precedent for the host State to exercise the right of denial. Although the clause was not completely clear on its face, the Tribunal determined that a US Department of State ‘Letter of Submittal’ to the US President, when the US entered into the BIT, clarified that the State carried the burden of showing third party control in addition to the absence of substantial business activities.³³³
- 5.187** Tribunals analysing denial of benefits clauses continue to disagree on where such clauses fall on the ‘jurisdiction or admissibility’ divide. This may be less a matter of the precise wording of the clause than the views held by individual arbitrators on the distinction between jurisdiction and admissibility. In *Generation Ukraine v Ukraine*, the Tribunal considered the right of denial (under the US–Ukraine BIT) to be a question of admissibility, but did not fully explain how it reached this conclusion.³³⁴ The *Plama v Bulgaria* Tribunal stated that ECT art 17(1) did not operate as a denial of all benefits to a covered investor under the treaty, but was expressly limited to a denial of the advantages of Part III of the ECT. It therefore concluded that art 17(1) had no relevance in determining the Tribunal’s jurisdiction.³³⁵ However, in *Ulysseas v Ecuador*, the Tribunal reached the opposite conclusion, holding that a valid exercise of the right of denial would have the effect of depriving the Tribunal of jurisdiction. Since *Ulysseas* was an UNCITRAL case, the jurisdictional objection had to be raised no later than in the statement of defence.³³⁶ Similarly, the Tribunal in *Pac Rim v El Salvador* characterised denial of benefits as a jurisdictional issue.³³⁷
- 5.188** In contrast, in *Ampal-American Israel Corp v Egypt*, the Tribunal imposed mandatory requirements of consultation between States as to whether the benefits were to be denied. It further held that, since the jurisdiction of the Tribunal is to be determined at the time it is seised of the dispute, to be effective a denial of benefits must take place prior to the institution of proceedings.³³⁸

³³² *Amto v Ukraine* para 69.

³³³ *Generation Ukraine v Ukraine* para 15.1–15.9.

³³⁴ *Generation Ukraine v Ukraine* paras 17.1–17.8.

³³⁵ *Plama v Bulgaria* (Decision on Jurisdiction) paras 149 and 179.

³³⁶ *Ulysseas Inc v Ecuador* para 172. For ICJ jurisprudence on this point, see *Right of Passage Over Indian Territory (Portugal v India)* (Preliminary Objections) [1957] ICJ Rep 125, 142: ‘It is a rule of law generally accepted, that, once the Court has been validly seised of a dispute, unilateral action by the respondent State in terminating its Declaration, in whole or part, cannot divest the Court of that jurisdiction’.

³³⁷ *Pac Rim* para 4.92; see also *Guaracachi v Bolivia* paras 381–2 where the Tribunal agreed that denial of benefits raised a jurisdictional rather than admissibility bar.

³³⁸ *Ampal-American Israel Corp v Egypt* (Decision on Jurisdiction) ICSID Case No ARB/12/11 (2016, Fortier P, McLachlan & Orrego Vicuña), citing *Portugal v India* 142.

I. Conclusion

To assess the viability of the *ratione personae* jurisdictional foundation of an investment claim, the following series of short propositions should be considered as a framework for analysis, in view of recent cases interpreting investment treaties. **5.189**

The starting point for analysis is the express provision (if any) on nationality in the BIT (or MIT) on which the foreign investor's claim is based.³³⁹ **5.190**

ICSID Convention. In instances where the ICSID Convention is also applicable to the claim: **5.191**

- (a) Article 25(2)(a) adds that individuals ('natural persons') cannot be a national of both the home and host States either when the claim is submitted to ICSID or when the request is registered by ICSID.
- (b) Article 25(2)(b), first limb, extends the jurisdiction of ICSID to juridical persons on the basis of their nationality of another Contracting State. It does not require a determination of the origin of capital invested.
- (c) Article 25(2)(b), second limb, in relation to juridical persons, adds, pursuant to *National Gas* (though this is not fully settled), that there are subjective and objective tests to determine whether a corporation that is a national of the host State can nonetheless avail itself of home State investor status pursuant to a 'foreign control' provision to which the Contracting Parties have agreed.

In determining a claimant's nationality, the claimant's putative home State provides the legal determination that is to be accepted (pursuant to Convention on Certain Questions Relating to the Conflict of Nationality Law), in so far as the home State's legal determination is 'consistent with international conventions, international custom, and the principles of law generally recognised with regard to nationality'.³⁴⁰ Thus, in the context of an investment treaty claim, the home State's law may be said to provide a very powerful, though possibly rebuttable, presumption regarding the claimant's nationality. **5.192**

The nationality of a natural person-claimant is generally conclusively determined by the home State's citizenship laws: **5.193**

- (a) The natural person-claimant must possess home State citizenship at the date of injury and, usually, continuously from that date until the date of submission of the arbitration request (in ICSID cases, home State citizenship must also be possessed at the date of registration of the claim).
- (b) Dual nationality, where the natural person-claimant is a national of both the home and host States, will preclude the maintenance of an ICSID claim (art 25(2)(a) of the ICSID Convention). In non-ICSID cases, depending on the relevant investment treaty, dual nationality may be permitted, and in the event that it is not precluded, it is generally the case that a 'predominant' or 'effective' nationality test will be applied (though an important recent case (*Armas*³⁴¹) may lead future tribunals not to apply such a test).

³³⁹ Paragraphs 5.58 *et seq* above provide examples of such express provisions.

³⁴⁰ Convention on Certain Questions Relating to the Conflict of Nationality Law, art 1.

³⁴¹ *Armas v Venezuela* (Decision on Jurisdiction) PCA Case No 2013-3 (2014, Grebler P, Oreamuno Blanco & Santiago Tawil).

- 5.194** In the case of juridical persons, a ‘formal’ State of incorporation test (the *Tokios*³⁴² line of cases) usually applies, including in cases of purely ‘shell’ corporations, unless the relevant BIT or MIT provides otherwise:
- (a) It is usually the case that the corporation must possess home State nationality continuously from the date of injury until the date of submission of the arbitration request.
 - (b) The nationality of the corporation’s shareholders will not be regarded as the nationality of the corporation unless the corporation has ceased to exist pursuant to the law of the State of incorporation or the corporation had the nationality of the host State at the date of injury and (i) the host State is alleged to be responsible for the injury, and (ii) incorporation in the host State was required by it as a precondition for doing business there.
 - (c) The nationality of the shareholders will further be relevant in the event that they claim direct injury to their rights as opposed to injury to the corporation itself.
- 5.195** Where an investment treaty extends its protections to legal persons controlled directly or indirectly by nationals of one Contracting Party but constituted in accordance with the law of the other Contracting Party, it is necessary to determine whether ‘control’ is sufficiently established by formal ownership or whether ultimate substantive control is required. The current majority view is arguably expressed in *National Gas v Egypt*³⁴³ which provides that formal ownership or control is necessary but *not* sufficient: substantive, objective control must be investigated, in effect lifting the corporate veil to determine who holds ultimate substantive control (or at least to determine whether a host State person or entity is in the substantive control chain). This view cannot be regarded as settled in light of, for example, the decision in *AdT v Bolivia* (majority)³⁴⁴ and the dissenting opinion in *TSA Spectrum*,³⁴⁵ which eschew an ‘objective test’ and consider formal ownership or control by a home State entity or natural person (pursuant to the relevant investment treaty’s provisions) to be necessary and sufficient.
- 5.196** The burden of establishing jurisdiction *ratione personae* is on the claimant individual or claimant corporation.
- 5.197** ‘Mass claimant’ claims are permitted, provided that the individual claimants (whether natural or juridical persons) meet their respective burdens to demonstrate *ratione personae*.
- 5.198** Corporate ‘restructuring’ is permitted to take advantage of treaty protections, provided that a dispute with the host State that would entitle the putative claimant to such protections was not foreseeable before the date of the restructuring and that the pursuit of the claim on this basis is not otherwise an abuse of right or in bad faith.

³⁴² *Tokios Tokelés v Ukraine*.

³⁴³ *National Gas SAE v Egypt* (Award) ICSID Case No ARB/11/7 (2014, Veeder P, Fortier & Stern).

³⁴⁴ *Aguas del Tunari SA v Bolivia* (Decision on Jurisdiction) ICSID Case No ARB/02/3, IIC 8 (2005, Caron P, Álvarez & Alberro-Semerena (dissenting)) (*AdT v Bolivia*).

³⁴⁵ *TSA Spectrum de Argentina SA v Argentina* (Award) ICSID Case No ARB/05/5, IIC 358 (2008, Danelius P, Abi-Saab & Aldonas (dissenting)).

6

INVESTMENT

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A. Introduction

The question of what constitutes an investment is regularly a threshold jurisdictional question in treaty arbitrations.¹ Tribunals often need to consider the definition of ‘investment’ under two instruments: **6.01**

- (1) the investment treaty; and
- (2) article 25 of the ICSID Convention.²

While the ICSID definition is of course only controlling in ICSID arbitrations, many of the awards and writings dealing with art 25 of the ICSID Convention are relevant to a consideration of the definition of investment under other investment treaties. Similarly, **6.02**

¹ See further N Rubins, ‘The Notion of “Investment” in International Investment Arbitrations’ in N Horn (ed), *Arbitrating Foreign Investment Disputes* (2003) 292.

² Convention on the Settlement of Investment Disputes between States and Nationals of other States (signed 18 March 1965, entered into force 14 October 1966) 575 UNTS 159 (ICSID Convention) (Appendix 12 below) art 25.

the approaches taken by tribunals considering the issue under bilateral investment treaties (BITs) have relevance to the consideration of investment in the ICSID context.

6.03 In this chapter, the issue is analysed in two sections:

- (1) the definition of 'investment' in treaties; and
- (2) the role played by arbitral tribunals in building upon treaty definitions in relation to specific property interests.

B. Definition of 'Investment' under Treaties

Under the ICSID Convention

- 6.04** Article 25 of the ICSID Convention³ limits the Centre's jurisdiction to legal disputes arising 'directly out of an investment'. No definition of this central term is offered. The Report of the Executive Directors explains this lack of further clarification by saying: 'No attempt was made to define the term 'investment' given the essential requirement of consent by the parties, and the mechanisms through which Contracting States can make known in advance, if they so desire, the classes of disputes which they would or would not consider submitting to the Centre (Article 25(4)).'⁴
- 6.05** As Schreuer points out, this statement of the position is historically inaccurate. Schreuer explains how a number of differing views relating to the definition of 'investment' were discussed, but no resolution was reached.⁵ The absence of any clarification in the ICSID Convention means that, within a wide area of discretion, the parameters of what constitutes an investment fall to be supplied by the parties' consent and ultimately by tribunals.
- 6.06** The importance of art 25 of the ICSID Convention in ICSID arbitrations is that it places a limit upon the parties' ability to consent to ICSID jurisdiction, whether that consent be expressed in a concession agreement or in a treaty. While the word 'investment' in art 25 has been construed widely, it is not without limits, as the discussion in this chapter will show. In the first edition of *The ICSID Convention: A Commentary*, Schreuer listed the various areas of economic activity that have come before ICSID tribunals as including:
- ... the building and operation of hotels, the production of fibres and textiles, the mining of minerals, the construction of a hospital ward, the exploration, exploitation and distribution of petroleum products, the manufacture of plastic bottles, the construction and operation of a fertilizer factory, the construction of housing units, the operation of a cotton mill, aluminium smelter, forestry, the conversion, equipping and operation of fishing vessels, the production of weapons, tourism resort projects, maritime transport of minerals, a synthetic fuels project, shrimp farming, banking, agricultural activities, the construction of a cable TV system and the provision of loans.⁶
- 6.07** Schreuer drew up this list in 2001. Since then, the categories of covered economic activities have continued to increase. Yet certain activities which would as easily fall into these

³ Appendix 12 below.

⁴ World Bank, 'Report of the Executive Directors on the Convention on the Settlement of Investment Disputes between States and Nationals of Other States, 1965' 1 ICSID Rep 23, para 27.

⁵ Schreuer 114–7, especially 116.

⁶ Schreuer (1st edn, 2001) 138 para 119.

categories have also been excluded, such as the provision of guarantees,⁷ power generation,⁸ telecommunications licensing,⁹ and consumer banking.¹⁰ This indicates that the key issue is not the area of economic activity covered, but the form and nature of that activity. In the absence of a treaty definition, it has fallen to tribunals to add their own interpretations of the meaning of ‘investment’ on a case-by-case basis. As the following analysis will demonstrate, a trend may be emerging from the cases whereby tribunals initially attempted to supply their own definition and definitional criteria but are now preferring to retain a greater degree of flexibility. In considering the decided awards, it is important to bear in mind that not all tribunals were dealing with borderline cases, and this may have some bearing on the degree of precision they brought to bear upon any definitions they offered.

The earliest award to consider the meaning of ‘investment’ in depth was *Fedax NV v Venezuela*.¹¹ Fedax, a company claiming under the Netherlands–Venezuela BIT,¹² was the beneficiary, by way of endorsement, of debt instruments issued by Venezuela. Thus Fedax had not come into possession of the promissory notes as a result of any relationship with Venezuela, or any direct investment made in its territory. Venezuela argued that Fedax’s holding of the promissory notes in question did not qualify as an investment because Fedax had not made a direct foreign investment involving a long-term transfer of financial resources. The Tribunal rejected this position. It adopted an approach based upon an article written by Schreuer in which he had suggested the use of five criteria in defining ‘investment’: ‘The basic features of an investment have been described as involving a certain duration, a certain regularity of profit and return, assumption of risk, a substantial commitment and a significance for the host State’s development.’¹³ **6.08**

The Tribunal considered the status of the promissory notes under Venezuelan law and concluded that they met the basic features of an investment. In particular, they pointed out the ‘significant relationship’ between the transaction and the host State’s development.¹⁴ *Fedax* was then applied by a subsequent tribunal whose reference to the five criteria has caused them to become known ever since as the *Salini* criteria.¹⁵ The dispute in *Salini* arose out of an agreement to construct a highway in Morocco. When a dispute arose under the Italy–Morocco BIT,¹⁶ one of Morocco’s jurisdictional objections was that the transaction **6.09**

⁷ *Joy Mining Machinery Ltd v Egypt* (Award) ICSID Case No ARB/03/11, 13 ICSID Rep 123, IIC 147 (2004, Orrego Vicuña P, Weeramantry & Craig) paras 41–63, especially para 44.

⁸ *Mihaly International Corp v Sri Lanka* (Award) ICSID Case No ARB/00/2, 6 ICSID Rep 310, IIC 170 (2002, Sucharitkul P, Rogers & Suratgar).

⁹ *Nagel v Czech Republic* (Award) SCC Case 049/2002, IIC 176 (SCC, 2003, Danelius C, Hunter & Kronke).

¹⁰ *Genin v Estonia* (Award) ICSID Case No ARB/99/2, 6 ICSID Rep 236, IIC 10 (2001, Fortier P, Heth & van den Berg).

¹¹ *Fedax NV v Venezuela* (Decision on Jurisdiction) ICSID Case No ARB/96/3, 5 ICSID Rep 183, IIC 101 (1997, Orrego Vicuña P, Heth & Owen).

¹² Agreement on Encouragement and Reciprocal Protection of Investments (Netherlands–Venezuela) (signed 22 October 1991, entered into force 1 November 1993) 1788 UNTS 45 Tractatenblad 1993, 154.

¹³ *Fedax* para 43; C Schreuer, ‘Commentary on the ICSID Convention’ (1996) 11 ICSID Rev-FILJ 316, 372.

¹⁴ *Fedax* para 43.

¹⁵ *Salini Costruttori SpA v Morocco* (Decision on Jurisdiction) ICSID Case No ARB/00/4 (2001, Briner P, Cremades & Fadlallah).

¹⁶ Treaty for the Promotion and Protection of Investments (Italy–Morocco) (signed 18 July 1990, entered into force 26 April 2000).

in question should be characterised as a contract for services and not as an investment contract.¹⁷ The Tribunal listed the criteria as follows:

The doctrine generally considers that investment infers: contributions, certain duration of performance of the contract and a participation in the risks of the transactions. In reading the Convention's preamble, one may add the contribution to the economic development of the host State of the investment as an additional condition.¹⁸

- 6.10** In formulating the *Salini* criteria, the Tribunal only listed four. It omitted the fifth criteria of 'a certain regularity of profit and return' taken by the *Fedax* Tribunal from the Schreuer article. It also went on to say that the various elements may be interdependent and should be assessed globally. However, the Tribunal went on to consider them individually, including a statement that the minimum length of transaction is between two to five years,¹⁹ before reaching its conclusion that the transaction fell within the four criteria, and thus within the definition of investment contained in art 25 of the ICSID Convention. It is widely accepted that the *Salini* criteria should not be viewed in isolation. Thus, the Tribunal in *Joy Mining v Egypt* stated that 'a given element of a complex operation should not be examined in isolation because what matters is to assess the operation globally or as a whole ...'.²⁰
- 6.11** The duration aspect of the *Salini* criteria was specifically considered in *Jan de Nul v Egypt*.²¹ The investment consisted of a dredging operation in the Suez Canal. While the parties agreed that the magnitude, complexity, and risk profile of the project met the definition of investment, there was a dispute over the significance of the project's duration. Both parties agreed that a two-year duration would be sufficient, but Egypt pointed out that a time-scale measured from the date of the contract to the date of completion would fall short of two years. The claimant contended that the time it had spent on pre-contractual activities should be taken into consideration. The Tribunal did not decide this point as it held that the twenty-three-month period starting from the contract's signature would suffice.²²
- 6.12** Another objection raised by Venezuela in *Fedax* was that the dispute did not arise 'directly out of an investment' because the disputed transaction was not a direct foreign investment. However, the Tribunal found that the term 'directly' relates to the 'dispute' and not to the 'investment'. Accordingly, jurisdiction can exist even in respect of investments that are not made directly into the host State's economy, so long as the dispute arises directly from the transaction.²³
- 6.13** The Tribunal in another early case, *CSOB v Slovakia*, also applied the *Salini* criteria while looking at the transaction broadly.²⁴ This ICSID case, brought under the Czech

¹⁷ *Salini* para 38.

¹⁸ *ibid* para 52, citations omitted.

¹⁹ *ibid* para 54.

²⁰ *Joy Mining v Egypt* para 54.

²¹ *Jan de Nul NV v Egypt* (Decision on Jurisdiction) ICSID Case No ARB/04/13, IIC 144 (2006, Kaufmann-Kohler P, Mayer & Stern).

²² *ibid* paras 90–5.

²³ *Fedax* para 24. Almost all of the jurisdiction decisions made in the Argentine cases come to the same conclusion on this point, eg *Siemens AG v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/02/8, 12 ICSID Rep 174, IIC 226 (2004, Rigo Sureda P, Bello Janeiro & Brower) para 150; *Metalpar SA v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/03/5, IIC 164 (2006, Oreamuno Blanco P, Cameron & Chabaneix) paras 84–93.

²⁴ *Ceskoslovenska Obchodni Banka AS v Slovakia* (Decision on Jurisdiction) ICSID Case No ARB/97/4, 5 ICSID Rep 330, IIC 49 (1999, Buergethal P, Bernardini & Bucher) ('*CSOB v Slovakia*').

Republic–Slovakia BIT,²⁵ arose after the separation of the Slovak and Czech Republics. The claimant bank was privatised and its portfolio of certain non-performing loan receivables was assigned to a so-called ‘Collection Company’. The Collection Company was to pay CSOB for the assigned receivables. This payment was guaranteed by an obligation of the Ministry of Finance of the Slovak Republic.

When a dispute arose, Slovakia contended that it did not arise out of an investment. The Tribunal accepted that, viewed in isolation, CSOB’s undertaking did not involve any spending, outlays, or expenditure in Slovakia.²⁶ However, rather than look at the single transaction underlying the dispute, the Tribunal looked at the question more broadly: **6.14**

... the basic and ultimate goal of the Consolidation Agreement was to ensure a continuing and expanding activity of CSOB in both Republics. This undertaking involved a significant contribution by CSOB to the economic development of the Slovak Republic; it qualified CSOB as an investor and the entire process as an investment in the Slovak Republic within the meaning of the [ICSID] Convention ...

... CSOB’s claim and the related loan facility made available to the Slovak Collection Company are closely connected to the development of CSOB’s banking activity in the Slovak Republic ...²⁷

The Tribunal was thus again looking at the entire concept of what should constitute an ‘investment’ rather than narrowly focusing on the particular economic activity giving rise to the dispute.²⁸ Further, although the Tribunal conducted its analysis through the prism of what would become known as the *Salini* criteria, it pointed out that the criteria tend to be present in most investments, but are not formal prerequisites for a finding that an investment exists within the meaning of art 25 of the ICSID Convention.²⁹ **6.15**

The first case utilising the *Salini* criteria and finding that no investment existed was *Joy Mining Machinery Ltd v Egypt*.³⁰ The claim, brought under the UK–Egypt BIT,³¹ related to performance guarantees given by the claimant to an Egyptian State-controlled enterprise. The underlying contract related to the supply (and related activities) of mining equipment. The Tribunal looked at the transaction in its broader context: ‘a given element of a complex operation should not be examined in isolation because what matters is to assess the operation globally or as a whole’.³² **6.16**

On the basis of this examination, by reference to the criteria, the Tribunal found that no investment had been made and thus denied jurisdiction. The Tribunal considered the **6.17**

²⁵ *Dahoda medzi vládou Slovenskej republiky a vládou Českej republiky o podpore a vzájomnej ochrane investícií* (‘Agreement Regarding the Promotion and Reciprocal Protection of Investments’) (signed 23 November 1992, entered into force 1 January 1993) *Zbierka zákonov* c 231/1993.

²⁶ *CSOB v Slovakia* para 69.

²⁷ *ibid* paras 88 and 91. For a more recent example of looking at a series of contracts as a whole, see *Ickale Insaat Ltd Sirketi v Turkmenistan* (Award) ICSID Case No ARB/10/24 (2016, Heiskanen P, Lamm & Sands) para 293.

²⁸ In *Link-Trading Joint Stock Co v Moldova* (Decision on Jurisdiction) (UNCITRAL, 2001, Hertzfeld P, Buruiana & Zykin) 8, the Tribunal concluded, based only on the broad definition of ‘investment’ in the USA–Moldova BIT, that debt financing qualified as an ‘investment’.

²⁹ *ibid* paras 76, 78 and 90.

³⁰ *Joy Mining v Egypt*.

³¹ Agreement for the Promotion and Protection of Investments (UK–Egypt) (signed 11 June 1975, entered into force 24 February 1976) 1032 UNTS 31.

³² *Joy Mining v Egypt* para 54.

contract as a whole and listed with some particularity the specific obligations the claimant had undertaken to perform. However, it concluded that the contract amounted to no more than a sales contract on 'normal commercial terms'³³ and this had to be distinguished from investment activity.³⁴ It fell short on every one of the criteria.

- 6.18** Borderline cases are often useful for gaining deeper understanding of where the line between investment assets and non-investment assets should be placed. There are two cases, *Mitchell v Congo*³⁵ and *Malaysian Salvors v Malaysia*³⁶ where the original tribunal and an annulment committee reached different conclusions as to whether an investment existed.
- 6.19** In *Mitchell v Congo*, the asset in question was a law firm. The original Tribunal had regard to Mr Mitchell's moveable property, documents, know-how, and goodwill in qualifying his business as an investment pursuant to the USA–Democratic Republic of Congo BIT. It dismissed the respondent's objection that the claimant's activity did not qualify as an investment under the ICSID Convention since it had not been important to the State's economy for a long-term operation, saying that 'these elements, while they are frequently present in investment projects, are not a formal requirement for the finding that a particular activity or transaction constitutes an investment.'³⁷ The Annulment Committee took the opposite view. It referred to the characteristics of investment identified by previous ICSID case law³⁸ and in particular, took the view that a contribution to the economic development of the host State was essential.³⁹ It concluded that Mr Mitchell's law firm did not fall within the ICSID definition of investment. While it would have been prepared to accept that it was bound by the BIT definition of investment as including 'every kind of investment ... including ... service and investment contracts,' this did not stretch to including 'every kind of service' as an investment.⁴⁰
- 6.20** In *Malaysian Salvors*, the original Tribunal and the Annulment Committee reached different conclusions on the question as to whether a ship salvage contract was an investment. The approach of the sole arbitrator could perhaps be said to mark the high water mark of the *Salini* criteria approach. While he did say that the criteria needed to be looked at holistically,⁴¹ he examined the transaction under five criteria. It failed to meet the duration test and the significant contribution test, and thus failed to be considered an investment for the purposes of the ICSID Convention. The Annulment Committee disagreed with this approach. It looked to the ordinary meaning of the term investment as:

³³ *ibid* para 56.

³⁴ See also *Middle East Cement Shipping and Handling Co SA v Egypt* (Award) ICSID Case No ARB/99/6, 7 ICSID Rep 173, IIC 169 (2002, Böckstiegel P, Bernardini & Wallace) para 164, where the Tribunal concluded that a claim based upon the liquidation of a letter of guarantee fell outside the Greece–Egypt BIT as it was 'a commercial matter'.

³⁵ *Mitchell v Democratic Republic of the Congo* (Award) ICSID Case No ARB/99/7 (2004, Bucher P, Agboyibo & Lalonde).

³⁶ *Malaysian Historical Salvors Sdn Bhd v Malaysia* (Award) ICSID Case No ARB/05/10, IIC 289 (2007, Hwang (sole)).

³⁷ *Mitchell v Democratic Republic of the Congo* para 56.

³⁸ *Mitchell v Democratic Republic of the Congo* (Decision on Annulment) ICSID Case No ARB/99/7, IIC 172 (2006, Dimolitsa P, Dossou & Giardina) para 27.

³⁹ *ibid* para 33.

⁴⁰ *ibid* para 37.

⁴¹ *Malaysian Historical Salvors* paras 70, 106(c) and (e), 107 and 111.

the commitment of money or other assets for the purpose of providing a return. In its context and in accordance with the object and purpose of the treaty [ICSID Convention]—which is to promote the flow of private investment to contracting countries by provision of a mechanism which, by enabling international settlements of disputes, conduces to the security of such investment—the term ‘investment’ is unqualified.⁴²

It criticised the *Salini* criteria as imposing ‘outer limits’ on the ICSID Convention definition that did not appear in the *travaux préparatoires*.⁴³ Any exclusions other than simple sales contracts have no support from the *travaux préparatoires*. The Annulment Committee found that the contract fell squarely within the wide definition of investment contained in the BIT, and considering the matter ‘[i]n the light of this history of the preparation of the ICSID Convention and of the foregoing analysis of the Report of the Executive Directors and adopting it, the Committee finds that the failure of the Sole Arbitrator even to consider, let alone apply, the definition of investment as it is contained in the Agreement to be a gross error that gave rise to a manifest failure to exercise jurisdiction.’⁴⁴ **6.21**

The decision of the Annulment Committee in *Malaysian Salvors* was a robust rejection of the *Salini* criteria. In making its finding, the Annulment Committee was influenced by the cogent criticism directed by the *Biwater v Tanzania* Tribunal. In *Biwater*, the respondent had argued that the water project was a loss leader, and thus could not be characterised as an investment due to its inherent unprofitability. In analysing this objection, the Tribunal described the *Salini* test as ‘problematic’ **6.22**

... if, as some tribunals have found, the ‘typical characteristics’ of an investment as identified in that decision are elevated into a fixed and inflexible text, and if transactions are to be presumed excluded from the ICSID Convention unless each of the five criteria are satisfied. This risks the arbitrary exclusion of certain types of transaction from the scope of the Convention. It also leads to a definition that may contradict individual agreements (as here), as well as a developing consensus in parts of the world as to the meaning of ‘investment’ (as expressed, e.g., in bilateral investment treaties). If very substantial numbers of BITs across the world express the definition of ‘investment’ more broadly than the *Salini Test*, and if this constitutes any type of international consensus, it is difficult to see why the ICSID Convention ought to be read more narrowly.⁴⁵

In conclusion, the Tribunal held that ‘even if the Republic could demonstrate that any, or all, of the *Salini* criteria are not satisfied in this case, this would not necessarily be sufficient—in and of itself—to deny jurisdiction.’⁴⁶ **6.23**

The outer limits of the ICSID Convention definition of investment, as identified by the *Malaysian Salvors* Annulment Committee decision, were applied by the tribunal in *Global Trading v Ukraine* in a rare award applying the summary dismissal procedure contained in art 41(5) of the ICSID Arbitration Rules. The claimants’ business was the supply of poultry. The Tribunal decided that the claim arose out of mere sales contracts—the business was just the ‘outlay of money in performing a contract for the transboundary purchase and sale of **6.24**

⁴² *Malaysian Historical Salvors Sdn Bhd v Malaysia* (Decision on Annulment) ICSID Case No ARB/05/10, IIC 372 (2009), Schwabel P, Shahabuddeen & Tomka) para 57.

⁴³ *ibid* para 69.

⁴⁴ *ibid* para 74.

⁴⁵ *Biwater Gauff (Tanzania) Ltd v Tanzania* (Award) ICISD ARB/05/22, IIC 330 (2008, Hanotiau P, Born & Landau) para 314.

⁴⁶ *ibid* para 318.

goods'.⁴⁷ This was not more than a standard commercial transaction and the fact that the trade could be seen as furthering the policy priorities of the purchasing State did not bring it within the ICSID Convention definition of investment.⁴⁸

- 6.25** Since *Biwater* and *Malaysian Salvors*, it has become difficult to predict the approach that will be taken by tribunals to the threshold question of defining the meaning of 'investment' as contained in ICSID Convention art 25. Even if tribunals are inclined to apply the *Salini* criteria, they may not apply all of them. For example, in *Saba Fakes v Turkey*, the Tribunal considered whether the assignment of an ownership stake in a very valuable telecoms venture constituted an investment. The Tribunal mentioned that there are currently two distinct approaches to the notion of investment under the ICSID Convention.⁴⁹ It referred to the backlash against the *Salini* criteria,⁵⁰ but stated its view that the notion of investment could not be defined simply by reference to the parties' consent and that an objective definition must exist. However, it limited the criteria to three, namely: (i) a contribution, (ii) a certain duration, and (iii) an element of risk.⁵¹ The Tribunal in *Alps Finance v Slovakia* ignored the controversy and came out in favour of the *Salini* criteria. It described as common ground that the necessary conditions or characteristics to be satisfied included a contribution, a significant duration, and a sharing of risks with long-term commitments.⁵²
- 6.26** In *Toto v Lebanon*, a dispute arising out of a construction project, the Tribunal recognised the controversy and applied both approaches to resolving a dispute over the existence of an investment.⁵³ Similarly, in *GEA Group v Ukraine* the Tribunal described the doctrinal differences between tribunals as 'a controversy that need not be resolved' while considering all potentially applicable criteria '[o]ut of an abundance of caution ...'.⁵⁴
- 6.27** Other tribunals have continued the criticism of the *Salini* criteria. In *Philip Morris v Uruguay*, Uruguay sought to rely upon the *Salini* criteria to defend the claim brought by Philip Morris, challenging measures introduced by Uruguay aimed at regulating tobacco. Uruguay argued that smoking harmed rather than helped economic development. In rejecting this submission, the Tribunal rejected the *Salini* criteria absolutely, describing their relevance as 'very doubtful'. It cast doubt upon the relevance of arbitral awards as a source of international law and pointed out that the accepted criteria could not be described as *jurisprudence constante*.⁵⁵

⁴⁷ *Global Trading Resource Corp and Globex International Inc v Ukraine* (Award) ICSID Case No ARB/09/11, IIC 466 (2010, Berman P, Gaillard & Thomas) para 55.

⁴⁸ *ibid* para 56; *Nova Scotia Power Inc v Venezuela* (Award) ICSID Case No ARB(AF)/11/1, IIC 654 (2014, van Houtte P, Vinuesa & Williams) paras 92–109.

⁴⁹ *Saba Fakes v Turkey* (Award) ICSID Case No ARB/07/20, IIC 439 (2010, Gaillard P, Lévy & van Houtte) para 98.

⁵⁰ *ibid* para 106.

⁵¹ *ibid* para 110; *LESI SpA and Astaldi SpA v Algeria* (Decision on Jurisdiction) ICSID Case No ARB/05/3, IIC 150 (2006, Tercier P, Gaillard & Hanotiau) para 72; *Pey Casado v Chile* (Award) ICSID Case No ARB/98/2, IIC 324 (2008, Lalive P, Chemloul & Gaillard) para 232; *Nova Scotia Power v Venezuela* para 139.

⁵² *Alps Finance and Trade AG v Slovakia* (Award) IIC 489 (UNCITRAL, 2011, Crivellaro P, Klein & Stuber) para 241. The Tribunal in *Malicorp v Egypt* (Award) ICSID Case No ARB/08/18, IIC 476 (2011, Tercier P, Olavo Baptista & Tschanz) also supported the application of the *Salini* criteria.

⁵³ *Toto Costruzioni Generali SpA v Lebanon* (Decision on Jurisdiction) ICSID Case No ARB/07/12, IIC 391 (2012, van Houtte P, Moghaizel & Schwebel) paras 81–5.

⁵⁴ *GEA Group Aktiengesellschaft v Ukraine* (Award) ICSID Case No ARB/08/16, IIC 487 (2011, van den Berg P, Landau & Stern) para 143.

⁵⁵ *Philip Morris Brands Sàrl v Uruguay* (Decision on Jurisdiction) ICSID Case No ARB/10/7, IIC 597 (2013, Bernadini P, Born and Crawford) para 204.

Pantechniki v Albania was another case in which the respondent argued that a construction project could not amount to an investment. The Tribunal allowed faint praise to the *Salini* criteria, describing them as ‘a respectable attempt to describe the characteristics of investments.’ However, it went on to criticise their use stating: **6.28**

... broadly acceptable descriptions cannot be elevated to jurisdictional requirements unless that is their explicit function. They may introduce elements of subjective judgment on the part of arbitral tribunals (such as ‘sufficient’ duration or magnitude or contribution to economic development) which (a) transform arbitrators into policy-makers and above all (b) increase unpredictability about the availability of ICSID to settle given disputes.⁵⁶

Instead, the tribunal approved a formulation set out by Douglas in *The International Law of Investment Claims*⁵⁷ defining investment as: **6.29**

the economic materialisation of an investment requires the commitment of resources to the economy of the host state by the claimant entailing the assumption of risk in expectation of a commercial return.

This definition is easier to satisfy than the full application of all five *Salini* criteria, but the *Pantechniki* tribunal was probably going too far to suggest that the definition ‘may well encapsulate an emerging synthesis.’⁵⁸ Going forward, tribunals are likely to set out the test they apply in slightly different linguistic formulations but it is appropriate to require some contribution to the economic development of a host State in addition to satisfying a treaty’s formal requirements. **6.30**

The relationship between the ICSID definition and other treaty definitions

It could theoretically be possible for a particular asset to constitute an investment under an investment treaty but not under art 25 of the ICSID Convention. Schreuer observes that the ICSID Convention ‘does not imply unlimited freedom for the parties ... the term “investment” has an objective meaning independent of the parties’ disposition’.⁵⁹ As a result, it is necessary to check carefully the context in which dicta from awards have been made before applying them in considering the status of an investment under the ICSID Convention or under some other instrument. **6.31**

Petrobart v Kyrgyz Republic,⁶⁰ a Stockholm Chamber of Commerce arbitration arising out of the Energy Charter Treaty (ECT),⁶¹ is a case where an investment was found to exist under an investment treaty but where none would have existed under the ICSID Convention had the tribunal applied the criteria set out in *Fedax* and *Salini*. **6.32**

⁵⁶ *Pantechniki SA Contractors and Engineers v Albania* (Award) ICSID Case No ARB/07/21, IIC 383 (2009, Paulsson (sole)) para 43.

⁵⁷ Douglas 189 *et seq*, cited in *Pantechniki* para 36.

⁵⁸ *ibid* para 36. Other tribunals refusing to apply the *Salini* criteria include: *Alpha v Ukraine* (Award) ICSID Case No ARB/07/16, IIC 464 (2010, Robinson P, Alexandrov & Tubowicz) para 311; *Inmaris Perestroika Sailing Maritime Services GmbH v Ukraine* (Decision on Jurisdiction) ICSID Case No ARB/08/8, IIC 431 (2010, Alexandrov P, Cremades & Rubins) para 129; and *Abaclat v Argentina* (Decision on Jurisdiction and Admissibility) ICSID Case No ARB/07/5, IIC 504 (2011, Tercier P, Abi-Saab & van den Berg) para 364.

⁵⁹ Schreuer 117 paras 122–3.

⁶⁰ *Petrobart Ltd v Kyrgyz Republic* (Award) SCC Case 126/2003, IIC 184 (SCC, 2005, Danelius C, Bring & Smets).

⁶¹ Energy Charter Treaty (signed 17 December 1994, entered into force 16 April 1998) 2080 UNTS 100.

- 6.33** The dispute in *Petrobart* arose out of a contract to sell 200,000 tons of gas condensate over a period of twelve months. As part of its reasoning, the Tribunal made reference to the *Salini* line of authority to support the proposition that ‘investment’ can have a wide meaning. However, it did not consider the criteria for defining ‘investment’ laid down in those awards. Instead it based its finding that an investment existed upon the definition contained in the ECT. The ECT’s wide definition of investment includes ‘Economic Activity in the Energy Sector’ which in turn refers to a further defined term: ‘economic activity concerning the exploration, extraction, refining, production, storage, land transport, transmission, distribution, trade, marketing, or sale of Energy Materials and Products’. Thus marketing and sale are explicitly covered by the ECT’s definition of ‘investment’ with no exclusion based upon concepts such as duration or importance for the development of the host State’s economy.⁶²
- 6.34** The fact that investment falls to be defined both under investment treaties and the ICSID Convention has led to some perceiving that the relationship between the two creates a ‘double-barrelled’ test. If this test applies, the asset in question must amount to an investment both within the terms of the investment treaty and the terms of the ICSID Convention.
- 6.35** An example of a Tribunal applying the double-barrelled test is *Malicorp v Egypt*, a claim arising out of a concession to build an airport. The Tribunal defined the test as requiring it to have regard:
- on the one hand, to the meaning given to the term by the treaty, which defines the framework of the consent given by the State, and also
 - on the other, to the meaning given in the ICSID Convention, which determines the jurisdiction of the Centre and the arbitral tribunals acting under its auspices.⁶³
- 6.36** The Tribunal said that the two aspects were in reality complementary as both the investment agreement and the ICSID Convention existed to promote investments.⁶⁴ In a non-ICSID case, *Romak v Uzbekistan*, the Tribunal applied the ICSID test in considering whether contracts for the supply of wheat satisfied the definition of investment contained in the Switzerland–Uzbekistan BIT. The claimant had alleged that the Tribunal could simply read the literal wording of the categories of investment listed in the BIT, but the Tribunal disagreed. Such an approach would deprive the term ‘investment’ of any inherent meaning. It would also require the Tribunal to construe the BIT while ignoring the preamble and its reference to the need to promote and protect foreign investments with the aim to foster economic prosperity. A mechanical application of the literal wording of the BIT would produce a manifestly absurd or unreasonable result eliminating any practical limitation to the scope of the context of ‘investment’. This would be ‘untenable as a matter of international law’.⁶⁵

⁶² See observations by G Petrochilos and N Rubins on the award in 2005:3 Stockholm International Arbitration Review 100, 107–115. The award is criticised by B Poulain, ‘*Petrobart v The Kyrgyz Republic*—a few reservations regarding the Tribunal’s constructions of the material, temporal and spatial application of the Treaty’ (2005) 2(5) TDM. Poulain states that the tribunal should have confined itself to a traditional view of investment before seeking reasons and justifications to extend the definition (at 5).

⁶³ *Malicorp Ltd v Egypt* (Award) ICSID Case No ARB/08/18, IIC 476 (2011, Tercier P, Baptista & Tschanz) para 107. A further example is *Ambiente Ufficio SpA v Argentina* (Decision on Jurisdiction and Admissibility) ICSID Case No ARB/08/9, IIC 576 (2013, Simma P, Böckstiegel & Torres Bernárdez) para 435, where both parties and the Tribunal accepted the existence of the ‘double-barrelled test’.

⁶⁴ *Malicorp* para 110.

⁶⁵ *Romak SA v Uzbekistan* (Award) PCA Case No AA280, IIC 400 (UNCITRAL, 2009, Mantilla-Serrano P, Molfessis & Rubins) para 188.

In contrast, the Tribunal in *RosInvest v Russia*⁶⁶ assessed the concept of investment by looking at the treaty definition of ‘investment’ as ‘every kind of asset’ and concluded that ‘in drafting this straightforward and very wide definition, the State parties to the IPPA clearly expressed the intention that *any* asset should be included’.⁶⁷ A similar approach was taken in the ICSID case of *Anderson v Costa Rica*⁶⁸ where the Tribunal concluded that a deposit of funds resulting in an obligation to make repayment fell within the literal wording of investment as set out by the BIT and therefore satisfied the treaty definition of investment. The ICSID art 25 requirement was not even considered. **6.37**

Between the two extremes of either applying or rejecting a double-barrelled test, some tribunals have sought to combine the standards. For example, it is not necessary to set up the ICSID art 25 concept of investment as being in any way different to what State parties may have agreed in investment treaties. The Tribunal in *Lemire v Ukraine* suggested that ‘where the ICSID Convention is open to interpretation, such interpretation should seek compatibility rather than contradiction’.⁶⁹ **6.38**

The tribunal in *Abaclat v Argentina* adopted a different approach to harmonisation. It declared that the definition of investment set out in the Italy–Argentina BIT and art 25 of the ICSID Convention could not necessarily be expected to cover the same ground because they each focused on a different aspect of investment. These perspectives are complementary. The BIT definition focuses on what is to be protected, whereas in art 25 of the ICSID Convention, the focus is on the contributions: **6.39**

In summary, a certain value may only be protected if generated by a specific contribution, and—vice versa—contributions may only be protected to the extent they generate a certain value, which the investor may be deprived of. In other words, if it is to be applied, the ‘double-barrelled’ test does not mean that one definition, namely the definition provided by two Contracting Parties in a BIT, has to fit into the other definition, namely the one deriving from the spirit of the ICSID Convention. Rather, it is the investment at stake that has to fit into both of these concepts, knowing that each of them focuses on another aspect of the investment.⁷⁰

As well as creating this novel approach to applying the investment treaty definition at the same time as art 25 of the ICSID Convention, the *Abaclat* Tribunal set out three different versions of how the interplay between the two could be addressed. The first was the ‘double-barrelled’ test. The second was the alternative view that as long as any particular asset fell within the investment treaty definition, the ICSID Convention requirements would be satisfied by the parties’ agreement. The third view was to say that the term ‘investment’ had its own objective meaning and accordingly, any particular asset would need to satisfy this objective meaning even if it could be squeezed within the literal terms of the investment treaty definition.⁷¹ **6.40**

⁶⁶ *RosInvestCo UK Ltd v Russia* (Award) SCC Case No V079/2005, IIC 471 (SCC, 2010, Böckstiegel C, Berman & Steyn).

⁶⁷ *ibid* para 388.

⁶⁸ *Anderson v Costa Rica* (Award) ICSID Case No ARB(AF)/07/3, IIC 437 (2010, Morelli Rico P, Salacuse & Vinuesa).

⁶⁹ *Lemire v Ukraine* (Decision on Jurisdiction and Liability) ICSID Case No ARB/06/18, IIC 424 (2010, Fernández-Armesto P, Paulsson & Voss) para 93; *OI European Group v Venezuela* (Award) ICSID Case No ARB/11/25, IIC 678 (2015, Fernández-Armesto P, Mourre & Orrego Vicuna) para 219.

⁷⁰ *Abaclat v Argentina* paras 350–1.

⁷¹ *ibid* paras 370–2.

6.41 Yet, the *Abaclat* Tribunal accepted that the result in the case it was considering would be identical whichever of these three approaches were adopted. This is consistent with the fact that much of the discussion in the awards summarised in the above paragraphs had little effect on the ultimate result. That is why the best guidance for analysis of the approach adopted by tribunals is to consider the specific investments that have been ruled upon in borderline cases such as *Mitchell v Congo* or *Malaysian Salvors v Malaysia*.

Under bilateral investment treaties

6.42 Almost all BITs adopt a similar formula to define ‘investment’. The formula commences with a wide inclusive phrase and then lists approximately five specific categories of rights. These categories generally include property, shares, contracts, intellectual property rights, and rights conferred by law. For example, the UK model BIT provides that:

For the purposes of this Agreement:

- (a) ‘investment’ means every kind of asset and in particular, though not exclusively, includes:
 - (i) movable and immovable property and any other property rights such as mortgages, liens or pledges;
 - (ii) shares in and stock and debentures of a company and any other form of participation in a company;
 - (iii) claims to money or to any performance under contract having a financial value;
 - (iv) intellectual property rights, goodwill, technical processes and know-how;
 - (v) business concessions conferred by law or under contract, including concessions to search for, cultivate, extract or exploit natural resources.⁷²

6.43 Similar provisions are found in, for example, the Germany, France, and Netherlands model BITs.⁷³

6.44 The US model BIT adopts a different approach to other models currently used. Its definition of ‘investment’ (footnotes included) is as follows:

‘investment’ means every asset that an investor owns or controls, directly or indirectly, that has the characteristics of an investment, including such characteristics as the commitment of capital or other resources, the expectation of gain or profit, or the assumption of risk. Forms that an investment may take include:

- (a) an enterprise;
- (b) shares, stock, and other forms of equity participation in an enterprise;
- (c) bonds, debentures, other debt instruments, and loans;⁷⁴
- (d) futures, options, and other derivatives;
- (e) turnkey, construction, management, production, concession, revenue-sharing, and other similar contracts;
- (f) intellectual property rights;

⁷² UK model BIT (Appendix 4 below) art 1.

⁷³ See Appendices 7, 8 and 10 below.

⁷⁴ Some forms of debt, such as bonds, debentures, and long-term notes, are more likely to have the characteristics of an investment, while other forms of debt, such as claims to payment that are immediately due and result from the sale of goods or services, are less likely to have such characteristics.

- (g) licenses, authorizations, permits, and similar rights conferred pursuant to applicable domestic law;^{75,76} and
- (h) other tangible or intangible, movable or immovable property, and related property rights, such as leases, mortgages, liens and pledges.

It is noteworthy that the preamble to this definition takes up the *Fedax* criteria, albeit without referring to the cases directly. This more specific definition is likely to lead to more certainty by crystallising issues that have been developed in the case law into the wording of the BITs. **6.45**

Tribunals have been reluctant to base decisions solely on the wide inclusive phrase commonly found at the beginning of definitions of ‘investment’. *Petrobart v Kyrgyz Republic*⁷⁷ and *Jan de Nul v Egypt*⁷⁸ are two cases where tribunals have found an investment to exist by reference to the detailed criteria contained in the ECT and Belgo–Luxemburg Economic Union–Egypt BIT respectively. It is, however, noteworthy that in neither case did the Tribunal base its decision on the wide opening phrases in the treaty definitions, ‘every kind of asset’⁷⁹ and ‘any kind of assets’⁸⁰ respectively. Before deciding that the asset in dispute was an ‘investment,’ the tribunals sought confirmation from the non-exhaustive list following the introductory phrase. This is perhaps particularly surprising in *Petrobart* because the Tribunal ultimately found an investment to exist where the usual criteria for investment under the ICSID Convention were not met. If the Tribunal was not going to be bound by any considerations of the usual meaning of investment in international investment arbitration it is difficult to see why it could not have rested its finding on the wide phrase ‘every kind of asset’ above. **6.46**

In any event, the very fact that the *Petrobart* Tribunal found an investment to exist demonstrates an intention, similar to that shown by the Tribunal dealing with nationality in *Tokios Tokelés v Ukraine*,⁸¹ not to read limiting phrases into treaties where none exist in the text.⁸² The requirement in the US model BIT that an ‘investment’ should have ‘the characteristics of an investment’ is precisely such a limiting phrase. **6.47**

The award in *Nova Scotia Power v Venezuela* is a clear example of a tribunal looking for wider indications of the existence of an investment, beyond the wording of the BIT. The *Nova Scotia Power* arbitration was conducted under the ICSID Additional Facility Rules but the **6.48**

⁷⁵ Whether a particular type of license, authorisation, permit, or similar instrument (including a concession, to the extent that it has the nature of such an instrument) has the characteristics of an investment depends on such factors as the nature and extent of the rights that the holder has under the domestic law of the Party. Among the licenses, authorizations, permits, and similar instruments that do not have the characteristics of an investment are those that do not create any rights protected under domestic law. For greater certainty, the foregoing is without prejudice to whether any asset associated with the license, authorization, permit, or similar instrument has the characteristics of an investment.

⁷⁶ The term ‘investment’ does not include an order or judgment entered in a judicial or administrative action.

⁷⁷ *Petrobart Ltd v Kyrgyz Republic* (Award) SCC Case 126/2003, IIC 184 (SCC, 2005, Danelius C, Bring & Smets).

⁷⁸ *Jan de Nul NV and Dredging International NV v Egypt* (Decision on Jurisdiction) ICSID Case No ARB/04/13, IIC 144 (2006, Kaufmann-Kohler P, Mayer & Stern).

⁷⁹ ECT, art 1(6).

⁸⁰ Agreement on the Reciprocal Promotion and Protection of Investments (Belgo-Luxembourg Economic Union–Egypt) (signed 28 February 1999, entered into force 24 May 2002) 2218 UNTS 4, art 1(1).

⁸¹ *Tokios Tokelés v Ukraine* (Decision on Jurisdiction) ICSID Case No ARB/02/18, IIC 258 (2004, Weil P, Bernardini & Price).

⁸² *ibid* para 52.

Tribunal concluded that even in the absence of the controlling effect of ICSID Convention art 25, ‘... the BIT itself calls for consideration of inherent features’.⁸³

- 6.49** The analysis in this chapter has focused on general principles applied by tribunals in construing investment treaties. It would be less useful to consider whether protection has been afforded to specific types of investments. The award in *Postova Banka v Greece* serves as a fitting conclusion to this approach and to this section as a whole. As with *Abaclat* and *Alemanni* the Tribunal was considering the question whether sovereign bonds fall to be covered by an investment treaty. In reaching its decision the Tribunal paid close regard to the wording of the Slovakia–Greece BIT. Consistent with previous Tribunals, it looked not only at the text but also the context and did not make its decision solely on the ‘every kind of asset’ assertion in the chapter. It denied jurisdiction taking note that the reference to debentures in the detailed definition of covered assets was limited to ‘debentures of a company’. Similarly, the reference to ‘loans’ in the definition ‘loans, claims to money or to any performance under contract having a financial value’ could not on its own be read so widely as including sovereign bonds which do not involve contractual privity as well as conventional commercial loans which do. Taking these factors into account the Tribunal denied jurisdiction over a claim involving sovereign bonds. The *Postova Bank* award thus stands in contrast with the cases involving Argentinian sovereign debt, although all the tribunals were purporting to apply the same interpretative principles.⁸⁴

Under multilateral investment treaties

NAFTA

- 6.50** The definition of ‘investment’ in the North American Free Trade Agreement (NAFTA) follows the conventional format of listing types of investment. However, claims that arise solely from ‘commercial contracts for the sale of goods’ or ‘the extension of credit in connection with a commercial transaction’ are expressly excluded.⁸⁵
- 6.51** An example of a claim being rejected by a Tribunal utilising the NAFTA definition of investment is *Apotex v USA*. The claimant manufactured pharmaceuticals in Canada and exported them to the USA. In order to do so, it had to incur expenses in seeking approval via ANDA (Abbreviated New Drug Application) submissions. The tribunal viewed this process as an application to permit the sale of goods within the USA rather than an investment within the USA itself.⁸⁶

Energy Charter Treaty

- 6.52** The ECT definition of ‘investment’ follows the familiar form of providing for ‘every kind of asset’ and then setting out a comprehensive list of specific asset types. At one of its broadest points it includes ‘returns’, which are defined as ‘the amounts derived from or associated with

⁸³ *Nova Scotia Power Inc v Venezuela* (Award) ICSID Case No ARB(AF)/11/1, IIC 654 (2014, van Houtte P, Vinuesa & Williams) para 80.

⁸⁴ *Postova Banka AS v Greece* (Award) ICSID Case No ARB 13/8, IIC 679 (2015, Zuleta P, Stern & Townsend) para 293–349.

⁸⁵ North American Free Trade Agreement (adopted 17 December 1992, entered into force 1 January 1994) 107 Stat 2057 CTS 1994 No 2 (‘NAFTA’) (Appendix 1 below) art 1139.

⁸⁶ *Apotex Inc v United States of America* (Award on Jurisdiction and Admissibility) IIC 598 (UNCITRAL, 2013, Landau P, Smith & Davidson) paras 151–241.

an Investment, irrespective of the form in which they are paid, including profits, dividends, interest, capital gains, royalty payments, management, technical assistance or other fees and payment in kind'.⁸⁷

'Investment' is also stated to refer to any investment associated with 'an Economic Activity in the Energy Sector'. This phrase is itself widely defined in art 1(5) as 'an economic activity concerning the exploration, extraction, refining, production, storage, land transport, transmission, distribution, trade, marketing, or sale of Energy Materials and Products except those included in Annex NI, or concerning the distribution of heat to multiple premises'.⁸⁸ **6.53**

ASEAN Comprehensive Investment Agreement

The definition of 'investment' in art 4 of the ASEAN Comprehensive Investment Agreement⁸⁹ contains the usual long list of types of investment. However, footnote 2 of the definition makes it dependent upon possessing the 'characteristics of an investment'. These are stated to 'include the commitment of capital, the expectation of gain or profit, or the assumption of risk'. Footnote 3 excludes from the definition claims for money arising solely from the commercial contracts for the sale of goods or services or any related extension of credit. **6.54**

Pursuant to the definition of 'covered investment' in art 4, applicable investments need to be approved in writing by the competent authority of a Member State. The structure within which this approval is to be sought appears at Annex 1.⁹⁰ **6.55**

Trans Pacific Partnership Agreement

The TPPA definition of 'investment' is based upon that found in the US model BIT with its descriptive preamble and footnotes. **6.56**

C. Specific Issues

In this section various issues addressed by investment treaty tribunals relating to the definition of 'investment' are considered. A number of awards have looked at these issues. For the purposes of this section they are grouped into the following categories: **6.57**

- (1) Timing issues—when is an investment made?
- (2) Pre-contract investment
- (3) Territorial issues—where must the investment be made?
- (4) The role played by the law of the host State in determining the nature of the investor's property rights
- (5) Requirements for investments to be specifically approved
- (6) Individual corporate identity and direct/indirect investment.

⁸⁷ art 1(9).

⁸⁸ art 1(5).

⁸⁹ ASEAN Comprehensive Investment Agreement (signed 26 February 2009, entered into force 29 March 2013) Appendix 3 below.

⁹⁰ See discussion of *Yaung Chi Oo* at paras 6.159–6.162 below.

Timing issues—when is an investment made?

Timing issues before a treaty comes into force

- 6.58** It is not usually necessary for an investment to be made after the BIT has come into force in order to be protected. Many investment treaties contain a ‘scope of application’ provision, which expressly states that the treaties apply to investments made both prior and subsequent to the coming into force of the treaty.⁹¹ One of the jurisdictional challenges raised by the respondent State in *Nykomb v Latvia*⁹² was that the ECT did not cover contracts entered into before the treaty came into force. The Tribunal disposed of this objection in a single paragraph, pointing to the fact that: ‘Both the changes in the law and the breach of contract occurred after the entry into force of the treaty. There is therefore no question of retroactive effects of the treaty in this situation.’⁹³ The Tribunal did not even refer to the specific provision of the ECT which, by specifying that the treaty covers investments existing at the time the treaty enters into force,⁹⁴ would have provided a complete answer.
- 6.59** In considering the temporal definition of an investment, the first matter to consider would always be the wording of the instrument upon which the dispute is based. In *Tradex v Albania* the Tribunal relied upon the wording of the foreign investment law under which the claim was brought. The foreign investment law came into force on 1 January 1994 and the underlying claim related to a business that had been liquidated on 16 December 1993. However, the Tribunal held that the investor was protected, not least because the foreign investment law specifically stated that it covered investments made after 31 July 1990.⁹⁵
- 6.60** *Kardassopoulos v Georgia*⁹⁶ is an example of a tribunal rejecting a case because the actions about which a complaint was raised took place before the treaty came into force. The Tribunal did take jurisdiction over a part of the claim where a separate dispute had arisen once the treaty was in force.⁹⁷
- 6.61** In *RosInvest v Russia*⁹⁸ the timing issue did not relate to the date of the investment or of the treaty coming into force but to the date of the investor taking over the investment. The Tribunal was prepared to consider acts perpetrated before the investment was made by the current investor in order to inform its decision on whether the respondent had breached the treaty. However, the timing of the share purchase would have an effect on the allowable quantum of the claim.⁹⁹ In *Levy v Peru* the Tribunal declared that an investor must acquire its interest before the alleged breach occurs.¹⁰⁰

⁹¹ Netherlands model BIT (Appendix 8 below) art 10; NAFTA (Appendix 1 below) note 39; *Mondev International Ltd v United States of America* (Award) ICSID Case No ARB(AF)/99/2, 6 ICSID Rep 191, IIC 173 (NAFTA/ICSID (AF), 2002, Stephen P, Crawford & Schwebel).

⁹² *Nykomb Synergetics Technology Holding AB v Latvia* (Award) SCC Case 118/2001, IIC 182 (SCC, 2003, Haug C, Gernandt & Schütze).

⁹³ *ibid* para 4.3.3(a).

⁹⁴ ECT, art 1(6)(f).

⁹⁵ *Tradex Hellas SA v Albania* (Decision on Jurisdiction) ICSID Case No ARB/94/2, 5 ICSID Rep 47, IIC 262 (1996, Böckstiegel P, Fielding & Giardina).

⁹⁶ *Kardassopoulos v Georgia* (Decision on Jurisdiction) ICSID Case No ARB/05/18, IIC 295 (2007, Fortier P, Orrego Vicuña & Watts).

⁹⁷ *ibid* paras 241 and 248–9.

⁹⁸ *RosInvestCo UK Ltd v Russia* (Award) SCC Case No V079/2005, IIC 471 (SCC, 2010, Böckstiegel C, Steyn & Berman).

⁹⁹ *ibid* paras 407 and 409.

¹⁰⁰ *Levy and Gremcital SA v Peru* (Award) ICSID Case No ARB/11/17, IIC 671 (2015, Kaufmann-Kohler P, Vinuesa & Zuleta) para 146.

In the case of continuous acts, which commence before a treaty comes into force and continue after it has done so, there is consistent authority that tribunals will have jurisdiction.¹⁰¹ **6.62**

Disputes arising before a treaty takes effect

Another issue of timing is the question of whether a dispute has arisen before the treaty took effect. This is not strictly a question of the definition of ‘investment’ under a treaty, but since it is also a matter of jurisdiction *ratione temporis*, it is appropriate to consider the matter here. **6.63**

A number of BITs contain provisions which specifically provide that their protections do not apply to disputes arising before their entry into force. For example, art II(2) of the Argentina–Spain BIT provides: ‘This agreement shall not, however, apply to disputes or claims arising before its entry into force’.¹⁰² **6.64**

This provision was considered in *Maffezini v Spain*.¹⁰³ The Argentina–Spain BIT came into force in September 1992 but the claimant was relying on acts that took place ‘as early as 1989 and throughout 1990, 1991 and the first part of 1992’.¹⁰⁴ The Tribunal considered the issue by seeking to clarify what constituted a ‘dispute’ within the meaning of the BIT. It referred to jurisprudence of the International Court (ICJ) to the effect that ‘it is “a disagreement on a point of law or fact, a conflict of legal views or interests between parties”’.¹⁰⁵ **6.65**

Other frequently cited ICJ dicta in this regard are that a dispute is a ‘situation in which the two sides hold clearly opposite views concerning the question of the performance or non-performance’ of a legal obligation¹⁰⁶ or when ‘the claim of one party is positively opposed by the other’.¹⁰⁷ **6.66**

The *Maffezini* Tribunal upheld jurisdiction. While it recognised that the criteria of a ‘dispute’ should not be as formal as those of a ‘claim’, it held that art II(2) would not bite until ‘the conflict of legal views and interests came to be clearly established’.¹⁰⁸ This only happened at the point of the dispute spectrum when ‘events acquire a precise legal meaning through the formulation of legal claims, their discussion and eventual rejection or lack of response by the other party’.¹⁰⁹ **6.67**

¹⁰¹ See *Railroad Development Corp v Guatemala* (Decision on Jurisdiction No 2) ICSID Case No ARB/07/23, IIC 432 (2008, Rigo Sureda P, Crawford & Eizenstat) para 124; *Mondev International Ltd v USA* para 56; *Técnicas Medioambientales Tecmed v Mexico* (Award) ICSID Case No ARB (AF)/00/2, 10 ICSID Rep 130, IIC 247 (2003, Grigera Naón P, Bernal Vereja & Fernández Rosas) para 63; and *SGS Société Générale de Surveillance SA v Philippines* (Decision on Jurisdiction) ICSID Case No ARB/02/6, 8 ICSID Rep 515, IIC 224 (2004, El-Koshi P, Crawford & Crivellaro (dissenting)) para 167.

¹⁰² Acuerdo para la Promoción y la Protección Recíprocas de Inversiones (‘Agreement on the Reciprocal Promotion and Protection of Investments’) (Argentina–Spain) (signed 3 October 1991, entered into force 28 September 1992) 1699 UNTS 187.

¹⁰³ *Maffezini v Spain* (Decision on Jurisdiction) ICSID Case No ARB/97/7, 5 ICSID Rep 396, IIC 85 (2000, Orrego Vicuña P, Buergenthal & Wolf).

¹⁰⁴ *ibid* para 92.

¹⁰⁵ *ibid* para 94, quoting *East Timor (Portugal v Australia)* [1995] ICJ Rep 90, 99 para 22.

¹⁰⁶ *Interpretation of Peace Treaties with Bulgaria, Hungary and Romania* (Advisory Opinion) [1950] ICJ Rep 65, 74.

¹⁰⁷ *South West Africa Cases (Ethiopia v South Africa; Liberia v South Africa)* (Preliminary Objections) [1962] ICJ Rep 319, 328.

¹⁰⁸ *Maffezini v Spain* para 98.

¹⁰⁹ *ibid* para 96.

- 6.68** In *Lao Holdings v Lao*, the Tribunal refused to dismiss a claim on *ratione temporis* grounds. Having analysed the facts, it concluded that the fact that the claimant had been in negotiations with the government prior to the critical date did not mean that a dispute had arisen because the claimant believed, based upon ‘objective facts,’ that the negotiations would lead to a renewal of his agreement on mutually satisfactory terms.¹¹⁰
- 6.69** While the *Maffezini* Tribunal upheld jurisdiction, another BIT tribunal used a similar provision to deny jurisdiction. In *Lucchetti v Peru*,¹¹¹ a dispute arising under the Chile–Peru BIT, the Tribunal distinguished *Maffezini* on the basis that the dispute in the *Lucchetti* case had ‘crystallized’¹¹² before the treaty came into force as a result of the investor (who was the second claimant) having commenced proceedings to have certain administrative steps annulled before the local court. The Tribunal rejected the argument that the treaty reference to ‘disputes’ in its provisions dealing with the scope of its coverage should relate only to proceedings between the foreign investor and the State over treaty questions. It found that the meaning of ‘disputes’ should be ascertained by reference to the subject-matter rather than the parties or the cause of action upon which the litigation is based.¹¹³ The *Lucchetti* Tribunal’s consideration of the phrase ‘disputes’ runs counter to the finding of tribunals considering the meaning of ‘dispute’ in other provisions in BITs. For example, in considering the impact of so-called ‘fork in the road’ provisions, tribunals have focused typically on the parties and the cause of action rather than the subject-matter.¹¹⁴ The decision is thus open to criticism on the ground that the word ‘dispute’ should be given the same meaning whether in a scope of application provision or in any other provision of a BIT. Nonetheless, *Lucchetti* was followed in *ATA v Jordan*, where the Tribunal was persuaded by an analysis that two disputes comprising the same subject matter and having the same origin should be considered legally equivalent.¹¹⁵
- 6.70** In contrast, the Tribunal in *Railroad Corp v Guatemala*¹¹⁶ considered the previous investment arbitration and ICJ authorities in depth before settling upon the *Maffezini* definition. It also rejected the *Lucchetti* approach, upholding the distinction between a dispute based upon the domestic law and one based upon a treaty, although it did give a warning that the mere allegation of a BIT claim cannot be used to deprive a *ratione temporis* restriction of any effect.¹¹⁷
- 6.71** NAFTA does not contain a provision specifically excluding pre-existing disputes. Nonetheless, the Tribunal in *Feldman v Mexico*¹¹⁸ decided it did not have jurisdiction to

¹¹⁰ *Lao Holdings NV v Lao People’s Democratic Republic* (Decision on Jurisdiction) ICSID Case No ARB(AF)/12/6, IIC 633 (2014, Binnie P, Hanotiau & Stern) para 156. See also *Tidewater Investment v Venezuela* (Decision on Jurisdiction), ICSID Case No ARB/10/5, IIC 573 (2013, McLachlan P, Rigo Sureda & Stern) paras 190–2.

¹¹¹ *Empresas Lucchetti SA v Peru* (Decision on Jurisdiction) ICSID Case No ARB/03/4, IIC 88 (2005, Buergenthal P, Cremades & Paulsson).

¹¹² *ibid* para 39.

¹¹³ *ibid* para 50.

¹¹⁴ See 4.101 *et seq* above.

¹¹⁵ *ATA Construction, Industrial and Trading Co v Jordan* (Award) ICSID Case No ARB/08/2, IIC 430 (2010, Fortier P, El-Koshi & Reisman) para 102.

¹¹⁶ *Railroad Development Corp v Guatemala* (Second Decision on Objections to Jurisdiction) ICSID Case No ARB/07/23, IIC 432 (2008, Rigo Sureda P, Eizenstat & Crawford).

¹¹⁷ *ibid* paras 124–9 and 134–6.

¹¹⁸ *Feldman v Mexico* (Decision on Jurisdiction) ICSID Case No ARB(AF)/99/1, 7 ICSID Rep 318, IIC156 (NAFTA/ICSID (AF), 2000, Kerameus P, Covarrubias Bravo & Gantz).

adjudicate upon measures adopted by Mexico before NAFTA came into force. Its reason for so finding was that: ‘Since NAFTA, and a particular part of NAFTA at that, delivers the only normative framework within which the Tribunal may exercise its jurisdictional authority, the scope of application of NAFTA in terms of time defines also the jurisdiction of the Tribunal *ratione temporis*.’¹¹⁹

However, the Tribunal did accept jurisdiction to consider measures adopted after the date NAFTA came into force even though they formed part of a permanent cause of action commencing before that date. **6.72**

In the BIT context, the claimant in *Paushok v Mongolia*¹²⁰ argued that the treaty should cover disputes arising before its coming into force because (1) it expressly covered investments made before that date and (2) it did not expressly exclude such disputes. The Tribunal conducted a thorough review of the pre-existing public international law and investment treaty cases before concluding that its ordinary meaning considered under art 31 of the Vienna Convention would exclude giving the treaty such retroactive force.¹²¹ It cited with approval¹²² the statement made by the tribunal in *MCI Power Group v Ecuador*¹²³ saying: **6.73**

... because of the fact that the BIT applies to investments existing at the time of its entry into force, the temporal effects of its clauses are not modified ... Prior disputes that continue after the entry into force of the BIT are not covered by the BIT.¹²⁴

Timing issues once the investment has come to an end

An investment will not cease to be covered under a treaty merely because it has ceased to exist. In the NAFTA case of *Mondev v USA* the respondent State sought to exclude the Tribunal’s jurisdiction on the basis that the failure of the investment project meant that there was no underlying investment which could be the subject of a dispute. Not surprisingly, the Tribunal rejected this assertion, as it would have undermined the whole principle of investment treaty arbitration: **6.74**

... once an investment exists, it remains protected by NAFTA even after the enterprise in question may have failed ... a person remains an investor for the purposes of [NAFTA] Articles 1116 and 1117 even if the whole investment has been definitively expropriated, so that all that remains is a claim for compensation. The point is underlined by the definition of an ‘investor’ as someone who ‘seeks to make, is making or has made an investment.’ Even if an investment is expropriated, it remains true that the investor ‘has made’ the investment.¹²⁵

The point was also addressed by a BIT tribunal in *Jan de Nul v Egypt*.¹²⁶ The investment consisted of a contract that had come to an end long before the claimant commenced treaty arbitration proceedings. The respondent State argued that at the time the dispute arose the **6.75**

¹¹⁹ *ibid* para 62.

¹²⁰ *Paushok v Mongolia* (Award) IIC 490 (UNCITRAL, 2011, Lalonde P, Grigera Naón & Stern).

¹²¹ *ibid* para 468.

¹²² *ibid* para 460.

¹²³ *MCI Power Group LC v Ecuador* (Award) ICSID Case No ARB/03/6, IIC 296 (2007, Vinuesa P, Iarrázabal & Greenberg) paras 59 and 66.

¹²⁴ See also *ST-AD GmbH v Bulgaria* (Award on Jurisdiction) PCA Case No 2011–06 (UNCITRAL, 2013, Stern P, Klein & Thomas) paras 298–333.

¹²⁵ *Mondev International Ltd v United States of America* (Award) ICSID Case No ARB(AF)/99/2, 6 ICSID Rep 191, IIC 173 (NAFTA/ICSID (AF), 2002, Stephen P, Crawford & Schwebel) para 80.

¹²⁶ *Jan de Nul NV v Egypt* (Decision on Jurisdiction) ICSID Case No ARB/04/13, IIC 144 (2006, Kaufmann-Kohler P, Mayer & Stern).

investment no longer existed. Both the BIT and the ICSID Convention would prevent an investment claim being brought in such circumstances. The Tribunal rejected this argument, recognising that accepting it would defeat the entire logic of investment protection treaties. It quoted from an expert report made by Schreuer which had been submitted by the claimant:

Providing an effective remedy is part of the duties of fair and equitable treatment and of continuous protection and security for investments. A violation of that duty after the investment has come to an end does not change its nature. The duty to provide redress for a violation of rights persists even if the rights as such have come to an end. Otherwise an expropriating State might argue that it owes no compensation since the investment no longer belongs to the previous owner.¹²⁷

6.76 These principles were also considered, in slightly different circumstances, in *National Grid v Argentina*.¹²⁸ The claimant had commenced the arbitration in April 2003. In August 2004 it sold the shares that constituted its investment. It asserted that this share sale was done by way of mitigation. The alternative would have been ‘to continue pumping money into a ruinous enterprise’.¹²⁹ One of the bases upon which Argentina challenged jurisdiction was that the claimant was no longer an investor under the BIT. Argentina sought to distinguish *Mondev* and similar authorities on the basis that none covered cases where assets had been relinquished voluntarily. Yet the Tribunal supported the claimant, stating that the key factor under *Mondev* ‘is to have been an investor and to have suffered a wrong before the sale or disposition of [the] assets, without the need to remain an investor for [the] purposes of the arbitration proceedings’.¹³⁰

6.77 The issue of duration has also arisen in a number of cases where the central complaint has revolved around the treatment of an arbitration claim or domestic court case rather than the original form of the investment. The issue arose in *Saipem v Bangladesh*¹³¹ where the Tribunal held that the award was a continuation of the original investment. In *White Industries v India*¹³² the claim arose out of the inordinate delay the claimant faced in seeking to enforce an arbitral award in the Indian courts. The Tribunal accepted jurisdiction describing:

... developing jurisprudence on the treatment of arbitral awards to the effect that awards made by tribunals arising out of disputes concerning ‘investments’ made by ‘investors’ under BITs represent a continuation or transformation of the original investment.¹³³

¹²⁷ *Jan de Nul* para 135. See also *Bogdanov v Moldova* (Award) SCC Arbitration No V (114/2009) IIC 495 (SCC, 2010, Nilsson (sole)) paras 67–68.

¹²⁸ *National Grid plc v Argentina* (Decision on Jurisdiction) IIC 178 (UNCITRAL, 2006, Rigo Sureda P, Debevoise & Garro).

¹²⁹ *ibid* para 110.

¹³⁰ *ibid* para 120.

¹³¹ *Saipem SpA v Bangladesh* (Decision on Jurisdiction) ICSID Case No ARB/05/07 (2007, Kaufmann-Kohler P, Otton & Schreuer) para 127.

¹³² *White Industries Australia Ltd v India* (Award) (UNCITRAL, 2011, Rowley P, Brower & Lau).

¹³³ *ibid* para 7.6.8; see also *Chevron Corp v Ecuador* (Third Interim Award on Jurisdiction and Admissibility) PCA Case No 2009-23, IIC 524 (UNCITRAL, 2012, Veeder P, Grigera Naón & Lowe) para 4.21 makes reference to ‘the overall life-span of an investment’; *ATA Construction v Jordan* para 96; *GEA Group Aktiengesellschaft v Ukraine* (Award) ICSID Case No ARB/08/16, IIC 487 (2011, van den Berg P, Landau & Stern) is an exception to this ‘developing jurisprudence’ as the Tribunal sought to distinguish an arbitration as merely ruling upon the rights and obligations arising out of an investment, but not constituting an investment itself (para 162).

In *ATA v Jordan*¹³⁴ the dispute that culminated in an unfavourable Court of Cassation decision was determined to have arisen prior to entry into force of the Turkey–Jordan BIT. However, the Tribunal did have jurisdiction to hear a claim arising out of the annulment of a right to arbitrate as this right was an autonomous legal right due to the doctrine of separability.¹³⁵ **6.78**

Pre-contract investment

Tribunals addressing the question of pre-contract expenditure have consistently developed the idea that, in the absence of the specific consent of the State, such costs are not covered. **6.79**

The earliest case addressing the issue is *Mihaly International Corp v Sri Lanka*.¹³⁶ This was an ICSID arbitration brought under the US–Sri Lanka BIT.¹³⁷ The claimant was seeking reimbursement of expenses incurred pursuing a proposed power project in Sri Lanka that never happened. The Tribunal found that no investment, under the terms of art 25 of the ICSID Convention, had taken place. Its main reason for so finding was that: ‘The Respondent clearly signalled, in the various documents which are relied upon by the Claimant, that it was not until the execution of a contract that it was willing to accept that contractual relations had been entered into and that an investment had been made.’¹³⁸ **6.80**

Mihaly was closely considered in *PSEG v Turkey*.¹³⁹ In this ICSID arbitration, brought under the US–Turkey BIT, the Turkish Government had cancelled a concession contract before any works commenced. At the time of its cancellation, the concession contract still had a number of incomplete clauses and Turkey argued that no investment had been made because the project had not ‘moved off the drawing board’.¹⁴⁰ Yet the Tribunal distinguished *Mihaly* on the basis that the contract in this case had become effective. The contract was valid as the remaining gaps to be negotiated would not have prevented the claimant executing it.¹⁴¹ Thus a distinction can be drawn between disputes arising out of situations where expenses have been incurred before a contract has become effective and those arising after the contract has come into existence. **6.81**

The *PSEG* Tribunal also discussed the (at the time) unpublished award in *Zhinvali Development Ltd v Georgia*,¹⁴² another case where a pre-investment expenditure claim was rejected on jurisdictional grounds. The award had been made available to the *PSEG* Tribunal.¹⁴³ It arose out of the Georgian Investment Law No 473–IS of 12 November 1996 which contains a general offer of ICSID arbitration. *Zhinvali* was excluded from a project **6.82**

¹³⁴ *ATA Construction v Jordan*.

¹³⁵ *ibid* paras 117–19.

¹³⁶ *Mihaly International Corp v Sri Lanka* (Award) ICSID Case No ARB/00/2, 6 ICSID Rep 310, IIC 170 (2002, Sucharitkul P, Rogers & Suratgar).

¹³⁷ Treaty Concerning the Encouragement and Reciprocal Protection of Investment (US–Sri Lanka) (signed 20 September 1991, entered into force 1 May 1993) Senate Treaty Doc 102–25.

¹³⁸ *Mihaly* para 51.

¹³⁹ *PSEG Global Inc v Turkey* (Decision on Jurisdiction) ICSID Case No. ARB/02/5, 11 ICSID Rep 431, IIC 197 (2004, Orrego Vicuña P, Fortier & Kaufmann-Kohler)

¹⁴⁰ *ibid* para 54.

¹⁴¹ *ibid* paras 79–105.

¹⁴² *Zhinvali Development Ltd v Georgia* (Award) ICSID Case No ARB/00/1, 10 ICSID Rep 3 (2003, Robinson P, Jacovides & Rubin).

¹⁴³ *PSEG* para 478 fn 12.

to rehabilitate a hydro-electricity plant after three years of negotiations.¹⁴⁴ The Tribunal denied jurisdiction on the ground that the pre-investment expenditure did not qualify as an investment under the 1996 Georgian Investment Law.¹⁴⁵ The *PSEG* Tribunal describes *Zhinvali* as a case where the parties expressly acknowledged that the claimant did not have an investment.¹⁴⁶

- 6.83** The claim in *Petrobart v Kyrgyz Republic*¹⁴⁷ comprised two elements. The first was a contract for delivery of 200,000 tons of gas concentrate over twelve months and the second was an agreement to agree additional supplies at a later stage. The Tribunal upheld the first part of the claim as constituting an investment but rejected the second on the grounds that ‘whatever discussions may have taken place between the parties about further business relations, they did not result in any binding undertakings in the Contract’.¹⁴⁸
- 6.84** While the awards of tribunals dealing with this issue are consistent with each other, the point has generated some controversy among those commenting on the awards. The *Mihaly* award features a separate concurring opinion on the grounds that: ‘Expenditure[s] incurred by successful bidders do indeed produce “economic value” ... and the protection mechanism developed under the aegis of the World Bank in the form of the ICSID Convention should be available to those who are encouraged to embark on such expensive exercises’.¹⁴⁹
- 6.85** This observation has some persuasive value, in particular given the recognition in other awards that investment treaty claims arise out of abusive governmental acts and are not related to claims existing under domestic law contracts.¹⁵⁰ It is thus somewhat inconsistent for the existence of a contract to be the central question in circumstances where investments, in an economic sense, have been made. In addition, the absence of a contract may not have been an issue had *Mihaly* incorporated a specific company in Sri Lanka through which it pursued the project, a point specifically not considered by the Tribunal.¹⁵¹
- 6.86** Ben Hamida points out that the result in *Mihaly* may well have been different had the investor relied to a greater extent on the detailed definition of investment contained in the BIT.¹⁵² There is little doubt that if *Mihaly* was being argued today, its counsel would follow the practice adopted by claimants in many of the cases considered in this chapter, of focusing in detail upon the BIT definition. Nonetheless, it must be recalled that the *Mihaly* Tribunal not

¹⁴⁴ See also Ben Hamida, ‘The *Mihaly v. Sri Lanka* case: Some Thoughts Relating to the Status of Pre-Investment Expenditures’ in T Weiler (ed), *International Investment Law and Arbitration: Leading Cases from the ICSID, NAFTA, Bilateral Treaties and Customary International Law* (2005).

¹⁴⁵ *ibid* 68.

¹⁴⁶ *PSEG* para 479.

¹⁴⁷ *Petrobart Ltd v Kyrgyz Republic* (Award) SCC Case 126/2003, IIC 184 (SCC, 2005, Danelius C, Bring & Smets).

¹⁴⁸ *ibid* 69.

¹⁴⁹ *Mihaly* (Award, Concurring Opinion of Suratgar) para 10.

¹⁵⁰ See *Compañía de Aguas del Aconquija and Vivendi Universal v Argentina* (Decision on Annulment) ICSID Case No ARB/97/13, 6 ICSID Rep 327, IIC 70 (2002, Fortier P, Crawford & Fernández Rozas) (*Vivendi I*), discussed at 4.90 above.

¹⁵¹ *Mihaly* (Award) para 54.

¹⁵² Ben Hamida, ‘The *Mihaly v. Sri Lanka* case’, 64–7. A similar point is made by C Chatterjee, ‘When Pre-Investment or Development Costs May or May Not be Regarded as Part of “Investment” under Article 25(1) of the ICSID Convention; The *Mihaly* Case’ (2003) 4 JWIT 918, 923. Chatterjee states that had it not been for the Government of Sri Lanka explicitly exempting its liability, the claim would have been admissible under the BIT (924).

only found that Mihaly's expenditure did not amount to an investment under the BIT, but also under the ICSID Convention itself.

The Tribunal's decision in *Mihaly* is defended strongly by Hornick.¹⁵³ Hornick points out that any pre-investment process would involve a large number of bidders, only one of whom can be successful.¹⁵⁴ If treaty claims could be brought in respect of pre-investment disputes, a wide category of claimants would be created. In addition, the issues which may be covered by such claims, namely bribery and corruption, would be more appropriately reviewed by a national court applying domestic criminal law than by an arbitral tribunal applying principles of public international law. These contentions would of course have no relevance if jurisdiction could be found to exist under the wording of a BIT. **6.87**

Place of investment

Most investment treaties contain provisions explicitly limiting their application to investments territorially made within a host State. For example, art 2 (1) of the Swiss–Pakistan BIT provides that: 'Le présent Accord est applicable aux investissements effectués sur le territoire d'une Partie Contractante par des investisseurs de l'autre Partie Contractante'.¹⁵⁵ **6.88**

As with other investment treaties, the Swiss–Pakistan BIT contains many other references to the territory of the host State. **6.89**

The question of which investments are to be considered as being made on the territory of the host State was considered in the jurisdiction awards in *SGS v Pakistan*¹⁵⁶ and *SGS v Philippines*.¹⁵⁷ Both cases concern agreements by which SGS was to provide pre-shipment customs inspection services. These services would be carried out outside the host State. Following an inspection, SGS would provide an inspection certificate to the customs authorities in Pakistan and the Philippines respectively. In both cases the respondent States contested jurisdiction by arguing that the large majority of SGS's expense, and thus its investment, took place outside the host State in the many places where the inspections physically took place. **6.90**

Both Tribunals rejected this narrow contention. The reasoning of the *SGS v Philippines* Tribunal is fuller. It relied on the fact that the focal point of SGS's services was the provision of a reliable inspection certificate in the host State itself. It also took into account that a proportion of SGS's expenditure took place in the Philippines. Ultimately the Tribunal considered the matter 'as a whole',¹⁵⁸ adopting the approach taken by the tribunals in *Fedax v Venezuela* and *CSOB v Slovakia* to the question whether an investment had been made at all (see paras 6.08 to 6.14 above). The important aspect was 'the entire process' of economic activity, even though particular aspects of it were not locally performed'.¹⁵⁹ The *SGS* **6.91**

¹⁵³ RN Hornick, 'The *Mihaly* Arbitration Pre-Investment Expenditure as a Basis for ICSID Jurisdiction' (2003) 20 J Int'l Arb 189.

¹⁵⁴ *ibid* 191.

¹⁵⁵ Accord Concernant la Promotion et la Protection Réciproques des Investissements ('Agreement Concerning the Promotion and Reciprocal Protection of Investments') (Switzerland–Pakistan) (signed 11 July 1995, entered into force 6 May 1996) RO 1998 2601.

¹⁵⁶ *SGS Société Générale de Surveillance SA v Pakistan* (Decision on Jurisdiction) ICSID Case No ARB/01/13, 8 ICSID Rep 383, IIC 223 (2003, Feliciano P, Faurès & Thomas).

¹⁵⁷ *SGS Société Générale de Surveillance SA v Philippines* (Decision on Jurisdiction) ICSID Case No ARB/02/6, 8 ICSID Rep 515, IIC 224 (2004, El-Koshi P, Crawford & Crivellaro (dissenting)).

¹⁵⁸ *SGS v Philippines* para 112.

¹⁵⁹ *ibid* para 110.

v Philippines Tribunal also agreed with the reasoning applied by the *SGS v Pakistan* Tribunal which had characterised the transaction as involving ‘the injection of funds into the territory of Pakistan for the carrying out of SGS’s engagements under the PSI Agreement.’¹⁶⁰

- 6.92** The claimants in *Inmaris v Ukraine*¹⁶¹ relied on the fact that the Germany–Ukraine BIT did not contain a specific territorial requirement to argue that the respondent could not raise questions of territoriality as a jurisdictional objection. The Tribunal rejected this position, both by requiring a territorial connection ‘as an overarching jurisdictional limit’ and by using the specific territorial references in the substantive treaty positions as indicating a territorial requirement.¹⁶² The investment in question was a contract to repair and renovate a historical sailing vessel to be used for the training of Ukrainian cadets and for tourism. The Tribunal found the territorial requirement to be met by considering the benefits of the claimant’s investments considered as an integrated whole, rather than by considering more narrow and formalistic matters such as the place where payments of money transfers were actually made.¹⁶³ A similar conclusion was reached in *Alpha v Ukraine*,¹⁶⁴ where the investment was the renovation of a hotel. The construction and the ultimate benefit all took place in Ukraine and the Tribunal refused to elevate form over substance. It rejected Ukraine’s objection which had been based on the fact that the payments to the construction company had been made in Cyprus.¹⁶⁵
- 6.93** A territorial requirement was used to deny jurisdiction in the NAFTA case of *Bayview v Mexico*.¹⁶⁶ The claim was brought by certain Texan agricultural interests against Mexico, complaining that Mexico’s management of the Rio Grande River was harming their businesses in Texas. In order to qualify as an ‘investor’ under NAFTA art 1101(a) the Tribunal considered that an enterprise must make an investment in another NAFTA State, and not in its own.¹⁶⁷ The claimants failed this test because their investments were wholly confined to their own national States. To qualify under NAFTA, an investment would have to be primarily regulated by the law of a State other than the State of the investor’s nationality. In the absence of this fact, there could be no foreign investment.¹⁶⁸
- 6.94** A more borderline case is *Abaclat v Argentina*.¹⁶⁹ The investments in this case were sovereign bonds issued by Argentina, which had been acquired by the claimants in secondary securities

¹⁶⁰ *SGS v Philippines* paras 96 and 111 cited *SGS v Pakistan* para 136. The approach of the two *SGS* tribunals was followed in *Bureau Veritas, Inspection, Valuation, Assessment and Control, BIVAC BV v Paraguay* (Decision on Jurisdiction) ICSID Case No ARB/07/9, IIC 428 (2009, Knieper P, Fortier & Sands) para 103 and by the majority in *Abaclat v Argentina* (Decision on Jurisdiction and Admissibility) ICSID Case No ARB/07/5, IIC 504 (2011, Tercier P, van den Berg & Abi-Saab (dissenting)) para 374, fn 147.

¹⁶¹ *Inmaris Perestroika Sailing Maritime Services GmbH v Ukraine* (Decision on Jurisdiction) ICSID Case No ARB/08/8, IIC 431 (2010, Alexandrov P, Cremades & Rubins).

¹⁶² *ibid* paras 118–21.

¹⁶³ *ibid* paras 123–5.

¹⁶⁴ *Alpha Projektholding GmbH v Ukraine* (Award) ICSID Case No ARB/07/16, IIC 464 (2010, Robinson P, Alexandrov & Turbowicz).

¹⁶⁵ See also *Romak SA v Uzbekistan* (Award) PCA Case No AA280, IIC 400 (UNCITRAL, 2009, Mantilla-Serrano P, Molfessis & Rubins) where the Tribunal had regard to where the contribution duration and risk occurred, not just the physical delivery of a product (para 237).

¹⁶⁶ *Bayview Irrigation District v Mexico* (Award) ICSID Case No ARB(AF)/05/1, IIC 290 (2007, Lowe P, Gómez-Palacio & Meese).

¹⁶⁷ *ibid* para 101.

¹⁶⁸ *ibid* para 98.

¹⁶⁹ *Abaclat v Argentina* (Decision on Jurisdiction and Admissibility) ICSID Case No ARB/07/5, IIC 504 (2011, Tercier P, van den Berg & Abi-Saab (dissenting)).

markets outside Argentina. As a result, Argentina raised a jurisdictional objection on the basis that the claimants had not made an investment in Argentina. It would have been possible to distinguish a previous decision concerning traded financial instruments, *Fedax v Venezuela*,¹⁷⁰ because the bonds in question in *Fedax* were issued to support a specific project in Venezuela. The funds raised by the *Abaclat* bonds were not specified for any particular project. Nonetheless, the Tribunal did not find this distinction to be relevant:

With regard to an investment of a purely financial nature, the relevant criteria cannot be the same as those applying to an investment consisting of business operations and/or involving manpower and property. With regard to investments of a purely financial nature, the relevant criteria should be where and/or for the benefit of whom the funds are ultimately used, and not the place where the funds were paid out or transferred. Thus, the relevant question is where the invested funds ultimately made available to the Host State and did they support the latter's economic development?¹⁷¹

This decision can be supported on policy grounds because sovereign nations issue bonds in order to advance their development and the ability to trade these bonds on secondary markets is an integral part of the attractiveness of the investment. The dissenting opinion focuses narrowly on specific features of the bonds but does not take into account the overall effect the bonds would have had on the Argentinian economy. However, it does correctly point out the special features of the particular case given that the bonds were not 'issued in support of a public project or a commercial undertaking ... In other words, they have no specific economic anchorage in Argentina'.¹⁷²

As noted above at paragraph 6.49 the *Postova Bank* award reaches the opposite conclusion to the cases involving Argentinian sovereign debt.¹⁷³ **6.95**

The question of treaty coverage of indirect investments is considered at paragraphs 6.117 *et seq* below. In *Guaracachi v Bolivia*, the Tribunal considered whether an investment made indirectly could be considered to be made in the territory of a contracting State. It concluded that the territorial requirement was not designed to exclude such investment as long as the ultimate investment that had been expropriated had been located in the territory of a contracting State.¹⁷⁴ **6.96**

The role played by the law of the host State in defining 'investment'

Investment according to law

In many investment treaties the definition of 'investment' includes a requirement that the categories of assets admitted as 'investments' must be made 'in accordance with the laws and **6.97**

¹⁷⁰ *Fedax NV v Venezuela* (Decision on Jurisdiction) ICSID Case No ARB/96/3, 5 ICSID Rep 183, IIC 101 (1997), Orrego Vicuña P, Heth & Owen).

¹⁷¹ *Abaclat v Argentina* para 374. See also *Deutsche Bank AG v Sri Lanka* (Award) ICSID Case No ARB/09/02, IIC 578 (2012, Hanotiau P, Khan & Williams) para 292 and *Ambiente Ufficio SpA v Argentina* (Decision on Jurisdiction and Admissibility) ICSID Case No ARB/08/9, IIC 576 (2013, Simma P, Böckstiegel & Torres Bernárdez (dissenting)) para 502. In both awards, the Tribunals supported the proposition that the territorial requirement would apply differently in the case of financial instruments.

¹⁷² *Abaclat v Argentina* (Dissenting Opinion, Abi-Saab) para 108.

¹⁷³ *Postova Banka AS v Greece* (Award) ICSID Case No ARB 13/8, IIC 679 (2015, Zuleta P, Stern & Townsend) paras 293–349. See Waibel, 'Opening Pandora's Box: Sovereign Debt in International Arbitration' (2007) 101 AJIL 711.

¹⁷⁴ *Guaracachi America Inc v Bolivia* (Award) PCA Case No 2011–17, IIC 628 (UNCITRAL, 2014, Miguel Júdez P, Conthe & Vinuesa) para 358.

regulations of the said party'.¹⁷⁵ The plain meaning of this phrase is that investments which would be illegal upon the territory of the host State are disqualified from the protection of the BIT. Attempts by respondent States to broaden the matters encompassed by this phrase have failed.

- 6.98** In *Salini*¹⁷⁶ Morocco argued that the Tribunal lacked jurisdiction as the transaction in question would be regarded by Moroccan law as a business contract rather than investment. As a result, an investment had not taken place 'in accordance with the laws and regulations' of Morocco as required by art 1(1) of the Italy–Morocco BIT. The Tribunal rejected this argument, confirming that the phrase should be maintained within its proper scope: 'In envisaging "the categories of invested assets ... in accordance with the laws and regulations of the said party", the provision in question refers to the legality of the investment and not to its definition. It aims in particular to ensure that the bilateral Agreement does not protect investments which it should not, generally because they are illegal.'¹⁷⁷
- 6.99** The role played by the phrase was also restricted by the Tribunal in *Tokios Tokelés v Ukraine*.¹⁷⁸ Ukraine attempted to deny the Tribunal's jurisdiction because of various technical defects in the manner in which the investment had been registered under Ukrainian law. The Tribunal was, however, unwilling to withdraw the protection of the BIT on the basis of such defects saying that 'to exclude an investment on the basis of such minor errors would be inconsistent with the object and purpose of the Treaty'.¹⁷⁹ Similarly, in *Quiborax v Bolivia*, the Tribunal held that trivial breaches of Bolivian law would not amount to a breach of the Chile–Bolivia BIT's legality requirement.¹⁸⁰
- 6.100** In *Achmea v Slovakia*, the claimant had acquired a portfolio of health insurance clients. Slovakia sought to rely on the Netherlands–Slovakia BIT's legality requirement to contest jurisdiction. It pointed to a number of improper and illegal practices that the claimant had carried out in order to obtain its client portfolio. The Tribunal refused to interpret a provision obliging the State parties to admit investments in accordance with its provisions of law as constituting a requirement, found in other treaties, demanding that investments be made in accordance with the laws and regulations of the host State. Further, it stated that not all violations of a State's laws should bear the same consequences. Where, as in this case, the domestic regulations had already imposed penalties falling short of terminating the investor's license to operate, the Tribunal did not believe that a good faith application of the BIT's legality standard would require exclusion of the investment from the scope of the treaty's protection.¹⁸¹

¹⁷⁵ Tra sulla Promozione e Protezione Degli Investimenti ('Treaty for the Promotion and Protection of Investments') (Italy–Morocco) (signed 18 July 1990, entered into force 26 April 2000) art 1(1).

¹⁷⁶ *Salini Costruttori SpA v Morocco* (Decision on Jurisdiction) ICSID Case No ARB/00/4, 6 ICSID Rep 398 (2001, Briner P, Cremades & Fadlallah).

¹⁷⁷ *ibid* para 46. See also *Consortium RFCC v Morocco* (Award) ICSID Case No ARB/00/6, IIC 75 (2003, Briner P, Cremades & Fadlallah); *Bayindir Insaat Turizm Ticaret Ve Sanayi AS v Pakistan* (Decision on Jurisdiction) ICSID Case No ARB/03/29, IIC 27 (2005, Kaufmann-Kohler P, Berman & Böckstiegel) para 109.

¹⁷⁸ *Tokios Tokelés v Ukraine* (Decision on Jurisdiction) ICSID Case No ARB/02/18, IIC 258 (2004, Weil P (dissenting), Bernardini & Price).

¹⁷⁹ *ibid* para 86.

¹⁸⁰ *Quiborax SA v Bolivia* (Decision on Jurisdiction) ICSID Case No ARB/06/2, IIC 563 (2012, Kaufmann-Kohler P, Lalonde & Stern) paras 265 and 280.

¹⁸¹ *Achmea BV v Slovakia* (Award) PCA Case No 2008–13, IIC 649 (UNCITRAL, 2012, Lowe P, van den Berg & Veeder) paras 162–80.

The dispute in *Desert Line v Yemen*¹⁸² arose under the Oman–Yemen BIT. Article 1.1 of this treaty provides: **6.101**

The term ‘Investment’ shall mean every kind of assets owned and invested by an investor of one Contracting Party, in the territory of the other Contracting Party, and that is accepted by the host party, as an investment according to its laws and regulations, and for which an investment certificate is issued.¹⁸³

Yemen objected to the Tribunal’s jurisdiction on the basis that the investment had never been ‘accepted’ pursuant to art 1.1 and that no investment certificate had ever been issued. The Tribunal found that Yemeni legislation did not call for any particular form in which an investment was to be ‘accepted’ and also concluded that the art 1.1 requirements should correspond to a material objective rather than ‘mere formalism’.¹⁸⁴ The Tribunal quoted this passage from the first edition of this work with approval in support of its conclusion.¹⁸⁵ **6.102**

In *Saba Fakes v Turkey*¹⁸⁶ the respondent State contended that the investment had not been made in accordance with law because the claimant investor had taken a problematic assignment of the asset from a high profile Turkish business family who were seeking to avoid problems arising for them in Turkey due to investigations and related matters such as asset freezing. The Tribunal rejected this position, distinguishing between breaches of the law relating to the admission of investments in the host State and illegality arising in the course of operating the business: **6.103**

As to the nature of the rules contemplated in Article 2(2) of the Netherlands–Turkey BIT, it is the Tribunal’s view that the legality requirement contained therein concerns the question of the compliance with the host State’s domestic laws governing the admission of investments in the host State. This is made clear by the plain language of the BIT, which applies to ‘investments ... established in accordance with the laws and regulations ...’ The Tribunal also considers that it would run counter to the object and purpose of investment protection treaties to deny substantive protection to those investments that would violate domestic laws but are unrelated to the very nature of investment regulation. In the event that an investor breaches a requirement of domestic law, a host State can take appropriate action against such investor within the framework of its domestic legislation.¹⁸⁷

In a number of cases tribunals have employed the concept of estoppel to defeat the jurisdictional objections of a respondent State seeking to rely upon its domestic investment registration processes as a basis for arguing that a non-registered investment had not been made according to the law. For example, the *Desert Line* Tribunal approvingly cited dicta of the Tribunal in *Fraport v Philippines* who addressed the issue in the following terms: **6.104**

Principles of fairness should require a tribunal to hold a government estopped from raising violations of its own law as a jurisdictional defense when it knowingly overlooked them and

¹⁸² *Desert Line Projects LLC v Yemen* (Award) ICSID Case No ARB/05/17, IIC 319 (2008, Tercier P, El-Koshery & Paulsson).

¹⁸³ The original text is in Arabic. This quotation is taken from the English translation on which both parties relied for the purposes of the arbitration.

¹⁸⁴ *Desert Line Projects* (Award) para 106.

¹⁸⁵ See also *Mytilineos Holdings SA v Serbia and Montenegro* (Partial Award on Jurisdiction) IIC 345 (UNCITRAL, 2006, Reinisch P, Koussoulis & Mitrović) para 146 where the Tribunal held that investment did not need to be registered in order to be invested ‘in accordance with law’ even though the law required registration; and *Alpha v Ukraine* para 297 where the Tribunal concluded that trivial errors would not vitiate an investment’s status as such according to the law under the terms of the Austria–Ukraine BIT.

¹⁸⁶ *Saba Fakes v Turkey* (Award) ICSID Case No ARB/07/20, IIC 439 (2010, Gaillard P, Lévy & van Houtte).

¹⁸⁷ *ibid* para 119.

endorsed an investment which was not in compliance with its law.’ This comment applies *a fortiori* when the alleged problem is not violation of law, but merely—as here—the failure to accomplish a formality foreseen by law, and not even required by it except as a condition of obtaining benefits unconnected with those of the BIT itself.¹⁸⁸

- 6.105** The tribunal in *Arif v Moldova* was also impressed by the fact that the legality of the investment had been acted upon in good faith by both parties over a period of time. It stated that:

This is not a case of a concealed illegality, or a class of assets prohibited to foreign investors ... The investment was not made fraudulently or on the basis of corruption. In cases like the present one, the passage of time and the actions of the parties on the mutual assumption of legality cannot be ignored in the determination of jurisdiction.¹⁸⁹

Use of illegality to deny jurisdiction

- 6.106** An example of a successful jurisdictional objection on the basis of the claimant’s failure to comply with law is *Fraport v Philippines*.¹⁹⁰ Although this award was annulled, the annulment was on the basis of the procedure followed by the Tribunal. The case arose from the expropriation of an airport concession. The Philippines argued that the investment had not been carried out according to law because it violated provisions of Philippines law requiring such investments to be majority owned by Philippines nationals. The Tribunal found that Fraport had consciously, intentionally and covertly structured arrangements in a way that it knew to be a violation of the law.¹⁹¹ The Tribunal found that:

Fraport knowingly and intentionally circumvented the [relevant law] by means of secret shareholder agreements. As a consequence, it cannot claim to have made an investment ‘in accordance with law’. Nor can it claim that high officials of the Respondent subsequently waived the legal requirements and validated Fraport’s investment, for the Respondent’s officials could not have known of the violations. Because there is no ‘investment in accordance with law’, the Tribunal lacks jurisdictional *ratione materiae*.¹⁹²

- 6.107** In reaching its conclusion, the Tribunal had regard to domestic law, notwithstanding the BIT’s status as an international legal instrument. It stated that the relevant BIT provisions

¹⁸⁸ *Desert Line Projects* (Award) para 120 quoting from *Fraport AG Frankfurt Airport Services Worldwide v Philippines* (Award) ICSID Case No ARB/03/25, IIC 299 (2007, Fortier P, Cremades & Reisman) para 346. Other examples of the use of estoppel in this context are *Inmaris Perestroika Sailing Maritime Services GmbH v Ukraine* (Decision on Jurisdiction) ICSID Case No ARB/08/8, IIC 431 (2010, Alexandrov P, Cremades & Rubins) para 140, and *H&H Enterprises Investments Inc v Egypt* (Decision on Jurisdiction) ICSID Case No ARB 09/15, IIC 542 (2012, Cremades P, Gharavi & Heiskanen) paras 52–4. See also *Railroad Development Corp v Guatemala* (Decision on Jurisdiction No 2) paras 144–7 when the Tribunal concluded that the Respondent’s failure to raise any objection based on illegality for a number of years prevented it from doing so in the arbitration.

¹⁸⁹ *Arif v Moldova* (Award) ICSID Case No ARB/11/23, IIC 585 (2013, Cremades P, Hanotiau & Knieper) para 376.

¹⁹⁰ *Fraport AG v Philippines* (Award) ICSID Case No ARB/03/25, IIC 299 (2007, Fortier P, Cremades & Reisman). The second award delivered after the first proceedings had been annulled also contains a strong endorsement of the need to comply with the law of the host State as a condition for jurisdiction: *Fraport AG v Philippines* (Award) ICSID Case No ARB/11/12, IIC 731 (2014, Bernadini P, Alexandrov & van den Berg).

¹⁹¹ *ibid* para 323.

¹⁹² *ibid* para 401. See also *Inceysa Vallisoletana SL v El Salvador* (Award) ICSID Case No ARB/03/26, IIC 134 (2006, Oreamuno Blanco P, Landy & von Wobeser). The Tribunal constituted following the annulment of the first *Fraport* award reached a similar conclusion on this issue: *Fraport* (Award, 2014) para 467–8.

effected a *renvoi* to domestic law. As a consequence, a ‘failure to comply with the national law to which a treaty refers will have an international legal effect.’¹⁹³

*Anderson v Costa Rica*¹⁹⁴ was a claim brought by a number of investors against Costa Rica alleging that its failure to provide proper vigilance over its banking system had caused them significant losses following their investments in a fraudulent investment scheme. The investors had not committed any crime by their activities in Costa Rica, but their investment in the scheme was not in accordance with the laws of Costa Rica. The Tribunal denied jurisdiction asserting that:

6.108

The Tribunal’s interpretation of the words ‘owned in accordance with the laws’ of Costa Rica reflects both sound public policy and sound investment practice. Costa Rica, indeed any country, has a fundamental interest in securing respect for its law. It clearly sought to secure that interest by requiring investments under the BIT to be owned and controlled according to law. At the same time, prudent investment practice requires that any investor exercise due diligence before committing funds to any particular investment proposal. An important element of such due diligence is for investors to assure themselves that their investments comply with the law. Such due diligence obligation is neither overly onerous nor unreasonable. Based on the evidence presented to the Tribunal, it is clear that the Claimants did not exercise the kind of due diligence that reasonable investors would have undertaken to assure themselves that their deposits with the Villalobos scheme were in accordance with the laws of Costa Rica.¹⁹⁵

In *Metal-Tech v Uzbekistan*, the Tribunal found as a fact that the investor had committed acts of bribery and corruption in making his investment. It read Uzbekistan’s consent to arbitrating disputes as being limited to disputes concerning an ‘investment’. In turn, the definition of ‘investment’ contained in the Israel–Uzbekistan BIT was limited to those made in accordance with domestic law. It thus denied jurisdiction.¹⁹⁶

6.109

Effect of illegality upon ‘investment’: a summary

In summary, an investment that is made in breach of the laws of the host State will not qualify as an investment under an investment treaty. This will be the case even where the applicable treaty does not contain an express requirement of compliance with the laws of the host State. An alternative approach would be to concede that the tribunal has jurisdiction over the investment but to refuse the investor the benefits of the substantive protections of the investment treaty.¹⁹⁷

6.110

An investor cannot lose jurisdiction because of an allegation of illegality in the performance of the investment. The rationale for the distinction between illegality in the making of an investment and illegality in the performance of an investment is that, in the latter case, a State has its usual judicial and regulatory functions available to sanction the performance of illegal acts.¹⁹⁸ In *Mamidoil v Albania* the Tribunal put the ‘decisive moments’ for the analysis of substantive illegality as being the time when the investment was planned and made.¹⁹⁹

6.111

¹⁹³ *Fraport* (Award, 2007) para 394.

¹⁹⁴ *Anderson v Costa Rica* (Award) ICSID Case No ARB(AF)/07/3, IIC 437 (2010, Morelli Rico P, Salacuse & Vinuesa).

¹⁹⁵ *ibid* para 58.

¹⁹⁶ *Metal-Tech Ltd v Uzbekistan* (Award) ICSID Case No ARB/10/3, IIC 619 (2013, Kaufmann-Kohler P, Townsend & von Wobeser) paras 372–3.

¹⁹⁷ *Yukos Universal Ltd v Russia* (Final Award) PCA Case No AA 227, IIC 652 (UNCITRAL, 2014, Fortier C, Poncet & Schwebel) paras 1349–53.

¹⁹⁸ *Yukos* paras 1354–5.

¹⁹⁹ *Mamidoil Jetoil Greek Petroleum Products Soc SA v Albania* (Award) ICSID Case No ARB/11/24, IIC 682 (2015, Knieper P, Banifatemi & Hammond) para 375.

- 6.112** In *Yukos*, the respondent State invoked a general doctrine of ‘unclean hands’ in support of its jurisdictional objection based upon illegality. The Tribunal reviewed certain ICJ authorities but noted that there were no investor–State awards where the ‘unclean hands’ doctrine had been applied to bar jurisdiction over a claim.²⁰⁰

The role played by the law of the host State in determining the nature of the investor’s property rights

- 6.113** The municipal law of the host State plays an important role in determining whether an investment has taken place. The typical definition of an investment found in a BIT requires that the status of the asset claimed to be an investment must be considered under the host State’s domestic property law. At the same time, of course, international law must prevent a State from using its own laws wrongfully to deny the investment’s status as an investment. The respective roles of international law and domestic law are set out in a statement taken from a decision of the American–Mexican Claims Commission:

When questions are raised before an international tribunal ... with respect to the application of the proper law in the determination of rights grounded on contractual obligations, it is necessary to have clearly in mind the particular law applicable to the different aspects of the case. The nature of such contractual rights or rights with respect to tangible property, real or personal, which a claimant asserts have been invaded in a given case is determined by the local law that governs the legal effects of the contract or other form of instrument creating such rights. But the responsibility of a respondent government is determined solely by international law ...²⁰¹

- 6.114** Douglas defines the different roles to be played by domestic and international law in the following terms:

At the first stage, the treaty tribunal must decide, if it is a matter of contention, whether particular rights *in rem* constituting the alleged investment exist, the scope of those rights, and in whom they vest. [Douglas states that this is a question of municipal law.] At the first stage of the analysis, the treaty tribunal must also determine whether or not the rights *in rem* that have been identified in accordance with the municipal law of the host state constitute an investment as defined by the investment treaty itself. This is a question of treaty interpretation that is ultimately governed by principles of international law.²⁰²

- 6.115** An example of this two-headed approach being adopted in practice is *Generation Ukraine Inc v Ukraine*.²⁰³ In this claim, brought under the US–Ukraine BIT, the claimant asserted claims both under the treaty and under Ukrainian law. The Tribunal was only willing to hear the treaty claims²⁰⁴ and thus took pains to ensure that the disputes it was asked to adjudicate related to ‘investments’ as defined under the BIT.²⁰⁵ The Tribunal carried out this exercise by considering in detail the content of various rights, permits, protocols, and agreements existing under Ukrainian law. Once it had used domestic law to determine the precise nature

²⁰⁰ *Yukos* paras 1357–63.

²⁰¹ *Cook (United States of America) v Mexico* (1927) IV RIAA 213, 215. The passage is quoted by Z Douglas, ‘The Hybrid Foundations of Investment Treaty Arbitration’ (2003) 74 BYIL 151, 190 where he points out that this statement was made by one Commissioner and the other members of the Commission did not endorse these remarks.

²⁰² Douglas ‘The Hybrid Foundations of Investment Treaty Arbitration’ 211.

²⁰³ *Generation Ukraine Inc v Ukraine* (Award) ICSID Case No ARB/00/9, IIC 116 (2003, Paulsson P, Salpius & Voss).

²⁰⁴ *ibid* para 17.1.

²⁰⁵ *ibid* para 8.5–8.14.

of these rights, it considered whether they fell within the definition of ‘investment’ set out in the BIT.

This analysis was also used by the tribunal in *Bayview v Mexico*.²⁰⁶ The claimants had agricultural interests in Texas and based their claim on the manner in which water was being handled by Mexican authorities in Mexico. They asserted that Mexico’s conduct had infringed their rights under NAFTA. The Tribunal addressed the question as to whether the Texan property owners had made foreign investments in Mexico and did so by considering their right to the waters of the Rio Grande under Mexican law. They considered the question under the Mexican constitution, the Mexican Law of National Waters, and Mexico’s General Law of National Assets to conclude that water concessions in Mexico do not create ownership rights but rather a right of use and exploitation. In a similar manner, the Tribunals in *Saba Fakes v Turkey*²⁰⁷ had regard to Turkish law in considering whether share certificates were void. In *Inmaris v Ukraine*²⁰⁸ the tribunal had regard to the English governing law of a contract to consider whether that contract had legal effect.²⁰⁹ 6.116

Indirect investment

Introduction—claiming for losses suffered by a direct subsidiary

Investments are often made through subsidiary companies incorporated under the law of the host State. There are different reasons for this—sometimes States require a participant in a local industry to be a locally incorporated entity. Alternatively, the investor may find it more convenient to trade through a local company. If the State commits a breach, the wrong will be done to the local subsidiary or investment vehicle. Without a specific agreement to the contrary,²¹⁰ the subsidiary will not be able to bring a treaty claim as any dispute it may have with the government will be a domestic dispute. The shareholder investor may be able to qualify as a claimant under an investment treaty but it will need to show that it has standing to recover damages for a wrong committed to a separate corporate entity. The question is thus whether investment treaty jurisprudence allows an investor to look through the corporate structure (or pierce the corporate veil) to claim losses suffered by a separate juridical entity. 6.117

Prior to the development of investment treaty arbitration, the classic statement of public international law in this scenario was to be found in the judgment of the ICJ in *Barcelona Traction*.²¹¹ The case concerned bonds issued by a Canadian company operating in Spain. The company was majority owned by Belgian nationals. It became bankrupt as a result of actions taken by the Spanish Government. The Court denied standing to Belgium to 6.118

²⁰⁶ *Bayview Irrigation District v Mexico* (Award) ICSID Case No ARB(AF)/05/1, IIC 290 (2007, Lowe P, Gómez-Palacio & Meese).

²⁰⁷ *Saba Fakes v Turkey* (Award) ICSID Case No ARB/07/20, IIC 439 (2010, Gaillard P, Lévy & van Houtte).

²⁰⁸ *Inmaris v Ukraine* para 69.

²⁰⁹ See also *Alps Finance and Trade AG v Slovakia* (Award) IIC 489 (UNCITRAL, 2011, Crivellaro P, Klein & Stuber) paras 197–9; *Nagel v Czech Republic* (Award) SCC Case No 049/2002, IIC 176 (SCC, 2003, Danelius P, Hunter & Kronke) para 152; *BG Group plc v Argentina* (Award) IIC 321 (UNCITRAL, 2007, Álvarez P, Miguel Garro & van den Berg) paras 116–27; *Emmis International Holding BV v Hungary* (Award) ICSID Case No ARB/12/2, IIC 722 (2014, McLachlan P, Lalonde & Thomas) paras 166, 221 and 255, and *Accession Mezzanine Capital LP v Hungary* (Award) ICSID Case No ARB/12/3 (2015, Rovine P, Douglas & Lalonde).

²¹⁰ ICSID Convention, art 25(2)(b) (Appendix 12 below); Schreuer 296–337.

²¹¹ *Barcelona Traction, Light and Power Co Ltd (Belgium v Spain)* (New Application: 1962) [1970] ICJ Rep 3.

assert a claim on behalf of the shareholders against Spain stating that ‘where it is a question of an unlawful act committed against a company representing foreign capital, the general rule of international law authorizes the national State of the company alone to make a claim’.²¹²

- 6.119** The Court thus established that public international law would not in general allow the veil of separate corporate identity to be pierced. The shareholders (or their government) could not establish a right to bring an action in their own name.²¹³
- 6.120** The decision remains in good standing in customary international law and has been codified in art 11 of the International Law Commission’s Draft Articles on Diplomatic Protection.²¹⁴
- 6.121** The ICJ’s restrictive ruling in *Barcelona Traction* has never been followed in treaty arbitrations. The issue arose in the first BIT arbitration, *Asian Agricultural Products Ltd v Sri Lanka*.²¹⁵ In this claim, brought under the UK–Sri Lanka BIT, a Hong Kong corporation held 48 per cent of the shares in a Sri Lankan company that had suffered the loss. It is not clear from the award whether Sri Lanka sought to argue that the claimant was precluded from seeking recovery in circumstances where the loss had been suffered by a subsidiary. However, the tribunal had no difficulties with allowing the claimant to recover. It stated that: ‘The undisputed “investments” effected since 1985 by AAPL in Sri Lanka are in the form of acquiring shares in Serendib Company, which has been incorporated in Sri Lanka under the domestic Companies Law ... The scope of the international law protection granted to the foreign investor in the present case is limited to a single item: the value of his share-holding in the joint-venture entity (Serendib Company).’²¹⁶
- 6.122** In another early case, *AMT v Zaire*,²¹⁷ the Tribunal considered the definition of investment provided by the USA–Zaire BIT. This provided, in art 1(c), that the term ‘investment’ included ‘every kind of investment, owned or controlled directly or indirectly, including equity’ as well as ‘a company or shares of stock or other interests in a company or interests in the assets thereof’.²¹⁸ When Zaire contested the claimant’s right to recover for

²¹² *ibid* 47 para 88.

²¹³ For an interesting summary of the development of international law since *Barcelona Traction* see FA Mann, ‘The Protection of Shareholders’ Interests in the Light of the *Barcelona Traction* Case’ (1973) 67 AJIL 259; I Laird, ‘A community of destiny—the *Barcelona Traction* case and the development of shareholder rights to bring investment claims’ in T Weiler (ed), *International Investment Law and Arbitration: Leading Cases from the ICSID, NAFTA, Bilateral Treaties and Customary International Law* (2005). For a discussion of the principle and its exceptions see 5.28 above.

²¹⁴ ILC ‘Diplomatic Protection: Draft Articles with Commentaries’ (Dugard, Special Rapporteur) [2006] 2(2) YB ILC 22. See also *Diallo (Guinea v Democratic Republic of the Congo)* (Preliminary Objections) [2007] ICJ Rep 582, (Merits) [2010] ICJ Rep 639, where the ICJ confirmed this strict position in a way that was fatal to Guinea’s claim for loss to Diallo’s property interest in the DRC. They were held by a Congolese company and customary international law would not permit a claim on the basis of indirect damage to the shareholder.

²¹⁵ *Asian Agricultural Products Ltd v Sri Lanka* (Award) ICSID Case No ARB/87/3, 4 ICSID Rep 245, IIC 18 (1990, El-Koshery P, Goldman & Asante (dissenting)) (*AAPL v Sri Lanka*).

²¹⁶ *ibid* para 95.

²¹⁷ *American Manufacturing & Trading Inc v Zaire* (Award) ICSID Case No ARB/93/1, 5 ICSID Rep 11, IIC 14 (1997, Sucharitkul P, Golsong & Mbaye) (*AMT v Zaire*).

²¹⁸ Treaty Concerning the Reciprocal Encouragement and Protection of Investment (US–Democratic Republic of Congo (Kinshasa) formerly Zaire) (signed 3 August 1984, entered into force 28 July 1989) Senate Treaty Doc 99-17, art 1(c).

losses suffered by a local subsidiary, the Tribunal concluded that the point was ‘perfectly clear’.²¹⁹

Neither the *AAPL* nor the *AMT* tribunals made reference to *Barcelona Traction*. It is of course possible that the point was not raised before them, but it is also possible that they believed that, as the claims arose out of BITs, they were dealing with a *lex specialis* rather than customary international law. Given the wide definition of investment contained in most bilateral investment treaties, if an ‘investment’ can include shares in a company there is no conceptual reason to prevent an investor recovering for damage caused to those shares which has resulted in a diminution in their value. Tribunals have been so consistent in applying the *lex specialis* in this regard that it is arguable that the special rule has become the general rule. This was the conclusion of the tribunal in *CMS Gas Transmission Co v Argentina*,²²⁰ where the Tribunal permitted a claim by the US shareholder company on the basis that:

... *lex specialis* in this respect is so prevalent that it can now be considered the general rule, certainly in respect of foreign investments and increasingly in respect of other matters. To the extent that customary international law or generally the traditional law of international claims might have followed a different approach—a proposition that is open to debate—then that approach can be considered the exception.²²¹

For the purposes of investment treaty jurisprudence, it is not necessary to find that *Barcelona Traction* has been wrongly decided. It suffices to limit its effect to the field of diplomatic protection and to posit a different rule for treaty claims. Such an approach would be consistent with the ICJ’s decision in *ELSP*²²² and the numerous arbitration awards considered in this section.

Alternative approaches to justify indirect claims

The simplest approach to justify indirect claims is that taken by the tribunals in the cases cited above, based upon the wording of the treaty. For example, in *Mobil v Venezuela*²²³ the US Corporation had restructured its holdings so that it owned a Dutch company, which in turn owned a US company, which in turn held a Bahamas company holding an interest in the project in Venezuela. Venezuela objected that the indirect nature of the Dutch holding company’s interest in the project meant that it could not rely upon the provisions of the Netherlands–Venezuela BIT. However, the Tribunal concluded that:

Venezuela Holdings (Netherlands) owns 100% of its US and Bahamian subsidiaries. Those subsidiaries are thus controlled directly or indirectly by a ‘legal person constituted under the law’ of the Netherlands. Accordingly they must be deemed to be Dutch nationals under article 1(b)(iii) of the BIT.²²⁴

²¹⁹ *AMT v Zaire* para 25. Almost all of the jurisdiction decisions in the Argentine cases came to the same conclusion on this point.

²²⁰ *CMS Gas Transmission Co v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/01/8, 7 ICSID Rep 492, IIC 64 (2003, Orrego Vicuña P, Lalonde & Rezek).

²²¹ *ibid* para 48. See also eg *GAMI Investments Inc v Mexico* (Award) 13 ICSID Rep 147, IIC 109 (NAFTA/UNCITRAL, 2004, Paulsson P, Muró & Reisman); *BG Group plc v Argentina* (Award) IIC 321 (UNCITRAL, 2007, Álvarez P, Miguel Garro & van den Berg) para 202; and *El Paso Energy International Co v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/03/15, IIC 83 (2006, Caflisch P, Bernardini & Stern) paras 206–10.

²²² *Eletronica Sicula SpA (ELSI) (United States of America v Italy)* [1989] ICJ Rep 15.

²²³ *Mobil Corp Venezuela Holdings BV v Venezuela* (Decision on Jurisdiction) ICSID Case No ARB/07/27, IIC 435 (2010, Guillaume P, Kaufmann-Kohler & El-Kosheri).

²²⁴ *ibid* para 153.

- 6.126** Similarly, the Tribunal in *Cemex v Venezuela*²²⁵ allowed a Dutch holding company interposed in the middle of a corporate chain to assert a claim. It quoted the conclusion of the *Siemens v Argentina*²²⁶ Tribunal at para 137 that:

The Treaty does not require that there be no interposed companies between the investment and the ultimate owner of the company. Therefore, a literal reading of the Treaty does not support the allegation that the definition of investment excludes indirect investments.²²⁷

- 6.127** The *Cemex* Tribunal also noted that when the BIT mentioned investments ‘of’ nationals of the other Contracting Party ‘it means that those investments must belong to such nationals in order to be covered by the Treaty but this does not imply that they must be “directly” owned by those nationals.’²²⁸ However, a subsequent Tribunal in *Standard Chartered Bank v Tanzania*²²⁹ was persuaded that the Treaty’s use of the words ‘of’ meant that the investor had to do something as party of the investing process, ‘either directly or through an agent or entity under the investor’s direction.’ In the absence of any such action it denied jurisdiction to an indirect investor finding that ‘an indirect chain of ownership linking a British company to debt by a Tanzanian creditor does not in itself confer the status of investor under the UK–Tanzania BIT.’²³⁰

- 6.128** At present the *Standard Chartered Bank* award is the only award in which jurisdiction was denied to indirect investors.

- 6.129** In addition to analysing the literal wording of a treaty, other tribunals have adopted different approaches to grant shareholders standing to assert a claim.²³¹ In the NAFTA case of *SD Myers Inc v Canada* the claimant was a US company bringing a claim in respect of harm suffered by a Canadian subsidiary, SD Myers (Canada), Inc.²³² The claimant and the subsidiary were part of the same family group but the claimant did not directly own shares in the subsidiary. Rather, the same four members of the Myers family owned all the shares in both companies. The Tribunal was not concerned with the niceties of corporate ownership. It stated that:

... the Tribunal does not accept that an otherwise meritorious claim should fail solely by reason of the corporate structure adopted by a claimant in order to organise the way in which it conducts its business affairs ... there are a number of other bases on which SDMI could

²²⁵ *CEMEX Caracas Investments BV v Venezuela* (Decision on Jurisdiction) ICSID Case No ARB/08/15, IIC 470 (2010, Guillaume P, Abi-Saab & von Mehren).

²²⁶ *Siemens AG v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/02/8, 12 ICSID Rep 174, IIC 226 (2004, Sureda P, Bello Janeiro & Brower).

²²⁷ *CEMEX* para 152. See also *Kardassopoulos v Georgia* (Decision on Jurisdiction) ICSID Case No ARB/05/18, IIC 295 (2007, Fortier P, Orrego Vicuña & Watts) paras 123–4; *Tza Yap Shum v Peru* (Decision on Jurisdiction) ICSID Case No ARB/07/6, IIC 382 (2009, Kessler P, Fernández-Armesto & Otero) paras 106–11; *Waste Management Inc v Mexico* (Award) ICSID Case No ARB(AF)/00/3, IIC 270 (NAFTA/ICSID(AF), 2004, Crawford P, Civiletti & Magallón Gómez) (‘*Waste Management II*’) paras 80 and 84–5; and *Lemire v Ukraine* (Decision on Jurisdiction and Liability) ICSID Case No ARB/06/18, IIC 424 (2010, Fernández-Armesto P, Paulsson & Voss) paras 54–5.

²²⁸ *CEMEX* para 157.

²²⁹ *Standard Chartered Bank v Tanzania* (Award) ICSID Case No ARB/10/12, IIC 581 (2012, Park P, Legum & Pryles).

²³⁰ *ibid* para 200.

²³¹ *Pope & Talbot Inc v Canada* (Award on Damages) 7 ICSID Rep 148, IIC 195 (NAFTA/UNCITRAL, 2002, Dervaird P, Belman & Greenberg).

²³² *SD Myers Inc v Canada* (First Partial Award on the Merits) 8 ICSID Rep 3, IIC 249 (NAFTA/UNCITRAL, 2000, Hunter P, Chiasson & Schwartz).

contend that it has standing to maintain its claim including that (a) SDMI and Myers Canada were in a joint venture, (b) Myers Canada was a branch of SDMI, (c) it had made a loan to Myers Canada, and (d) its market share in Canada constituted an investment.²³³

The Tribunal in *Azurix Corp v Argentina*²³⁴ based its analysis not only on the US–Argentina BIT’s inclusion of ‘shares of stock’ in the definition of investment, but also on the contractual rights held by the subsidiary. Contractual rights were also specifically protected under the BIT. The US Company, Azurix, had obtained a concession to provide water and waste water services to an Argentinean province. In order to implement the investment it had been required to establish a locally registered company. The Tribunal held that:

Provided the direct or indirect ownership or control is established, rights under a contract held by a local company constitute an investment protected by the BIT

...

(a) Azurix indirectly owns 90% of the shareholding in [the local subsidiary], (b) Azurix indirectly controls [the local subsidiary], and (c) [the local subsidiary] is party to the Concession Agreement and was established for the specific purpose of signing the Concession Agreement as required by the Bidding Terms.²³⁵

In addition, its conclusion was based on the fact that the treaty defined ‘investment’ in a wide, non-exhaustive manner, with the only condition being that the investment be directly or indirectly owned or controlled by a national of the investing State.

Minority shareholders’ rights

In the passage quoted above, the *Azurix* Tribunal expressly included, as a step in its reasoning, the fact that the US parent company indirectly controlled the local subsidiary. However, tribunals have consistently stated that the presence of such control is not required to bring an interest in a subsidiary within a BIT’s definition of ‘investment’. It is noteworthy that the first BIT case, *AAPL*, not only dealt with losses suffered by a subsidiary, but that the claimant’s stake in that subsidiary was a minority stake.²³⁶ Investment tribunals have consistently held that minority shareholdings are included in the definition of investment. For example, the claimant in *CMS v Argentina*²³⁷ was a US company with a 29.42 per cent share in an Argentinian company with a licence to transport gas. The measures taken by Argentina were directed at the gas transportation licence which was owned by the Argentinian company, not by the US claimant. The Tribunal held that notwithstanding the minority shareholding there would be a direct right of action for shareholders, whether under the BIT or the ICSID Convention:

Precisely because the [ICSID] Convention does not define ‘investment’, it does not purport to define the requirements that an investment should meet to qualify for ICSID jurisdiction. There is indeed no requirement that an investment, in order to qualify, must necessarily be made by shareholders controlling a company or owning the majority of its shares ... The reference that [ICSID Convention] Article 25(2)(b) makes to foreign control in terms of

²³³ *ibid* paras 229 and 232.

²³⁴ *Azurix Corp v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/01/12, 10 ICSID Rep 412, IIC 23 (2003), Rigo Sureda P, Lauterpacht & Martins).

²³⁵ *ibid* paras 63 and 65.

²³⁶ *AAPL v Sri Lanka* paras 96–8.

²³⁷ *CMS Gas Transmission Co v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/01/8, 7 ICSID Rep 492, IIC 64 (2003), Orrego Vicuña P, Lalonde & Rezek).

treating a company of the nationality of the Contracting State party as a national of another Contracting State is precisely meant to facilitate agreement between the parties, so as not to have the corporate personality interfering with the protection of the real interests associated with the investment. The same result can be achieved by means of the provisions of the BIT, where the consent may include non-controlling or minority shareholders.²³⁸

6.133 This statement was quoted with approval in *Azurix Corp v Argentina*.²³⁹ A similar conclusion was reached in *Lanco International Inc v Argentina*,²⁴⁰ *Enron Corp and Ponderosa Assets LP v Argentina*,²⁴¹ the NAFTA case *GAMI Investments Inc v Mexico*²⁴² as well as many other cases.

6.134 Extending the right of action to minority shareholders will create problems for respondent States. Argentina relied on four such difficulties in contesting jurisdiction in *CMS v Argentina*.²⁴³ These were:

- (1) the local subsidiary could negotiate a settlement with the government but at the same time an ICSID tribunal could grant a remedy to foreign shareholders with minority interests in that local subsidiary;
- (2) allowing a foreign investor to bring a treaty claim would lead to discrimination between domestic and foreign investors as only foreign investors would have access to arbitration;
- (3) allowing all minority shareholders to bring claims could lead to the multiplication of international claims by investors of different nationalities and under separate treaties; and
- (4) it cannot be assumed that a minority shareholder should be entitled to claim compensation in proportion to its minority stake. This is because, if the local company owning the asset were to be compensated, there is no guarantee that the benefit would flow through to its shareholders.

6.135 These objections are all well-founded and could result in substantial prejudice for respondent States. However, as long as tribunals proceed upon an interpretation of the wording of BITs, without regard to potential wider consequences, they will not be able to find any legal reasons for denying jurisdiction to minority shareholders. As the *CMS* Tribunal recognised: ‘The Tribunal notes in this respect that [ICSID] has made every effort possible to avoid a multiplicity of tribunals and jurisdictions, but that it is not possible to foreclose rights that different investors might have under different arrangements. The Tribunal also notes that, while it might be desirable to recognize similar rights to domestic and foreign investors, this is seldom possible in the present state of international law in this field.’²⁴⁴ The difficulties raised by parallel proceedings are considered in Chapter 4.

6.136 In *GAMI Investments Inc v Mexico* the Tribunal considered the issues that could arise by granting a minority shareholder standing to pursue its NAFTA claim.²⁴⁵ In this case, a US shareholder was bringing a claim to recover for losses allegedly caused to his minority

²³⁸ *CMS* para 51.

²³⁹ *Azurix Corp v Argentina* para 64.

²⁴⁰ *Lanco International Inc v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/97/6, 5 ICSID Rep 367, IIC 148 (1998, Cremades P, Álvarez & Baptista).

²⁴¹ *Enron Corp v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/01/3, 11 ICSID Rep 268, IIC 92 (2004, Orrego Vicuña P, Gros Espiell & Tschanz).

²⁴² *GAMI Investments Inc v Mexico* (Award) 13 ICSID Rep 147, IIC 109 (NAFTA/UNCITRAL, 2004, Paulsson P, Muró & Reisman).

²⁴³ *CMS* para 83.

²⁴⁴ *CMS* para 86.

²⁴⁵ *GAMI Investments Inc v Mexico* paras 37–42.

shareholding in a Mexican company. While the Tribunal ruled liberally on jurisdiction, in considering the merits of the claim it took a very strict stance in defining the substantive rights a minority shareholder could assert. Despite the fact that the minority shareholder had US nationality, the Tribunal refused to consider acts taken towards the Mexican subsidiary company as discriminatory because, by definition, they were acts taken against a Mexican company.²⁴⁶ A similar approach was adopted in *BG v Argentina*,²⁴⁷ where the Tribunal accepted that BG's ownership rights in the local company were an investment under the UK–Argentina BIT, but only permitted it to make a claim based on the diminution in value of its shares. It could not bring contractual claims owned by the subsidiary, a distinct legal entity.²⁴⁸

If a Tribunal can only limit injustice to respondent States by a restrictive analysis of the claimant's substantive rights, any problems potentially thrown up by allowing minority shareholders to bring claims can only be resolved on a case-by-case basis. **6.137**

Claims brought by holding companies

Similar problems to those raised by minority shareholders can be raised by the fact that holding companies may also bring treaty claims. In this respect, a holding company can be any participant in a corporate ownership chain save for the ultimate beneficiary and the company directly affected. The potential for disruption created by allowing claims to be brought at various levels of the corporate chain was illustrated by the TV Nova saga. TV Nova was a very successful Czech television station which was set up by the American investor Ronald S Lauder. Upon losing control of the station, Mr Lauder brought two arbitrations. One, *Ronald S Lauder v Czech Republic*²⁴⁹ was brought by Mr Lauder in his personal capacity under the US–Czech Republic BIT. Mr Lauder was the ultimate beneficiary in the corporate chain. The other was brought by a Dutch holding company in *CME Czech Republic v Czech Republic*.²⁵⁰ Both claims arose out of same set of facts. One Tribunal (*CME Czech Republic v Czech Republic*) found that there had been an expropriation and awarded substantial damages while the other Tribunal (*Lauder v Czech Republic*) rejected the claim. This was a clear demonstration of the possibility of 'a multiplicity of tribunals and jurisdictions', as noted by the *CMS v Argentina* Tribunal.²⁵¹ **6.138**

The ability of a holding company to assert a claim was taken to an extreme in *Tokios Tokelés v Ukraine*.²⁵² In this arbitration, brought under the Lithuania–Ukraine BIT, the **6.139**

²⁴⁶ *ibid* para 115.

²⁴⁷ *BG Group plc v Argentina* (Award) IIC 321 (UNCITRAL, 2007, Álvarez P, Miguel Garro & van den Berg).

²⁴⁸ *ibid* paras 202–14. See also *El Paso Energy International Co v Argentina* (Award) ICSID Case No ARB/03/15, IIC 519 (2011, Caflisch P, Bernardini & Stern) paras 185–9; *ST-AD GmbH v Bulgaria* (Award on Jurisdiction), PCA Case No 201–06 (UNCITRAL, 2013, Stern P, Klein & Thomas) para 282; and *Enkev Beheer BV v Poland* (First Partial Award) PCA Case No 2013-01 (UNCITRAL, 2014, Veeder P, Sachs & van den Berg).

²⁴⁹ *Lauder v Czech Republic* (Final Award) 9 ICSID Rep 62, IIC 205 (UNCITRAL, 2001, Briner C, Cutler & Klein).

²⁵⁰ *CME Czech Republic BV v Czech Republic* (Partial Award) 9 ICSID Rep 121, IIC 61 (UNCITRAL, 2001, Kühn C, Schwebel and Hándl (dissenting)).

²⁵¹ *CMS Gas Transmission Co v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/01/8, 7 ICSID Rep 492, IIC 64 (2003, Orrego Vicuña P, Lalonde & Rezek) para 86.

²⁵² *Tokios Tokelés v Ukraine* (Decision on Jurisdiction) ICSID Case No ARB/02/18, IIC 258 (2004, Weil P (dissenting), Bernardini & Price).

Lithuanian claimant was owned and controlled by Ukrainian nationals. As a matter of economic substance, therefore, the claim was a domestic Ukrainian dispute. Nonetheless the majority of the Tribunal pointed out that the parties to the BIT could have included a ‘denial of benefits’ provision. Such a provision is regularly included by State parties to investment treaties to prevent holding or shell companies from asserting treaty rights. For example, the ECT allows State parties to deny the benefits of the treaty to ‘a legal entity if citizens or nationals of a third state own or control such entity and if that entity has no substantial business activities in the Area of the Contracting Party in which it is organized’.²⁵³

6.140 In the absence of such a provision, however, the Tribunal refused to read one into the BIT.

6.141 The Tribunal in *Yukos v Russia*²⁵⁴ accepted jurisdiction over a claim brought by an Isle of Man company that was ultimately owned by Russian investors against Russia. The claimant was asserting its claim arising out of its nominal ownership of shares in Yukos Oil Company OJSC, a Russian joint stock company. The Tribunal found that the ECT did not include any requirements with regard to the origin of capital or the necessity of an injection of foreign capital.²⁵⁵

6.142 On the basis of the awards rendered thus far, in the absence of specific treaty provisions denying benefits to companies lacking substantial economic activities in the investor’s home State, tribunals have not denied jurisdiction over the claims of holding or shell companies under BITs available in their States of incorporation. The Tribunal in *Soufraki v UAE*²⁵⁶ recognised that the unsuccessful claimant in that case could have overcome the disadvantages of his dual nationality merely by incorporating an Italian corporate vehicle, rather than by investing in his personal capacity. Tribunals can only deny jurisdiction in such circumstances if they are willing to read policy considerations into the BIT, something which they have not been willing to do in considering questions of indirect investment.

Corporate restructuring to gain the advantage of investment treaties

6.143 Allowing wide latitude for holding companies to bring claims is consistent with the idea that investors do not need to fund investments with their own resources,²⁵⁷ and encourages claimants to structure their investments through a variety of jurisdictions to ensure maximum treaty coverage. There appears to be nothing wrong in principle with claimants taking such steps. Moreover, it may be that certain States will be encouraged to develop a wide network of bilateral treaty relationships in order to encourage investors to route

²⁵³ art 17(1) (Appendix 2 below).

²⁵⁴ *Yukos Universal Ltd v Russia* (Interim Award on Jurisdiction and Admissibility) PCA Case No AA 227, IIC 416 (UNCITRAL, 2009, Fortier C, Poncet & Schwebel).

²⁵⁵ *ibid* paras 430–2. See also *Veteran Petroleum Ltd v Russia* (Interim Award on Jurisdiction and Admissibility) PCA Case No AA 228, IIC 417 (UNCITRAL, 2009, Fortier P, Poncet & Schwebel) paras 489–91; and *Hulley Enterprises Ltd v Russia* (Interim Award on Jurisdiction and Admissibility) PCA Case No AA 226, IIC 415 (UNCITRAL, 2009, Fortier P, Poncet & Schwebel) paras 429–31. The origin of capital requirement was also addressed in *Lemire v Ukraine* (Decision on Jurisdiction and Liability) ICSID Case No ARB/06/18, IIC 424 (2010, Fernández-Armesto P, Paulsson & Voss) para 56.

²⁵⁶ *Soufraki v United Arab Emirates* (Award) ICSID Case No ARB/02/7, IIC 131 (2004, Fortier P, El-Kholy & Schwebel) para 83.

²⁵⁷ *Tokios Tokelés*. This is an aspect of tribunals rejecting the idea that an investment needs to be made ‘directly’. See further 6.12 above.

investments through their legal and fiscal frameworks. This point arose in *Aguas del Tunari SA v Bolivia*²⁵⁸ where the respondent State contended that it had carefully structured the concession contract to preclude ICSID jurisdiction. At the time of entering into the concession contract the claimant company was controlled through the Cayman Islands but, by the time a dispute arose, the control structure had been altered and a Dutch holding company had been inserted into the corporate chain. The Tribunal held that it had jurisdiction under the Netherlands–Bolivia BIT²⁵⁹ as the changes to the corporate structure did not affect any of the undertakings given in the concession agreement.²⁶⁰

In *Mobil v Venezuela*²⁶¹ the respondent framed its objection to a corporate restructuring designed to create treaty protection where none had existed previously on the basis of an abuse of right. On a factual basis, the Tribunal accepted that the main purpose of the restructuring was to gain access to ICSID arbitration through the Netherlands–Venezuela BIT.²⁶² However, the Tribunal considered that this was a ‘perfectly legitimate goal as far as it concerned future disputes.’²⁶³ Nonetheless, such re-structuring would be abusive if they were carried out with an eye to create jurisdiction for pre-existing disputes.²⁶⁴ A similar conclusion was reached in *Millicom v Senegal*²⁶⁵ where the Tribunal concluded that a restructuring to give an investment the benefit of investment treaty protection would be acceptable for future disputes unless the choice was made unknown to the other party under artificial conditions.²⁶⁶

An example of a corporate restructuring which did not succeed in creating ICSID jurisdiction was that attempted in *Phoenix v Czech Republic*.²⁶⁷ The claimant was controlled by a former Czech national who had incorporated it under Israeli law and arranged for it to acquire an interest in two Czech companies owned by his family members. Disputes had arisen with the Czech authorities arising out of those companies before the acquisition. The Tribunal denied jurisdiction on the basis that ‘what was really at stake were indeed the pre-investment violations and damages ... [T]he whole operation was not an economic investment, based on the actual or future value of the companies, but indeed, simply a re-arrangement of assets within a family, to gain access to ICSID jurisdiction ...’.²⁶⁸

6.144

6.145

²⁵⁸ *Aguas del Tunari SA v Bolivia* (Decision on Jurisdiction) ICSID Case No ARB/02/3, IIC 8 (2005, Caron P, Álvarez & Alberro-Semerena (dissenting)).

²⁵⁹ Agreement on Encouragement and Reciprocal Protection of Investments (Netherlands–Bolivia) (signed 10 March 1992, entered into force 1 November 1994) Tractatenblad 1992, 081.

²⁶⁰ *Aguas del Tunari* paras 160–180.

²⁶¹ *Mobil v Venezuela* (Decision on Jurisdiction) .

²⁶² *ibid* para 190.

²⁶³ *ibid* para 204; *OI European Group v Venezuela* (Award) ICSID Case No ARB/11/25, IIC 678 (2015, Fernandez-Armesto P, Mourre & Orrego Vicuña) paras 193–4.

²⁶⁴ *Mobil v Venezuela* para 205.

²⁶⁵ *Millicom International Operations BV v Senegal* (Decision on Jurisdiction) ICSID Case No ARB/08/20, IIC 450 (2010, Tercier P, Abraham & Hobér).

²⁶⁶ *ibid* para 84.

²⁶⁷ *Phoenix Action Ltd v Czech Republic* (Award) ICSID Case No ARB/06/5, IIC 367 (2009, Stern P, Bucher & Fernández-Armesto). See also *KT Asia Investment Group BV v Kazakhstan* (Award) ICSID Case No ARB/09/8, IIC 615 (2013, Kaufmann-Kohler P, Glick & Thomas).

²⁶⁸ *Phoenix v Czech Republic* paras 138 and 140.

- 6.146** *Philip Morris v Australia* is a prominent example of a claim being dismissed on these grounds. The Tribunal held that a restructuring to try and bring a pre-existing dispute within the framework of an investment treaty was inadmissible as an abuse of process.²⁶⁹
- 6.147** In *Malicorp v Egypt*²⁷⁰ a company with share capital of \$1,000 won a contract to build an airport. Egypt cancelled the contract saying that it had expected the claimant's share capital to be \$100 million. Egypt said that Malicorp had won the contract due to forgery and as a result lacked the good faith necessary to assert that it had made an investment. The Tribunal accepted that the question could be addressed as one of jurisdiction, but preferred to treat it as going to the merits on the basis that an investment had to be valid in order to enjoy substantive protection. By addressing the question at the merits stage, the Tribunal would be acting consistently with best practice in international arbitration whereby matters that undermined a substantive legal relationship did not automatically terminate an arbitration agreement. As a practical matter, the Tribunal would be better placed to undertake a detailed factual investigation at the merits stage.²⁷¹
- 6.148** In *Levy de Levi v Peru*, an investor was permitted to advance a claim despite having paid nothing to acquire the investment by way of assignment. Here, the Tribunal based its decision on the fact that it was a transfer between close family members and that it had taken place long before the decision to resort to ICSID arbitration.²⁷² In contrast, one of the claimants in *Quiborax v Bolivia* did not pay for his share and was thus excluded from the Tribunal's jurisdiction.²⁷³

Claims brought by ultimate beneficiaries

- 6.149** The relaxed attitude to piercing the corporate veil demonstrated by investment tribunals also extends to allowing claims to be asserted by the ultimate beneficial owner in a corporate structure. An example of this is *Sedelmayer v Russia*.²⁷⁴ Mr Sedelmayer, a German citizen, brought a claim against Russia under the Germany–Russia BIT.²⁷⁵ His investment had been made through a US corporation, Sedelmayer Group of Companies International Inc ('SGC International'). The policy reason for denying the benefit of investment treaties to beneficial owners of a corporate structure is that allowing them treaty protection gives them a double advantage. The first advantage is that while making their investment they can hide behind the shield of limited corporate liability. The second advantage is that, in the event of a dispute, they can cast away the separate corporate personality through which they invested and bring a claim in their own right. However, the *Sedelmayer* Tribunal had no difficulty in accepting the claimant's standing as an investor under the treaty because the treaty's definition of 'investment' clearly covered a beneficial

²⁶⁹ *Philip Morris Asia Ltd v Australia* (Award on Jurisdiction and Admissibility) PCA Case No 2012-12, IIC 777 (UNCITRAL, 2016, Bockstiegel P, Kaufmann-Kohler & McRae) paras 538–54.

²⁷⁰ *Malicorp Ltd v Egypt* (Award) ICSID Case No ARB/08/18, IIC 476 (2011, Tercier P, Olavo Baptista & Tschanz).

²⁷¹ *ibid* paras 117–9. See also A Cohen Smutny and P Poláček, 'Unlawful or Bad Faith Conduct as a Bar to Claims in Investment Arbitration' in *A Liber Amicorum: Thomas Wälde* (2012).

²⁷² *Levy de Levi v Peru* (Award) ICSID Case No ARB/10/17, IIC 728 (2014, Oreamuno P, Hanotiau & Morales Godoy) para 154.

²⁷³ *Quiborax SA v Bolivia* (Decision on Jurisdiction) ICSID Case No ARB/06/2, IIC 563 (2012, Kaufmann-Kohler P, Lalonde & Stern) paras 232–3.

²⁷⁴ *Sedelmayer v Russia* (Award) SCC Case No 106/1998, IIC 106 (SCC, 1998, Magnusson C, Wachler & Zykin).

²⁷⁵ Germany–Russia BIT.

owner bringing a claim in his own name. In addition, the Tribunal's analysis went further than the wording of the treaty alone. It referred to the 'control theory' of international law. As the Tribunal explained:

This theory is based on the idea that the decisive factor is who de facto controls the entity which has, for example, made investments in a foreign country. Consequently, the control theory leads to the piercing of SGC International's corporate veil and to putting the de facto investor—i.e. the Claimant—in the focus.

...

Mr. Sedelmayer shall, thus, be regarded as an investor under the Treaty, even with respect to investments formally made by SGC International or the other companies.²⁷⁶

In relying upon the 'control theory' in international law, the *Sedelmayer* Tribunal looked to the International Court's decision in *ELSI*.²⁷⁷ In the *ELSI* case a Chamber of the International Court was prepared to allow the United States to bring a claim on behalf of two US corporations which owned shares in an Italian corporation in respect of actions taken by the Italian Government. The *ELSI* judgment is thus an example of a tribunal in a State-to-State case taking the same approach to the admissibility of indirect claims as the investment arbitration tribunals that are the subject of this section. **6.150**

In *ELSI* the International Court was considering claims arising under the Treaty of Friendship, Commerce and Navigation between the US and Italy of 1948. The International Court did not refer to *Barcelona Traction* in its main decision. However, Schwebel's Dissenting Opinion specifically noted that the Chamber had not accepted arguments that would have denied the right of the United States to bring a claim on behalf of its nationals owning shares in an Italian company.²⁷⁸ **6.151**

One commentator has noted that the decision of the majority in *Tokios Tokelès v Ukraine* is one example of a tribunal not applying a control test to determine a corporation's nationality.²⁷⁹ **6.152**

Another example of an ultimate beneficiary bringing a claim is *Waste Management Inc v Mexico*.²⁸⁰ Here the claim was brought by a US corporation which owned a Mexican company which was party to a waste disposal concession in Mexico. The Mexican subsidiary was owned through two Cayman Island corporations. As in so many of the other awards dealing with indirect claims, the Tribunal based its decision upon the simple text of the particular instrument, in this case NAFTA. The Tribunal spelt out clearly its reasons for taking such an approach: **6.153**

Where a treaty spells out in detail and with precision the requirements for maintaining a claim, there is no room for implying into the treaty additional requirements, whether based on alleged requirements of general international law in the field of diplomatic protection or otherwise. If the NAFTA Parties had wished to limit their obligations of conduct to enterprises or investments having the nationality of one of the other Parties they could have done so. Similarly they could have restricted claims of loss or damage by reference to the nationality

²⁷⁶ *Sedelmayer* 27 and 59.

²⁷⁷ *Elettronica Sicula SpA (ELSI) (United States of America v Italy)* [1989] ICJ Rep 15.

²⁷⁸ *ELSI* (Dissenting Opinion) 94/83.

²⁷⁹ E Schlemmer, 'Investment, Investor, Nationality, and Shareholders' in Muchlinski ch 2, 49. See further paras 5.111 *et seq* above.

²⁸⁰ *Waste Management II* (Award).

of the corporation which itself suffered direct injury. No such restrictions appear in the text. It is not disputed that at the time the actions said to amount to a breach of NAFTA occurred, [the Mexican subsidiary] was an enterprise owned or controlled indirectly by the Claimant, an investor of the United States. The nationality of any intermediate holding companies is irrelevant to the present claim.²⁸¹

- 6.154** Another robust defence of an ultimate shareholder's right to assert a claim can be found in *Bogdanov v Moldova*²⁸² where the Tribunal stated that the protections offered by investment treaties 'would become rather illusory' if shareholders in local companies could not bring claims.²⁸³

Portfolio investment

- 6.155** A significant potential difficulty which could be thrown up by the wide interpretation of 'investment' in indirect investment cases is posed by the portfolio investor. The facts underlying many of the claims against Argentina, where the breach Argentina is alleged to have committed consists of an economic measure affecting all Argentinian companies, could potentially give rise to claims brought by investors whose only interest in a company's shares is as an investment, rather than holding a stake for management purposes. This is often referred to as 'portfolio investment'. Investment treaty tribunals have yet to rule on the question of whether portfolio investors are covered.²⁸⁴
- 6.156** The issue arose between the parties in *Gruslin v Malaysia*,²⁸⁵ but ultimately the Tribunal was not asked to rule on the issue. Mr Gruslin claimed he had made an investment in securities listed on the Kuala Lumpur stock exchange through an emerging Asian markets mutual fund based in Luxembourg. The issue was also considered in *Enron v Argentina*,²⁸⁶ where the Tribunal admitted that, while investors could claim in their own right under the treaty, there existed a need to establish a cut-off point beyond which claims would not be permissible.²⁸⁷ Such a cut-off point could be established by reference to the extent of the consent to arbitration of the host State. However, it is not clear that a tribunal would be able to deny jurisdiction over a claim brought by a portfolio investor by reference only to the remoteness of the connection to the affected company. Previous tribunals have taken a strict approach to the literal wording of treaties and if this approach is followed, remoteness per se would not be a sufficient ground on which to deny jurisdiction when such jurisdiction could be demonstrated to exist within the wide definition terms of the BIT.
- 6.157** In *Renta v Russia* the claimants were portfolio investors in the Yukos companies who sought to rely upon the same acts complained of by the companies themselves to assert a claim

²⁸¹ *ibid* para 85.

²⁸² *Bogdanov v Moldova* (Award) SCC Arbitration No V (114/2009) IIC 495 (SCC, 2010, Nilsson (sole)).

²⁸³ *ibid* para 67. See also *Paushok v Mongolia* (Award on Jurisdiction and Liability) IIC 490 (UNCITRAL, 2011, Lalonde P, Grigera Naón & Stern) para 206; and *Lauder v Czech Republic* (Award) 9 ICSID Rep 62, IIC 205 (UNCITRAL, 2001, Briner C, Cutler & Klein) where the Czech Republic ultimately did not seek to contest that Mr Lauder had standing to bring a claim in his own name.

²⁸⁴ In this section, the term 'portfolio investment' is taken to refer to circumstances when an investor owns shares in an investment. Thus *Fedax NV v Venezuela* (Award) ICSID Case No ARB/96/3, 5 ICSID Rep 200, IIC 102 (1998, Orrego Vicuña P, Heth & Owen) when the investor held promissory notes, allowing it to take a financial interest without management control, is not included.

²⁸⁵ *Gruslin v Malaysia* (Award) ICSID Case No ARB/99/3, IIC 129 (2000, Griffith (sole)).

²⁸⁶ *Enron Corp v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/01/3, 11 ICSID Rep 268, IIC 92 (2004, Orrego Vicuña P, Gros Espiell & Tschanz).

²⁸⁷ See also *El Paso Energy International Co v Argentina* (Award) ICSID Case No ARB/03/15, IIC 519 (2011, Caflisch P, Bernardini & Stern) para 211.

against Russia. The claim was financed by a third party investor as a test case to establish whether portfolio investors in Yukos could rely on BITs to assert claims. The Tribunal held that they could, seeing nothing abusive in the attempt. It presumably had regard to the literal wording of the Spain-USSR BIT in concluding that there was no reason in principle preventing portfolio investors from asserting a claim.²⁸⁸

Investment approval

A number of investment treaties contain a provision that goes beyond the general requirement that for a foreign investment to enjoy protection it must be lawful under the law of the host State. These provisions, which are particularly prevalent in centrally planned economies, contain an express requirement for approval in writing and registration of a foreign investment. For example, art II(1) and (3) of the 15 December 1987 ASEAN Agreement provides that:

6.158

1. This Agreement shall apply only to investments brought into, derived from or directly connected with investments brought into the territory of any Contracting Party by nationals or companies of any other Contracting Party and which are specifically approved in writing and registered by the host country and upon such conditions as it deems fit for the purposes of this Agreement.
- ...
3. This Agreement shall also apply to investments made prior to its entry into force, provided such investments are specifically approved in writing and registered by the host country and upon such conditions as it deems fit for [the] purpose of this Agreement subsequent in its entry into force.²⁸⁹

These provisions, which are similar in nature to other approval of investments provisions, were considered in detail by the tribunal in the first ASEAN arbitration, *Yaung Chi Oo Trading Pte Ltd v Myanmar*.²⁹⁰ The arbitration was brought by a Singaporean company whose investment had been made prior to Myanmar's accession to the ASEAN Treaty. At the time of making the investment, the investor had fulfilled the detailed and demanding procedure necessary to obtain the required permit under the Union of Myanmar's Foreign Investment Law and Procedures. Myanmar challenged the Tribunal's jurisdiction saying that the investment did not qualify for protection under the ASEAN Treaty as approval under the Myanmar Foreign Investment Law did not constitute approval 'for the purposes of this Agreement' as required by art II(1) of the ASEAN Treaty. It also argued that the claimant had failed to obtain specific approval in writing subsequent to the ASEAN Treaty coming into force in Myanmar as required by art II(3).

6.159

The Tribunal rejected Myanmar's first argument. It said that registration pursuant to an internal foreign investment law would amount to approval under the ASEAN Agreement:

6.160

No doubt a Party to the 1987 ASEAN Agreement could establish a separate register of protected investments for the purposes of that Agreement, in addition to or in lieu of approval

²⁸⁸ *Quasar de Valores SICSA SA v Russia* (Award) SCC Case No 24/2007, IIC 557 (SCC, 2012, Paulsson C, Brower & Landau) para 33.

²⁸⁹ Note that this Agreement is now superseded by the ACIA (Appendix 3 below), which does not contain identical language on this point. The 1987 text is retained here in view of its relevance to the analysis in the awards discussed below.

²⁹⁰ *Yaung Chi Oo Trading Pte Ltd v Myanmar* (Award) ASEAN Case No ARB/01/1, IIC 278 (2003, Sucharitkul P, Crawford & Delon).

under its internal law. But if Myanmar had wished to draw a distinction between approval for the purposes of the 1987 ASEAN Agreement and approval for the purposes of its internal law, it should have made it clear to potential investors that both procedures co-exist and, further, how an application for treaty protection could be made. At the least it would be appropriate to notify the ASEAN Secretariat of any special procedure. None of these things was done. In the Tribunal's view, if a State Party to the 1987 ASEAN Agreement unequivocally and without reservation approves in writing a foreign investment proposal under its internal law, that investment must be taken to be registered and approved also for the purposes of the Agreement.²⁹¹

- 6.161** The Tribunal did, however, accept Myanmar's second contention. It felt compelled to give effect to the actual language of art II(3). As this called for 'an express subsequent act amounting at least to a written approval',²⁹² the Tribunal could not consider the investment to be protected without such a subsequent act.
- 6.162** As set out in paras 6.54–6.55 above, the registration requirements for the ASEAN Comprehensive Investment Agreement, the successor to the 1987 ASEAN Agreement, have been developed. States which require written approval as a pre-condition to qualifying for investment protection need to put in place specific procedures as set out in Annex 1 to the Agreement.
- 6.163** *Gruslin v Malaysia* is another example of an investment being denied protection for failure to comply with a registration requirement. The requirement in this case was contained in an Inter-Governmental Agreement (IGA) between the Belgo–Luxembourg Economic Union and Malaysia.²⁹³ It provided, in art I(3)(e)(i), that assets invested in Malaysia had to be 'invested in a project classified as an "approved project" by the appropriate Ministry in Malaysia, in accordance with the legislation and the administrative practice, based thereon'. The investment consisted of an interest in shares traded on the Kuala Lumpur Stock Exchange. The investor argued that the approval obtained from the Stock Exchange's Capital Issues Committee would be sufficient for the purposes of the IGA. The Tribunal rejected this contention: 'The answer to this proposition is that proviso (i) [of the IGA] and the [Stock Exchange] requirements concern different subject matters ... What is required is something constituting regulatory approval of a 'project', as such, and not merely the approval at some time of the general business activities of a corporation.'²⁹⁴
- 6.164** The registration requirement was read restrictively, in the claimant's favour, by the Tribunal in *Middle East Cement v Egypt*.²⁹⁵ Egypt's Investment Law No 43 of 1974 required foreign interests to be registered to qualify as an investment. However, the claim was brought under the Greece–Egypt BIT which, while not requiring registration, stated that investments are admitted by the host State 'in accordance with its legislation'.²⁹⁶ The Tribunal proceeded on the basis that as the BIT did not require a specific registration, one could not be read in from the investment law.

²⁹¹ *ibid* para 59.

²⁹² *ibid* para 60.

²⁹³ Agreement on the Encouragement and Reciprocal Protection of Investments (Belgo–Luxembourg Economic Union–Malaysia) (signed 22 November 1979, entered into force 8 February 1982) 1284 UNTS 121.

²⁹⁴ *Gruslin v Malaysia* para 25.5.

²⁹⁵ *Middle East Cement Shipping and Handling Co SA v Egypt* (Award) ICSID Case No ARB/99/6, IIC 169 (2002, Böckstiegel P, Bernardini & Wallace).

²⁹⁶ Agreement for the Promotion and Reciprocal Protection of Investments (Greece–Egypt) (signed 16 July 1993, entered into force 6 April 1995) 1895 UNTS 173, art 2(1).

In *Metalpar v Argentina*²⁹⁷ the respondent State sought to rely upon the claimant's failure to make necessary registrations as a ground to deny jurisdiction. In this case the requirement to register arose under Argentinian law, rather than under the treaty. The Tribunal rejected Argentina's submission on the basis that Argentinian law prescribed its own sanctions for a failure to register. It stated that it would be disproportionate to punish a failure to register with a denial of the ability to seek investment protection before an ICSID tribunal.²⁹⁸ **6.165**

Two recent awards have dealt with the registration requirement found in many Indonesian BITs. In *Rizvi v Indonesia*, the Tribunal rejected jurisdiction based upon the claimant's failure to obtain specific registration for the investment. The claimant had been granted admission, but the registration requirement went beyond a general requirement of legality and the claimant had not obtained the specific registration approval required by the 1967 Foreign Investment Law.²⁹⁹ In contrast, the Tribunal in *Churchill Mining v Indonesia* found jurisdiction. The claimant had obtained registration from the competent authority when the investment was first made, as well as obtaining approval for a subsequent change in shareholding.³⁰⁰ It also found that the registration requirement is not a continuing one, rather it is restricted to the time the investment is initiated. **6.166**

In examining challenges to jurisdiction brought by respondent States in reliance upon their domestic registration requirements, it is important to bear in mind the correct choice of law, as described above. In principle, the question as to whether registration has been properly obtained will be considered under the domestic law of the State whose approval is required. However, these requirements must be exercised subject to the overriding concerns of good faith contained in international law. This was emphasised by the Tribunal in *Southern Pacific Properties (Middle East) Ltd v Egypt*.³⁰¹ Here the project had been registered under Egypt's Investment Law No 43 but the approval was subsequently withdrawn. The Tribunal applied general principles of law to conclude that Egypt would not be permitted to repeal the approval or the investment law in a manner that would allow it to escape international arbitration. Cancellation of the approval would not alter the fact that an investment had been made under the investment law.³⁰² **6.167**

D. Conclusions

In conclusion, it is possible to suggest the following: **6.168**

Definition of investment under ICSID. ICSID Convention art 25 refers to disputes arising out of an 'investment' but contains no definition of an investment. Subsequent tribunals have laboured hard to provide a definition, and the debate is unlikely to be concluded soon. Most **6.169**

²⁹⁷ *Metalpar SA v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/03/5, IIC 164 (2006, Oreamuno Blanco P, Cameron & Chabaneix).

²⁹⁸ *ibid* paras 83–4.

²⁹⁹ *Rizvi v Indonesia* (Award) ICSID Case No ARB/11/13 (2013, Griffith P, Donohue & Sornarajah) paras 54–199.

³⁰⁰ *Churchill Mining plc v Indonesia* (Decision on Jurisdiction) ICSID Case No ARB/12/14 and 12/40, IIC 635 (2014, Kaufmann-Kohler P, Hwang & van den Berg) paras 295–316.

³⁰¹ *Southern Pacific Properties (Middle East) Ltd v Egypt* (Decision on Jurisdiction No 1) ICSID Case No ARB/84/3 (1985, Jiménez de Aréchaga P, El Mahdi & Pietrowski).

³⁰² *ibid* para 66.

attempts at definition require a certain duration, a contribution to the economic development of the host State and some assumption of risk.

- 6.170** *Definition of investment under investment treaties.* In contrast to the ICSID Convention, most BITs do contain an express definition of investment that is focused on enumerating the kinds of property interests owned by a claimant that come within the scope of the treaty *ratione materiae*. In an ICSID case, this requirement must be satisfied in addition to that set out in art 25 ICSID Convention. In a non-ICSID case, the notion of ‘investment’ in a BIT still has two aspects: (a) *a legal aspect*—the asset belonging to the claimant, being an asset of the type listed in the BIT; and (b) *an economic aspect*—‘a commitment of resources’ or ‘contributions that have created such ... assets’.³⁰³ Both elements must be present to constitute an investment. Each of these elements entails a different type of enquiry:
- (a) The legal materialisation of the investment is to be determined according to the law applicable to the asset in question, which requires a *renvoi* to municipal law.³⁰⁴
 - (b) The economic materialisation of an investment is concerned with an essentially factual question, namely whether the investor has in fact made a ‘commitment of resources’ in an economic venture in the host State.
- 6.171** *Timing issues.* subject to the wording of specific treaties, any breaches that occur after the treaty has come into force will be covered even though the investment had been made before that date. However, save for continuous breaches, disputes that crystallise before the treaty comes into force will not fall within its ambit of protection.
- 6.172** *Pre-contract expenditure.* absent specific treaty wording, investment treaties will only cover investments actually made, not expenses incurred in anticipation of making an investment.
- 6.173** *Geographical scope.* while treaties commonly require investments to be made within the host State, it is appropriate to take a broad approach to this question. Accordingly, activity outside the host State that leads to an economic effect within the territory will be covered. This is why most tribunals have asserted jurisdiction over claims arising out of sovereign debt raised or arranged outside the host territory.
- 6.174** *Legality.* many treaties have provisions requiring investments to be made in accordance with the law. This does not allow domestic law a controlling say in what constitutes an investment, nor require that trivial formalities must be met to ensure treaty coverage. This is particularly the case if any non-compliance was known to the State party and did not form any basis of objection when the arrangement was made. However, investments made in breach of domestic laws which reflect sound public policy and sound investment practice will not be protected, particularly where the investor has set out to mislead domestic authorities. Once an investment has been made according to the law, it will not become illegal for the purposes of treaty protection just because the investor has breached some domestic laws in performing the investment. The host State may deal with breaches of the law within its own domestic system.
- 6.175** *Indirect investments.* there is no rule or practice in investment treaty arbitration preventing a parent company pursuing losses arising out of measures targeted at a subsidiary incorporated

³⁰³ *KT Asia* para 167 citing *Malicorp* para 110. See also Douglas, Rules 22 & 23.

³⁰⁴ See above para 6.107.

either in the host State or in a third jurisdiction. The claimant company does not need to be at the top of the corporate chain nor be the direct holding company of the affected entity. Minority shareholder rights are also protected. These conclusions are all subject to specific treaty wording and only constitute a basis upon which tribunals may assert jurisdiction. Different considerations often come into play when tribunals assess questions of quantum. A corporate restructuring carried out after a dispute has arisen will be seen as an abuse of right.